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What's News

Business & Finance

◆ **Demolitions, conversions** to residential and slowing construction are shrinking the U.S. office glut, putting the amount of office supply on pace to contract for the first time in a quarter of a century. **A1**

◆ **The Senate passed** legislation to regulate stablecoins, a key victory for the digital-asset industry after it poured money into last year's election. **A1**

◆ **Kraft Heinz said it would** remove artificial dyes from its U.S. products before the end of 2027 as the Trump administration pushes to withdraw the synthetics from the food supply. **B1**

◆ **U.S. stocks fell** and oil prices rose as Israel and Iran traded fire, with the S&P 500, Nasdaq and Dow shedding 0.8%, 0.9% and 0.7%, respectively, and U.S. crude futures gaining 4.3% to \$74.84. **B10**

◆ **Industrial production** in the U.S. fell more than expected in May, the Fed said, declining by 0.2%, after increasing by 0.1% in April. **A2**

◆ **Warner Bros. Discovery** will cut Chief Executive David Zaslav's pay when it splits in two next year and give him an extra slug of stock options. **B1**

◆ **Eli Lilly agreed to acquire** Verve Therapeutics for about \$1 billion upfront, adding a potential treatment for cardiovascular disease to its portfolio. **B1**

◆ **Amazon plans to cut** its workforce in the coming years because increasing use of artificial intelligence will eliminate the need for certain jobs. **B4**

World-Wide

◆ **Trump called for** Iran's unconditional surrender, issuing bellicose threats against the country and its leadership and suggesting that the U.S. might join Israel's strikes and pivot away from seeking a diplomatic deal. **A1, A9**

◆ **European governments**, increasingly frustrated with Israel over the war in Gaza, are giving Israel more diplomatic leeway in its show-down with Iran. **A7**

◆ **Two oil tankers collided** near the Strait of Hormuz, as maritime officials warned that navigational systems are being jammed in the region as a result of the Iran-Israel conflict. **A10**

◆ **Republicans' tax-and-spending megabill** would increase budget deficits by \$2.8 trillion through 2034 after factoring in the projected economic growth the bill would create, the CBO estimated. **A4**

◆ **The draft legislation** would raise the estate-tax exemption to \$15 million from the current nearly \$14 million and make the break permanent. **A4**

◆ **Brad Lander**, New York City's comptroller and a mayoral candidate, was arrested at immigration court. **A3**

◆ **Ukraine's President Zelensky** left a G-7 summit in Canada without the support he had hoped to rally. **A7**

◆ **Former U.S. Sen. Bob Menendez** began serving an 11-year sentence for accepting bribes and acting as an agent of Egypt. **A4**

NOTICE TO READERS

WSJ.com and WSJ mobile apps will publish on the Juneteenth federal holiday. The Wall Street Journal print edition won't be published on Thursday.

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Trump Weighs Possible Strike on Iran

President calls on Tehran to surrender, says supreme leader isn't a target 'for now'

WASHINGTON—President Trump issued bellicose threats against Iran and its leadership Tuesday, suggesting the U.S. might join Israel's strikes and pivot away from seeking a diplomatic agreement to restrict Tehran's nuclear program.

Calling for Iran's "UNCONDITIONAL SURRENDER," he said in a Truth Social post

that the U.S. knew Supreme Leader Ayatollah Ali Khamenei's location but wouldn't kill him, "at least for now." He added: "We now have complete and total control of the skies over Iran," implying collaboration with Israel's attacks, even though there is no indication U.S. warplanes are operating over the country.

After Trump met with his national security team at the White House, administration officials said that no decision has been made on whether to proceed with an attack and that a strike was just one of

By Michael R. Gordon, Tarini Parti and Alex Leary

the options that was discussed.

Even so, it was a sharp escalation of his pressure on Iran, suggesting for the first time that he was contemplating use of U.S. forces not just to curtail Iran's nuclear program but potentially to target its leadership. Since returning to office in January, Trump has said repeatedly that he favored negotiations with Tehran, which says its nuclear activi-

ties are for peaceful purposes.

But he has shifted course abruptly in recent days after aides said he had concluded such a deal appeared increasingly unlikely. Since Israel last Friday launched attacks, Trump has aligned himself more closely with Israeli Prime Minister Benjamin Netanyahu's call for the destruction of Iran's nuclear facilities.

Israel's attacks in Iran continued Tuesday, and the death toll rose to above 450, according to a human-rights group. The Israeli military said it was conducting strikes in the Teh-

ran area early Wednesday. Iran continued to fire missiles and drones at Israel, where 24 people have died as a result of the attacks. Israel's military issued two warnings about incoming missiles early Wednesday, saying it was trying to intercept them. *Please turn to page A8*

◆ **Europe backs Israel despite anger over Gaza.....** A7
◆ **Iranian exiles watch with hope tainted by fear.....** A9
◆ **With airports shut, Israelis try to return home.....** A9
◆ **Heard on the Street: China hooked on Iran oil.....** B11

Florida Panthers Capture Hockey's Stanley Cup



NO, CANADA: The Panthers defeated the Edmonton Oilers 5-1 Tuesday to win their second consecutive Stanley Cup. Canada, where hockey is the national sport, hasn't had a winner since Montreal in 1993. The Panthers' Aleksander Barkov raises the cup.

Workplace Raids Draw Business Flak

As deportations hit economy, pushback complicates White House priorities

When federal agents raided Glenn Valley Foods in Omaha, Neb., last Tuesday, they arrested about 75 of the meat processor's workers, roughly half of the produc-

By Arian Campo-Flores, Rebecca Picciotto, Patrick Thomas and Tarini Parti

tion line. The following day, the plant was operating at about 15% of capacity, and a skeleton crew strained to fill orders.

Chief Executive Gary Rohwer can't see a future

that doesn't include immigrant workers. "Without them, there wouldn't be an industry," he said.

President Trump's aggressive deportation push has slammed into an economic reality: Key industries in the U.S. rely heavily on workers living in the U.S. illegally, many of them for decades. That presents a major challenge for the administration unfolding in real time, with business leaders urging a softer approach while anti-immigration hard-liners demand more deportations. *Please turn to page A10*

How an Evangelical Pastor Became Washington's 'It' Tailor

* * *

Nathaniel Rios wanted to start a church. Now Republicans line up for his suits.

By MAGGIE SEVERNS

The MAGA movement has its own private club and restaurant in D.C. Now Trump acolytes have their own tailor, too.

A Pentecostal pastor from Mississippi has emerged as the sartorial cog in Washington's new Republican machine.

From his row house near Capitol Hill, Nathaniel Rios serves a rapidly expanding roster of lawmakers, aides and White House staff who tend to favor snug fits and lots of pro-Trump flair.

Trump aide Justin Caporale sports one with "America First" embroidered above the

inner breast pocket—and a replica print of Emanuel Leutze's "Washington Crossing the Delaware" lining the inside. With a closet full of navy blue, Caporale said, "it just felt right."

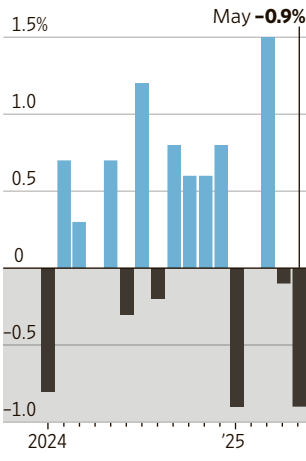
Some customers want a jacket lined with Donald Trump's mug shot. "It's a show of appreciation," said Raheem Kassam, who co-owns the MAGA world's favorite French bistro and proudly owns a mug shot suit.

Former House Speaker Kevin McCarthy has a Rios-crafted jacket lined with a photo of himself presiding over the House floor. McCarthy said he originally conceived of the *Please turn to page A12*

Retail Sales Fell in May

Consumer spending dropped more steeply than forecast in May from a month earlier, on a decline in auto sales. **A2**

U.S. retail sales, change from a month earlier



Note: Seasonally adjusted
Source: Commerce Department

New Medicaid Cuts Stir More Trouble For GOP Tax Plan

WASHINGTON—Senate Republicans' plan to extract more savings from Medicaid as part of their revised tax and spending package triggered a backlash within the party, raising

By Siobhan Hughes, Richard Rubin and Olivia Beavers

concerns that leaders could miss their self-imposed deadline of getting the bill to President Trump's desk by July 4.

Republicans remain divided on a series of issues, ranging from healthcare spending to deficit reduction to clean energy tax credits to state and

local tax deductions. A significant GOP revolt on any of these could prove fatal for the legislation, which must clear the 53-47 GOP-controlled Senate and then be approved again in the narrowly divided Republican-run House.

The tax and health portions of the measure, unveiled late Monday, would make it harder for states to shift Medicaid costs onto the U.S. government. The plan contains a provision *Please turn to page A4*

◆ **GOP plan hikes deficits, analysis says.....** A4
◆ **Bill would shield wealthy estates from taxes.....** A4

Office Space Set to Shrink For First Time in 25 Years

By PETER GRANT

The U.S. has a glut of office buildings. That longstanding surplus is finally shrinking.

The number of property demolitions and the pace of office conversions into residential buildings are accelerating. Developers, meanwhile, have greatly slowed new office construction because of questions about future tenant demand.

As a result, the amount of office supply in the U.S. is on pace this year to contract for the first time in a quarter of a century, according to real-estate-services firm CBRE Group.

If this trend holds, it would reverse a decadeslong office-construction spree that flooded the U.S. with too much unwanted workspace. Developers—lured by federal

tax breaks, low interest rates and inflated demand from unprofitable startups—built more office towers than cities needed. The rise of remote work during the Covid-19 pandemic aggravated this excess supply, causing office-vacancy rates to rise to record highs and building values to plummet.

Conversions of office space into apartments held an obvious appeal. But the cost of acquiring an office building and addressing structural obstacles made these conversions too expensive to work in most cases.

Analysts had expected the office glut to take many years to shrink, not unlike the decade-plus it took for many U.S. cities to work off their excess of retail properties af- *Please turn to page A2*



THE FUTURE OF EVERYTHING

THE NEW ROAD TRIP R1-10

U.S. NEWS

Senator Deletes Minnesota Posts After Backlash

By JASMINE LI

WASHINGTON—Sen. Mike Lee (R., Utah) removed three social-media posts mocking and blaming leftists in the wake of attacks in Minnesota that left two people killed and two others injured, after he faced backlash from Senate colleagues.

The targeted shootings on Sunday that killed Democratic State Rep. Melissa Hortman and her husband and injured State Sen. John Hoffman and his wife heightened security concerns on Capitol Hill and shook Minnesota lawmakers who knew the victims. Lawmakers largely united to condemn the violence—as did Lee on his official social-media profiles. But on his personal @basedmikelee X account, Lee posted several messages connecting the shootings to “Marxists” and Democratic Gov. Tim Walz.

“This is what happens when Marxists don’t get their way,” he posted alongside a photo of the suspect. “Nightmare on Waltz Street,” he wrote in another post, an apparent reference to Walz. “Marxism is a deadly mental illness,” he wrote in response to photos of papers reading “No Kings” found in the suspect’s car.

Lee has declined to comment on the matter, but he has faced mounting calls to apologize. Lee has an active social-media presence that doesn’t shy away from controversy or partisan fights, but the messages about Minnesota were out of bounds, many colleagues said.

Sen. Tina Smith (D., Minn.), who was friends with the slain lawmaker and whose name appeared on target lists connected to the suspect, called Lee’s comments “cruel.” She pulled Lee aside at Senate votes Monday evening to confront him. Smith said Tuesday she was glad Lee deleted his posts, but she was “awaiting any sign that Sen. Lee understands that what he wrote has an impact on real people.”

Democrat Amy Klobuchar, Minnesota’s other senator, said she had a “good discussion” with Lee on Tuesday.



Sen. Mike Lee

U.S., California Spar Over Guard Command

By JESS BRAVIN

A Trump administration lawyer told a federal appeals court Tuesday that judges have no power to review the president’s decision to federalize the California National Guard over Gov. Gavin Newsom’s objection, and asked it to throw out an order requiring Trump to return command of those troops to the governor.

The district court’s order “upends the military chain of command,” Justice Department lawyer Brett Shumate told the three-judge panel during the hearing. “It gives state governors veto power over the president’s military orders.”

Conditions in Los Angeles, where protests against Trump’s aggressive deportation policy have at times turned violent, amount to “rebellion against the authority of the United States,” he said.

The Ninth U.S. Circuit Court of Appeals panel, assembled remotely from chambers in different states, questioned both sides vigorously, pressing Shumate on his claim that Trump’s mobilization of a force normally under state control couldn’t be challenged in court.



Trump federalized members of the California National Guard.

“If the president or a future president simply invokes the statute, gives no reasons for doing it, provides no support for doing it, and there is nothing which would appear to a court to justify it, the court still has no role at all?” said the presiding judge, Mark Bennett, a 2018 Trump appointee who sits in Honolulu.

In June, after protests broke out in Los Angeles against Immigration and Customs Enforcement raids, Trump signed an order federalizing some 4,000 members of the California National Guard.

Newsom, the state Guard’s

commander in chief, sued, arguing that the situation fell far short of invasion, rebellion or breakdown in civil order, the conditions set out under federal law for the president to deploy those forces.

The case involves one of the Trump administration’s most serious confrontations with Democratic-led states over his use of executive authority.

In Los Angeles last Thursday, Homeland Security Secretary Kristi Noem told reporters the administration aimed “to liberate the city from the socialists and the burdensome leadership that

this governor and that this mayor have placed on this country and what they have tried to insert into the city,” referring to Newsom and Mayor Karen Bass.

Later that day, U.S. District Judge Charles Breyer, a Clinton appointee in San Francisco, ruled in favor of the state.

He agreed that the situation in Los Angeles didn’t justify federalizing the Guard and that Trump ignored a provision requiring that mobilization orders be sent “through the governor.” The Ninth Circuit put that on hold while it considered the administration’s appeal.

California’s lawyer, Samuel Harbourt, said in Tuesday’s hearing that Breyer’s order should stand while litigation between the state and Washington proceeds.

Blocking it would allow Trump and Defense Secretary Pete Hegseth to “continue diverting thousands of guardsmen away from critical work at the state level, including wildfire prevention and drug interdiction,” he said.

It would also allow them to “further escalate tensions and the risk of violence in the city of Los Angeles. And it would defy our constitutional traditions of preserv-

ing state sovereignty, of providing judicial review for the legality of executive action, safeguarding our cherished rights,” including political protest, he said.

Harbourt argued that the statute Trump invoked required the president to consult with the governor and to try less extreme methods before mobilizing the military over the objection of local authorities.

“When Congress seeks to involve government officials, it seeks to promote rather than undermine federalism and state sovereignty,” he said. But he had difficulty distinguishing the current situation from a centuries-old Supreme Court case that the administration said gave the president broad discretion over the militia.

“If we were writing on a blank slate, I would tend to agree with you,” said Judge Jennifer Sung, a 2021 Biden appointee who sits in Portland, Ore. But in that 1827 case, the Supreme Court “seemingly rejected the exact argument that you’re making,” she told Harbourt.

The panel, which also includes Judge Eric Miller, a 2019 Trump appointee in Seattle, is expected to issue a decision promptly.

ICE Detains NYC Mayoral Candidate at Court

By VICTORIA ALBERT AND JOSEPH DE AVILA

New York City comptroller and mayoral candidate Brad Lander was arrested Tuesday by authorities at immigration court in Manhattan.

A representative for Lander, a Democrat, said Immigration and Customs Enforcement agents detained him while he was escorting a person who had attended a hearing out of the building.

Department of Homeland Security spokeswoman Tricia McLaughlin said Lander was arrested for allegedly assaulting law enforcement and impeding a federal officer.

“It is wrong that politicians seeking higher office undermine law enforcement safety to get a viral moment,” McLaughlin said. “No one is above the law, and if you lay a hand on a law enforcement officer, you will face consequences.”

Lander was released later in the day and he said he was told he wouldn’t face charges. He denied assaulting any officers.

“I’m going to sleep in my bed tonight safe with my family,” Lander said. “I’m grateful to hear that the charges are not being brought. But if they are, I’ve got a lawyer, I don’t have to worry about my due process rights.”

Lander said he planned to return to the court house to observe more immigration hearings.

A spokesman for the U.S. Attorney’s Office in Manhattan said the Southern District of New York was continuing to in-



New York City Comptroller Brad Lander was arrested after attending a hearing.

vestigate the actions involving Lander at immigration court.

“The safety and security of official proceedings, government officials, law enforcement officers and all members of the public who participate in them

is a core focus of our office,” the spokesman said.

Federal law prohibits assaults on law enforcement and obstruction of official proceedings, the spokesman said.

Lander is one of several

Democratic officials who have been detained while challenging the Trump administration’s immigration efforts.

ICE has stepped up enforcement tactics to find and detain immigrants, with agents now

arresting people appearing at immigration court hearings.

Lander was standing with his arm linked with a man leaving immigration court when he was “swarmed by a number of agents,” according to Lander’s wife Meg Barnette, who was in court with him. The agents refused to provide identifying information, she said.

The comptroller repeatedly asked the officials to provide a judicial warrant, saying he would let go of the man once they had done so, according to video shared on his X account. The video showed agents handcuffing Lander and escorting him into an elevator.

Lander’s security detail, a member of the New York Police Department, accompanied him during the arrest, Barnette said.

Several Democratic mayoral candidates, including top contenders Zohran Mamdani and Andrew Cuomo, condemned Lander’s detention. Cuomo, the state’s former governor, said it was “the latest example of the extreme thuggery of Trump’s ICE.”

Mamdani said: “This is fascism and all New Yorkers must speak in one voice.”

This was Lander’s third time appearing at immigration court to observe the proceedings, Barnette said.

Watch a Video



Scan this code to see video of candidate Brad Lander being detained.

FDA Under New Chief Will Fast-Track Some Drugs, Tap AI

By LIZ ESSLEY WHYTE

WASHINGTON—Embracing artificial intelligence. Taking on companies that make ultra-processed foods. And offering a fast track to approve drugs the Trump administration views as a priority.

Welcome to the new Food and Drug Administration as envisioned by Dr. Marty Makary, who is leading the agency under Health Secretary Robert F. Kennedy Jr. Both men have said they want to overhaul the agency, citing what they see as the FDA’s reputation for coziness with pharmaceutical companies.

Makary’s goal is “to deliver more transparency, unleash innovation, eliminate conflicts and lower drug pricing,” said Calley Means, a White House adviser and ally of Makary’s.

The changes are coming so swiftly, and often without input from career scientists, that Makary faces declining staff morale threatening to stymie his efforts. He must also contend with the administration’s staff cuts at the FDA, which have been partly undone but shrank the work-

Job Cuts, Low Morale Hit Agency Amid Makeover

Dr. Marty Makary took the helm at the FDA just as Robert F. Kennedy Jr. carried out sweeping job cuts in the nation’s health agencies, including 3,500 at the FDA, though some of those have been walked back.

Last week employees were able to access scientific journals that had been cut off during the Department of Government Effi-

ciency’s cost-cutting.

But agency morale remains low, according to people inside and outside the agency. So many employees have recused themselves on industry matters—indicating that they are looking elsewhere for jobs—that it has been difficult to staff certain projects at the agency, according to people familiar

with the matter. Former FDA Commissioner Scott Gottlieb said on CNBC in April that as many as 600 reviewers, or about a quarter of the review staff, had recused themselves.

“Recusals also occur to ensure staff not participate in engagements that have even the perception of a conflict of interest,” an FDA spokesman said.

force nonetheless. And critics say Makary is playing fast and loose with the FDA’s commitment to world-class science.

“Instead of gold-standard science, what I’m seeing is an effort to create a scientific record that supports a particular conclusion,” said Susan Mayne, a former head of a food safety division at the FDA.

The FDA regulates products that account for one-fifth of American consumer spending—from lettuce to vapes to pet vaccines. The former

Johns Hopkins surgeon’s stewardship of the agency will be key to whether the Make America Healthy Again movement—championed by Kennedy and adopted by President Trump—can secure policy wins at the federal level. From his perch at the FDA, he will also influence the number of new treatments, the safety of the nation’s food supply and the country’s response to outbreaks such as bird flu or screwworm.

One of Makary’s new ideas

is dubbed the “Commissioner’s National Priority Review Voucher,” which will allow him to promise frequent feedback and sped-up drug application reviews to specially selected companies, according to a document viewed by The Wall Street Journal that outlines the proposed program.

The document outlined approval within 30 days of a firm’s sending final data, compared with the typical 10 months now. After this article was published, a Health De-

partment spokesman said the document was a draft, and the FDA released a press release that said the sped-up review would be one to two months, rather than 30 days.

Makary’s push for a nimble agency that closely communicates with certain companies is at odds with past criticism from Kennedy and his supporters, who have lambasted the agency for its rapid approval of Covid-19 vaccines.

The FDA will give the vouchers to firms that “are aligned with the national health priorities” of addressing unmet public-health needs, making drugs domestically to boost national security or making drugs more affordable in the U.S., according to the document, though it didn’t offer further detail. The agency could give the vouchers for specific products, or to companies to speed up the product approval of their choosing. The vouchers would be valid for two years and couldn’t be sold.

Congress has created past FDA voucher programs, but the FDA could create this program on its own, lawyers with expertise in drug law said.

Still, rewarding companies that have lowered drug costs would be new territory for the agency, which has had little to do with drug prices.

“If this is able to incentivize research or work in certain significant priorities that otherwise would not be affordable or interest to manufacturers, that would be a significant win,” said Lowell Schiller, a former acting chief counsel at the FDA. “It would need to be a thorough review that doesn’t cut corners.”

Some employees remain hopeful that a new artificial-intelligence tool named Elsa, unveiled by Makary, will help product reviewers spot fake data. Currently the tool is clunky and gets basic facts wrong, people who have used it said.

“The errors were the result of users’ learning a new system and were not inherent to Elsa,” the FDA spokesman said.

An FDA official said about 6,000 people are using the tool weekly. AI can “modernize the FDA and radically increase efficiency in the review process,” Makary wrote in the medical journal JAMA.

U.S. NEWS

GOP Plan Hikes Deficits, Analysis Says

By RICHARD RUBIN

WASHINGTON—Republicans’ tax-and-spending mega-bill would increase budget deficits by \$2.8 trillion through 2034 after factoring in the projected economic growth the bill would create, leading to 15% more red ink than previously estimated, according to the Congressional Budget Office.

CBO’s analysis of the House-passed bill undercuts one of Republicans’ main arguments for the legislation. The bill’s authors have argued that critics are ignoring the economic boom that the tax cuts and President Trump’s other policies would create. That larger, faster-growing economy, they contend, would throw off enough extra tax revenue to cover the \$2.4 trillion gap between the bill’s tax cuts and spending cuts.

The new CBO estimate says the opposite would happen.

According to CBO’s projections, the economy would

grow somewhat faster than if Congress did nothing and let tax cuts expire. But when it comes to the federal government’s bottom line, higher interest rates would cost the U.S. more than \$400 billion, overwhelming the extra revenue coming from that growth.

Forecasts aligned

CBO’s analysis aligns with the forecasts of nongovernment groups across the political spectrum.

The bill’s tax cuts would accelerate economic growth in the short term, but higher budget deficits and interest rates would then wash away those benefits, according to CBO. When additional interest costs are included, the net effect would push federal debt \$3.3 trillion higher than projected by 2034.

The bill is a combination of many of Trump’s priorities, all rolled into a single measure that lawmakers are trying to get to his desk by July 4. It

would extend expiring tax cuts, add new tax breaks, reduce projected Medicaid and nutrition-assistance spending and increase spending on border security and national defense. Republicans have argued that it is essential to extend the tax cuts, and Treasury Secretary Scott Bessent last week told lawmakers that failure would lead to a “sudden stop” in the economy and major job losses.

Tuesday’s CBO report starts with the conventional analysis that shows the bill adding to budget deficits by \$2.4 trillion through 2034, on top of the \$21 trillion that the country would incur if Congress does nothing and the 2017 tax cuts expire as scheduled at the end of this year.

CBO then assessed how much additional economic growth the bill would create. In the short term, that mostly comes from individuals having more money and greater willingness to work because of the tax cuts. In the long run,

that growth comes from business investments that boost productivity.

In all, the bill would increase real gross domestic product by 0.5% over the decade. The increase in the GDP growth rate would be about 0.09 percentage point in the first few years and 0.04 percentage point for the whole period. That is far short of the jump to 2.6% annual growth from 1.8% that House Republicans say is likely.

Higher interest rates

The additional budget deficits would counteract that growth, crowding out private investment and driving up interest rates by an average of 14 basis points above CBO’s forecasts. Because the federal government owes so much money already, its costs are very sensitive to changes in interest rates.

The bill would increase inflation, leading the Federal Reserve to slow the path of in-

terest-rate cuts, according to CBO. And the bill’s funding for immigration enforcement and detention would reduce the workforce.

“Today’s CBO score will disappoint every Republican who hoped tax breaks for billionaires would magically pay for themselves,” said Rep. Brendan Boyle (D., Pa.), the top Democrat on the House Budget Committee.

The CBO analysis looks only at the changes proposed in the House bill. That means it doesn’t include the Senate’s counterproposal, the administration’s deregulatory efforts or Trump’s tariffs. Republicans have been steadily trying to discredit CBO over the past few weeks.

Senate Republicans this week proposed some changes aimed in part at bolstering the bill’s long-run growth potential. They called for shrinking the House’s short-term tax cuts.

CBO hasn’t yet analyzed the Senate proposal.

U.S. WATCH

NEW YORK

Combs Unlikely To Testify at Trial

The possibility that music mogul Sean “Diddy” Combs might testify at his federal sex trafficking trial all but vanished Tuesday after his lawyer predicted a defense presentation lasting as little as two days and a judge said jurors could begin deliberations as early as next week.

Lawyer Marc Agnifilo offered the hint when Judge Arun Subramanian asked him for an estimate on the length of the defense case, and the attorney said their presentation could last less than two days—but not more than five.

If Combs testified, it was likely his testimony would take longer than a week. Testimony by two of his former girlfriends consumed two of the trial’s six weeks.

Combs, 55 years old, has pleaded not guilty to sex trafficking and racketeering conspiracy charges. He has been jailed at a federal lockup in Brooklyn since his September arrest at a Manhattan hotel.

—Associated Press

PENNSYLVANIA

Menendez Begins Prison Sentence

Former U.S. Sen. Bob Menendez arrived at a federal prison on Tuesday to begin serving an 11-year sentence for accepting bribes of gold and cash and acting as an agent of Egypt. The New Jersey Democrat has been mocked for the crimes as “Gold Bar Bob,” according to his own lawyer.

The federal Bureau of Prisons confirmed that Menendez was in custody at the Federal Correctional Institution, Schuylkill in Minersville, Pa. The facility has a medium-security prison and a minimum-security prison camp. Given the white-collar nature of his crimes, it is likely he will end up in the camp.

Menendez, 71, maintains his innocence. Last week, a federal appeals court rejected his last-ditch effort to remain free on bail while he fights to get his bribery conviction overturned.

Menendez resigned last year after he was convicted of selling his clout for bribes. FBI agents found \$480,000 in cash in his home, some of it stuffed inside boots and jacket pockets, along with gold bars worth an estimated \$150,000 and a luxury convertible in the garage.

—Associated Press

LOUISIANA

Sports-Betting-Tax Increase Expected

Louisiana is poised to increase taxes on sports betting to pump more than \$24 million into athletic departments at the state’s most prominent public universities.

Legislation pending before Gov. Jeff Landry would make Louisiana the first state to raise taxes to fund college sports since a judge approved a landmark settlement with the NCAA allowing schools to directly pay athletes for use of their name, image and likeness (NIL).

Anticipating the court’s approval, Arkansas this year became the first to waive state income taxes on NIL payments made to athletes by higher education institutions.

—Associated Press

WASHINGTON, D.C.

DHS Secretary Noem Hospitalized

Homeland Security Secretary Kristi Noem was taken to a Washington, D.C., hospital by ambulance on Tuesday after suffering an allergic reaction, a spokeswoman said.

She was alert and recovering, the spokeswoman said, adding that Noem was taken to the hospital out of an abundance of caution.

Noem, 53, is expected to hold a press conference on Wednesday morning in New York to discuss the Transportation Security Administration’s work and the rollout of the REAL ID, her office said earlier on Tuesday.

Noem’s office oversees Immigration and Customs Enforcement, one of the groups tasked with carrying out President Trump’s plans to deport millions of immigrants living in the U.S. illegally.

—Robert Barba

By ASHLEA EBELING

The big tax-and-spending bill in Congress would end a race against time by the wealthy to avoid estate taxes.

The bill passed in the House last month and the Senate Finance Committee proposal released Monday both would permanently allow people to hand their heirs \$15 million without paying a dime. Under the current rules laid out in the 2017 tax law, today’s nearly \$14 million exemption would expire at year-end and drop by about half.

To get ahead of that cliff, Americans have been making lifetime gifts to use up the higher exemption amount before it sunsets. Under the new bill, more people than ever could escape federal estate taxes when they die.

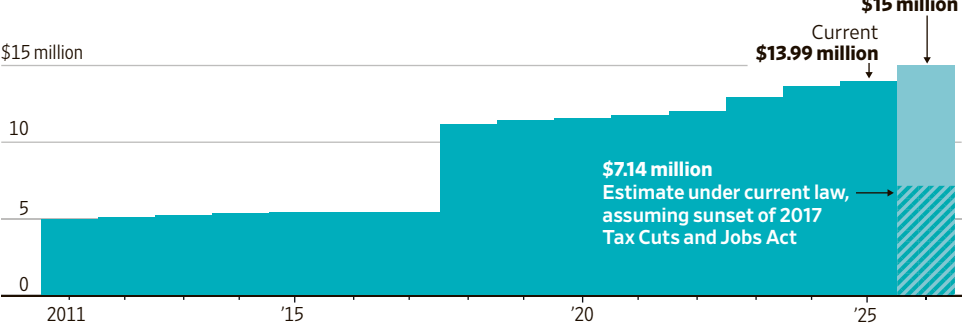
An individual worth \$15 million who died this year would owe \$404,000 in federal estate taxes, assuming no deductions for state estate taxes or charitable bequests. If they died on Jan. 1, under current law they would owe \$3.14 million. If the tax bill passes with the new \$15 million exemption amount, they would owe nothing.

A married couple worth \$30 million where both spouses die in 2026 would pay some \$6 million less under the bill compared with current law.

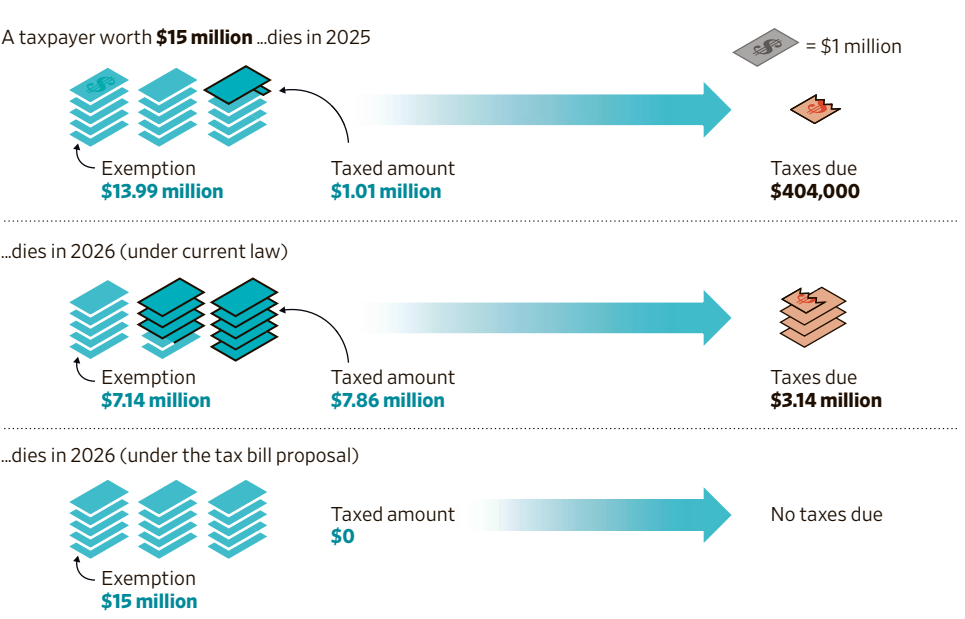
The estate tax cuts are a boon for the richest in a bill that has already received criticism for aiding the wealthy at the expense of low-income people.

“They went out of their way to expand tax cuts for the wealthy on a permanent basis, but some new tax cuts for modest income people are temporary,” said Samantha Jacoby, deputy director of federal tax policy at the Center on Budget and Policy Priorities, a progressive-leaning think tank.

Federal estate–tax exemption amount



Estate–tax scenarios around the proposed tax bill



Sources: IRS, Joint Committee on Taxation (tax exemption); Matthew Widmyer, counsel, Davis Wright Tremaine (scenarios)

The new higher exemption might not seem like a big change from today’s level of \$13.99 million per person and double that for a married couple. But if Congress doesn’t act, the threshold will drop to an estimated \$7.14 million per person at year-end.

That is because the 2017 tax law passed in President Trump’s first term, which doubled the base exemption amount, made the change temporary to help fit it inside that law’s \$1.5 trillion headline cost.

Senate Majority Leader John Thune (R., S.D.), who is shepherding the bill through the Senate, has also repeatedly introduced legislation to repeal the estate tax, but he said recently that he thinks the proposed new threshold “is kind of where this thing’s gonna land, indexed for inflation.” The top estate-tax rate of 40% wouldn’t change.

Under current law, fewer than 1 in 1,000 estates owed any estate tax in 2023. Before the exemption doubled, in 2017, just over 2 in 1,000 es-

tates owed any estate tax.

The cost to the Treasury of the proposal is estimated at \$212 billion over 10 years, compared with expiration and a return to the lower exemption.

The certainty of a new, higher exemption is a game changer for estate planning, estate lawyers said. “The permanence is a big deal for our family businesses, so they can do more long-term succession planning,” said Palmer Schoening, chair of the Family Business Coalition, which lobbies

of nuclear radiation poisoning, a cause he has championed.

Sen. Jim Justice (R., W.Va.) said that the Medicaid change is “going to hurt our rural hospitals and hurt them in a big way, and I don’t want to see that.” Sen. Susan Collins (R., Maine) also has concerns about the effect on rural hospitals in her state.

Critics of the provider tax, including Trump’s Medicaid chief, Mehmet Oz, call provider taxes a circular money-laundering scheme because they ultimately attract more federal matching funds—money that is generally directed back to the hospitals paying the tax. But it has also become an embedded feature of the U.S. health system, with Medicaid covering more than 70 million people.

While the Medicaid changes angered the program’s defenders, it did little to cheer budget hawks who have criticized the overall bill. Sens. Ron Johnson (R., Wis.) and Rick Scott (R., Fla.) both said the Medicaid cuts weren’t enough.

“It just simply doesn’t meet the moment,” said Johnson of the bill. He added that there was no way to fix the legislation by July 4.

Budget hawks want to see

deeper reductions in federal spending to offset the extension of Trump’s 2017 tax cuts and the addition of new tax cuts—such as a version of no taxes on tips—that the president campaigned on.

The rival GOP stances make for complicated trade-offs.

“There are those who want more cuts. There are those who want more spending. There are those who want more tax increases or tax cuts, and there are those who want more deficit reduction,” said Senate Finance Committee Chairman Mike Crapo (R., Idaho). “So all of those issues are floating around.”

Democrats are united against the legislation, which is being advanced under special procedures that allow the GOP to evade the 60-vote threshold for most legislation and pass the bill with a simple majority.

Sen. Rand Paul (R., Ky.) is opposed to the bill because it would also increase the debt ceiling by \$5 trillion, meaning Republicans can likely afford to lose only two more votes and still pass the bill.

“I don’t think deeper Medicaid cuts will pass the Senate nor the House,” said Rep. Don Bacon (R., Neb.), who voted for

the House bill after blocking a similar attempt in the House to cut the provider taxes levied in states that didn’t expand Medicaid.

The House last month passed its version of Trump’s agenda by a single vote. Broadly, the bill would extend expiring tax cuts and create new tax breaks that Trump requested. It also includes new limits on federal nutrition assistance. The House version would increase budget deficits by \$2.8 trillion through 2034 after factoring in the projected economic growth the bill would create, leading to 15% more red ink than previously estimated, according to a new Congressional Budget Office report out Tuesday.

The Senate’s version shows adjustments all over the place, creating a smaller but longer-lasting child tax credit expansion, a less generous extension of the tax deduction for closely held businesses, a gentler version of a retaliatory tax against some foreign governments and an extensive revision of tax rules for U.S.-based multinational companies. The CBO hasn’t yet detailed the expected costs of the Senate bill.

Senate Republicans’ more generous extension of clean

energy tax credits assuaged concerns from Sens. Thom Tillis (R., N.C.) and John Curtis (R., Utah), who had both warned about the quick cutoffs in the House bill. But they could also create headaches, particularly when the bill heads back to the House.

On top of that, party leaders must contend with blue-state Republicans who insist on a higher cap for the state and local tax deduction. The House bill bumped the cap to \$40,000, while the Senate bill keeps it at the current \$10,000, acknowledging that is a starting point.

Senate Majority Leader John Thune (R., S.D.) stuck by the cuts to the provider tax, saying that the new limits, along with related cuts to supplemental payments to many Medicaid providers, would “rebalance the program in a way that provides the right incentives to cover the people who are supposed to be covered by Medicaid.”

Broadly, many Republicans said that Medicaid has expanded to cover groups and services beyond what was intended, jeopardizing the social safety-net program. Democrats said that cutting the provider tax would destabilize care for the poor and disabled.

Medicaid Cuts Imperil Legislation

Continued from Page One that would essentially cut to 3.5% from as much as 6% so-called provider taxes for entities like hospitals in the states that expanded Medicaid under the Affordable Care Act. These taxes enhance states’ Medicaid budgets and in turn, attract more federal matching funds.

Some Republican senators said they were caught off guard by the steep reductions and indicated they could be deal breakers.

“Alarming,” said Sen. Josh Hawley (R., Mo.) of the proposal to cut the provider tax. “It’s a big change from what we had previously been discussing, certainly what I discussed with leadership,” he said, calling it “potentially really bad for rural hospitals.”

Hawley has been outspoken in defense of Medicaid funding, but also recently won a provision in the bill to fund victims



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U.S. NEWS

Tariff Clock Is Ticking After G-7 Summit

With trade talks at an impasse, Trump’s deadline for higher levies approaches

KANANASKIS, Alberta—Leaders from some of America’s biggest trading partners traveled to the Group of Seven industrial nations summit in

By *Kim Mackrael, Vipal Monga and Natalie Andrews*

Canada this week hoping for deals with President Trump. They left empty-handed. A meeting with Japanese Prime Minister Shigeru Ishiba ended with a pledge for more talks. After discussing trade with European Commission President Ursula von der Leyen, Trump said he didn’t think the bloc was offering a fair deal. Canadian Prime Minister Mark Carney set a new 30-day timeline for a trade deal but couldn’t ink an agreement. “The fact that the Americans left there with no deals suggests that what they’re asking other countries to stomach is too high a price for them to pay,” said Brian Clow, who was deputy chief of staff to Canada’s former Prime Minister Justin Trudeau. Some of America’s closest partners now face a ticking clock before a July 9 deadline that the U.S. has set to impose a global slate of higher tariffs, Trump’s so-called reciprocal levies.

The G-7 was thought to be a place where the heads of state could try to break impasses that have emerged between their staffs. But Trump doubled down on his support for tariffs this week, touting the revenue the duties are bringing in and referring to himself as a “tariff person.” Trump on Monday formally agreed to a previously announced trade pact with the U.K. The U.S. didn’t announce any other deals, despite recent comments from administration officials about how close they were to agreements. Leaders from Mexico, India and South Korea, who arrived at the G-7 for meetings on Tuesday, didn’t get to see Trump because he left a day early to tend to the conflict in the Middle East. Mexican President Claudia Sheinbaum wrote in a social-media post that she spoke to Trump on Tuesday and the two agreed to work together to reach an agreement on what she referred to as various issues of concern. Sheinbaum and a White House official said it was a good call. Canadians had come to the summit holding an offer for a deal that would have exchanged higher Canadian military spending for the lifting of 50% U.S. duties on steel and aluminum imports and levies on Canadian auto imports that have squeezed the industry here, said a Canadian official. Carney told Trump during their bilateral meeting that tariffs have hurt the Canadian steel industry, but the president effectively shrugged off



MICHAEL KAPPEL/DPAZUMA PRESS

Import Prices Held Steady in May

Import prices into the U.S. were unchanged last month, Labor Department data showed Tuesday. Economists polled by The Wall Street Journal had expected prices to be 0.1% lower compared with a month earlier. Prices rose 0.1% in April. Import prices are taken at the point of departure and therefore exclude duties, such as tariffs recently imposed on imports by the Trump administration.

Imported fuel prices

slumped 4% in May, stronger than the 2.6% decrease in April, driven by lower petroleum and natural-gas prices in the period, the Labor Department said. However, the fall there was offset by nonfuel imports, which advanced 0.3%. Higher prices for nonfuel industrial supplies, capital goods, consumer goods and vehicles more than offset lower prices for foods, feeds and beverages, according to the Labor Department.

—Ed Frankl

Officials attending the G-7 meeting in Canada gathered on Tuesday ahead of a working session with Ukraine.

Canadian and U.S. officials were expected to continue to talk this week, and U.S. Trade Representative Jamieson Greer stayed in the country after Trump flew back to Washington. A White House official said the administration wants to strike bilateral deals, pointing to continuing meetings with Japan, India and the European Union as a sign that the administration was engaged in dealmaking. But some foreign officials said the administration sends mixed messages. If tariffs are intended largely as a source of income—as some of Trump’s recent comments suggest—trading partners see less room to negotiate their removal. “We’re making a lot of money,” Trump said early Tuesday of the tariffs. Trump said early Tuesday,

after leaving the summit, that he didn’t think the EU was offering a fair deal yet. The bloc of 27 nations had been “very tough over the years,” he said. “We’re either going to make a good deal or they’ll just pay,” he said. Europe’s trade chief, Maroš Šefčovič, met with Greer on the sidelines of the G-7 summit on Monday and will travel to Washington this week, people familiar with his plans said. EU officials view the two sides as still far apart, according to people familiar with their thinking. But there appeared to be desire on both sides for progress. After a separate meeting with Trump on Monday, the European Commission’s von der Leyen said the two leaders had instructed their teams to “accelerate their work to strike a good and fair deal.”

Trump Officials Weighed Broader China Tech Curbs

By *AMRITH RAMKUMAR AND LIZA LIN*

Commerce Department officials weighed new export limits on critical technology going to China ahead of recent trade talks in London, adding to the Trump administration’s arsenal if tensions between Washington and Beijing escalate again. The Commerce Department unit overseeing export controls has weighed tougher limits on semiconductors, including cutting off sales to China of a wider swath of chip-manufacturing equipment, people familiar with the matter said. Such a move would have covered equipment used to make everyday semiconductors, expanding beyond existing export limits on equipment for producing advanced chips. The decision could have roiled supply chains for chips needed to make everything from smartphones to cars, while threatening billions of dollars in sales for leading equipment companies such as Applied Materials, Lam Research and KLA.

The restrictions were discussed as an option if trade talks didn’t go well and are no longer actively being considered, a White House official said. In London last week, the U.S. and China agreed to reinstate a recent truce they had reached cutting sky-high tariffs. The detente involves U.S. access to Chinese rare-earth materials and allowing Chinese students to continue studying at U.S. universities. Even so, tensions continue. China is putting a six-month limit on the sales of rare earths to U.S. carmakers and manufacturers, giving Beijing leverage if the trade conflict flares up again. Ahead of the London talks, the U.S. hit companies in industries from jet engines to chemicals with export limits.

Restrictions on semiconductors have been a key issue in U.S.-China trade talks. Making chips requires specialized equipment to add thin layers of various materials to silicon wafers. Much of the equipment is made by companies in the U.S., the Netherlands and Japan, giving the West leverage. “In the economic war with China, this is the most powerful weapon we’ve got,” said Dmitri Alperovitch, co-founder of the Silverado Policy Accelerator think tank. “If you’re going to leverage this trump card, now is the time to do it.” The second Trump administration has taken some fresh steps to hobble China’s artificial-intelligence industry, following curbs put in place by the Biden administration. In one instance, Commerce’s Bureau of Industry



AGENCE FRANCE-PRESSE/GETTY IMAGES

A semiconductor wafer being made at a factory in China.

and Security is preparing measures to limit the sale of American technology to many subsidiaries and affiliates of Chinese companies subject to a trade blacklist. Administration officials aren’t always of one mind on the issue, with national-security hawks advocating tougher measures while business-minded officials want to do deals and support sales by U.S. companies. On the issue of semiconductor-making equipment, the Biden administration

considered broad restrictions but ultimately decided to focus on advanced chips, people familiar with the discussions said. Equipment companies have argued that tight restrictions without buy-in from other countries would limit the amount they can invest in research and development and benefit foreign competitors. China accounts for tens of billions of dollars in revenue for Western equipment companies. The country generated roughly 40% of the revenue for Applied Materials, Lam and KLA in their most recent fiscal years.

Since 2022, the U.S. has used its semiconductor industry to hamstring China, an approach that has drawn criticism from industry executives such as Jensen Huang, chief executive of chip designer Nvidia, who argues the controls motivate China to innovate. The Trump administration has said it wants to share technology with allies while beating back China’s advances.

Stablecoin Bill Passes In Senate

Continued from Page One

The roughly \$240 billion stablecoin market is expected to surge in the coming years, with financial-industry titans such as Visa and Mastercard getting into the sector, attracted in part by the prospect of regulatory certainty created by the bill. Amazon.com and Walmart are among the big companies also exploring stablecoins. Many Democrats got on board with the GOP-led effort after strengthening consumer protections and national-security provisions. Supporters of the bill argued that doing nothing would push the industry offshore and lead to more nefarious activity. “I think crypto is here to stay and I’d rather have it be American led,” Sen. Mark Warner (D., Va.), who supported the bill, said in an interview. The Senate passage is a big win for Circle, the largest U.S.-based stablecoin issuer, which recently went public. Circle has argued for regulations to legitimize the industry and in part to hurt Tether, its main rival and the biggest player globally. Tether is based overseas and hasn’t shown it can meet the standards outlined in the bill. Tether didn’t respond to a request for comment. The crypto industry became a bigger player in Washington

after companies and executives donated more than \$170 million to three super PACs last year and made inroads with Trump, a Republican whose family’s crypto business has its own stablecoin. The bill divided Democrats. Warner and other moderate lawmakers said it was worth passing legislation to establish at least some guardrails on the industry, but advocates for tighter regulation such as Elizabeth Warren (D., Mass.) opposed the bill, arguing it puts consumers at risk. “The Genius Act lacks the basic safeguards necessary to ensure that stablecoins don’t blow up our entire financial system,” Warren said. More moderate members of the party including Warner and bill co-sponsor Sen. Kirsten Gillibrand (D., N.Y.)



BRENDAN MCFERND/REUTERS

The Senate approval is a big win for Circle, a stablecoin issuer that recently went public.



MARIAM ZUHAR/ASSOCIATED PRESS

branch officials and lawmakers from issuing stablecoins, in part to address concerns about conflicts of interest created by Trump’s crypto ventures. It isn’t clear how that would affect the Trump family’s World Liberty Financial crypto firm because regulators would have to interpret the company’s ownership structure. Launched in September, World Liberty Financial came out with its own stablecoin earlier this year. The bill mandates that regulators supervise issuers of large stablecoins in some of the same ways they regulate banks. Stablecoin issuers would need to comply with anti-money-laundering rules and sanctions, to help ensure they aren’t used by criminals. The bill requires issuers to hold \$1 of reserves, such as cash or Treasury bills, for every \$1 of stablecoins. Major stablecoins with more than \$50 billion of tokens in circulation would be required to publish audited financial statements.

WORLD NEWS

Trump’s Departure
Casts Cloud Over G-7

World leaders had hoped to secure U.S. backing for tougher sanctions on Russia

By **KIM MACKRAEL**
AND **VIPAL MONGA**

KANANASKIS, Alberta—A day after President Trump signaled that Ukraine isn’t a top priority, and following Russia’s deadliest attack on Kyiv in weeks, Ukrainian President Volodymyr Zelensky left a summit of the Group of Seven industrial nations without the support he had hoped to rally.

The U.K. and Canada pledged new sanctions against Russia on Tuesday, and leaders expressed support for Ukraine in social-media posts and public statements.

But U.S. objections prevented the G-7 from agreeing on a joint statement condemning Russia’s invasion of

Ukraine, Canadian and European officials said. A short summary of leaders’ discussions expressed support for Trump’s efforts to end the conflict and lacked the forceful condemnations of Russia’s invasion that previous G-7 communiqués have contained.

Zelensky arrived by helicopter at the G-7 summit in the Canadian Rockies on Tuesday, after Trump had already left ahead of schedule on Monday, saying he had to return to Washington to focus on Israel’s clash with Iran.

European leaders want to keep the Trump administration engaged in supporting Ukraine, including by providing military intelligence and equipment, and persuade Trump to back more sanctions to hurt Russia economically. They hope that would push Russia into accepting a cease-fire.

“We need support from our allies,” Zelensky said in brief remarks before entering a meeting with Canadian Prime

Minister Mark Carney. He said Ukraine is ready for peace negotiations and an unconditional cease-fire, “but for this we need pressure.”

Canada and the U.K. said on Tuesday that they plan to toughen their sanctions against Russia, including by targeting its shadow fleet of ships that transport illicit oil.

Canada had sought agreement on a formal joint statement about the war in Ukraine but moved the language into a summary of the meeting issued at the end of the summit, Canadian and European officials said.

The summary said G-7 leaders would seek to maximize pressure on Russia and recognized that Ukraine had committed to an unconditional cease-fire and Russia should do the same.

Previous G-7 communiqués have condemned Russia’s invasion as an illegal war of aggression and emphasized enduring support for Ukraine.



At least 15 people were killed in Kyiv during a Russian drone and missile attack early Tuesday.

Carney said the language in his summary was discussed by G-7 leaders during a Monday night dinner Trump attended.

“There would be things that some of us, Canada included, would say above and beyond what was said in the chair summary,” Carney said at a press conference.

Trump, who has sought to broker peace between Russia and Ukraine, suggested this month that both sides might

need to keep fighting before they are ready to make peace. On Monday, he expressed coolness toward tightening sanctions.

“When I sanction a country, that costs the U.S. a lot of money—a tremendous amount of money,” he said. “Sanctions are not that easy.”

Sen. Lindsey Graham (R., S.C.) has introduced a Russia sanctions bill that would impose 500% tariffs on countries that buy Russian oil. He has

said it would give Trump more leverage to end the war. Trump had earlier referred to the plan as a “harsh bill” and warned that it would need his approval.

Trump also criticized ejecting Russia from what had been the G-8 following Russia’s 2014 seizure of the Crimean Peninsula from Ukraine. “I think that was a mistake,” Trump said. “I think you wouldn’t have a war right now if you had Russia in.”

Europe Backs Israel Over Iran Despite Anger Over Gaza

LONDON—European governments, increasingly frustrated with Israel over the Gaza war, are giving Israel more diplomatic leeway in its showdown with Iran—at least for now.

By **Max Colchester**,
Noemie Bisserbe
and **Laurence Norman**

Europe has been growing more outspoken against Israel’s war in Gaza, with several European countries led by France drawing closer to defying Israel and the U.S. in recognizing a Palestinian state.

Even Germany, Israel’s most steadfast European ally, has criticized the Gaza campaign.

But no European government wants to see a nuclear-armed regime in Tehran. Iran has been a source of instability in the Middle East for decades, has carried out killings on European soil of Iranian dissidents, and has also been a close ally of Russia—and supplier of drones—in its war with Ukraine.

Speaking to German media at the Group of Seven leaders summit in Canada, German Chancellor Friedrich Merz said Israel is doing the “dirty

work” for others. “I can only say I have the greatest respect for the fact that the Israeli army and the Israeli government had the courage to do this.”

European leaders joined the U.S., Canada and Japan at the G-7 summit this week to declare that Israel has a right to defend itself, and agree that Iran should never be allowed to build nuclear weapons. A joint statement signed at the summit also said Iran was the “principal source of regional instability and terror.”

At the same time, the Europeans are increasingly

alarmed by Israel’s behavior. They are pushing the U.S. to pressure Israel to de-escalate its military strikes, worried that the conflict could spiral out of control into a broader regional war. They remain upset by Israel’s actions in Gaza, where the war is dragging on with no seeming end in sight.

There is also concern that Israel’s strikes will kill off Western efforts to tighten the diplomatic screws on Tehran over its nuclear program. Before Israel’s attack last Friday, the U.K., France and Germany had worked with the U.S. to declare Iran noncompliant

with its core nuclear-safety duties, hoping the threat of renewed sanctions would push Tehran into agreeing to a new deal with Washington.

In calls with Iran’s foreign minister and its president, European officials have pushed Tehran to return to talks with Washington quickly. U.S. officials have called on Iran to come back to the diplomatic table. One top European diplomat said Tehran seems to be seeking a way out of the conflict and that European countries were working with Oman and other regional countries to explore an acceptable for-

mat for talks to continue.

After a videoconference of European Union foreign ministers on Tuesday, the bloc’s foreign-policy chief, Kaja Kallas, urged an end to the crisis.

“We all agree that Iran must never have a nuclear weapon,” she said. “It is urgent to de-escalate the situation. The EU will play its part in diplomatic efforts.”

European capitals aren’t unhappy to see Iran’s nuclear regime weakened by Israel, said Burcu Ozcelik, a senior research fellow at the Royal United Services Institute, a U.K. think tank.

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WORLD NEWS

Trump Weighs Iran Strike

Continued from Page One
tercept them.

Trump is still holding out the possibility that the threat of military action will lead Tehran to accede to his demands for eliminating its enrichment of fissile material—a key component of a nuclear weapon. Iran has indicated a desire to resume talks, he said Monday. Trump said on the way back from the Group of Seven meeting in Canada that he wasn't interested in a cease-fire but wanted a "real end" to Iran's nuclear ambitions.

Vice President JD Vance warned in a social-media post Tuesday that Trump "may decide he needs to take further action to end Iranian enrichment."

The U.S. has heavy 30,000-pound bunker buster bombs in its arsenal that could be used to target Fordow, an enrichment facility near Tehran that is buried under a mountain and difficult for Israel to destroy.

The administration deliberations occurred as the Pentagon moved military assets closer to the Middle East. Several dozen refueling tankers—a mix of KC-46s and KC-135s—deployed to European bases on Monday, including Morón Air Base, Spain, and Ramstein Air Base, Germany. And more warplanes were expected to head toward Europe or the Middle East on Tuesday.

Europe is a logical place to send some of the planes as the air base at Al Udeid, Qatar, and other Persian Gulf bases are within Iran's missile range, military analysts said. In addition, U.S. partners in the Gulf may be anxious about being associated with any U.S. military action, fearing it could make them a target of Iranian reprisals.

If the U.S. were to bomb Fordow, Iran would likely seek to retaliate against American forces in the Middle East, the U.S.'s Arab allies and the



President Trump wrote that Iran's Supreme Leader Ayatollah Ali Khamenei 'is an easy target, but is safe there...for now.'

Strait of Hormuz, a major artery for oil and gas tankers. Iran might also respond by trying to seed the Persian Gulf with mines.

"We always considered the Iranian response to a U.S. strike to be a significant risk," said Frank McKenzie, a retired Marine Corps general who served as the head of the U.S. Central Command, which oversees U.S. troops in the Middle East, from 2019 to 2022. "Even as you prepare for a strike, you have to be prepared for the consequences of that strike. We have always had the technical ability to do the strike."

A U.S. attack on Iran's nuclear facilities would likely be executed in part by multiple B-2 bombers that would take off from Missouri carrying Massive Ordnance Penetrators—huge bombs designed to destroy fortified facilities that are deeply underground.

"These forces in and near

the theater give the president options," said Daniel Shapiro, a former senior Pentagon official in the Biden administration who is a fellow at the Atlantic Council. "If Trump decided to order a strike on Fordow, he can do it expeditiously. He can also use the credible threat of such a strike as leverage to elicit significant Iranian concessions."

Even so, Shapiro added that might not compel Iran to accept Trump's demand for surrender.

Trump, a Republican, was elected to his second term on a platform of avoiding open-ended military conflicts, but he has also accused Iran of fomenting instability in the Middle East and pursuing the potential development of nuclear

weapons.

During his first term as president, Trump was wary of striking Iranian territory. After Iran shot down a U.S. drone in 2019, he considered launching a retaliatory strike but pulled back several hours before it was supposed to take place, worried it would result in many Iranian casualties.

In 2020 Trump ordered the drone strike that killed Maj. Gen. Qassem Soleimani, the head of Iran's paramilitary Quds force, while he was traveling in a convoy to Baghdad. In retaliation Iran fired ballistic missiles at U.S. troops at Iraq's al-Asad Air Base.

Significant American casualties were avoided because the U.S. took advantage of

timely intelligence to move aircraft and weapons from the base. Many personnel were also moved, and the remaining were alerted to take cover. Still, more than 100 troops were treated for traumatic brain injury.

The Iranian retaliation might be somewhat reduced if the Israeli air force continues to destroy Iran's ballistic missiles force. But Iran's ability to continue missile strikes against Israel shows that it still has an inventory at hand.

So far, U.S. forces in the Middle East have limited themselves to a defensive role by shooting down Iranian missiles and drones headed toward Israel, using two ground-based air defense systems in Israel, naval ships at sea and U.S. fighters in the region. The Pentagon has acknowledged sending additional forces to the Middle East but hasn't offered any details.

"Over the weekend, I di-

rected the deployment of additional capabilities to the United States Central Command Area of Responsibility," Defense Secretary Pete Hegseth wrote on X. "Protecting U.S. forces is our top priority."

The Carl Vinson aircraft carrier strike group is in the Middle East. The carrier Nimitz is in a second group that is headed to the region after skipping an expected port call in Vietnam. A third group that includes the aircraft carrier Ford is expected to leave Norfolk, Va., later this month for Europe and could be redirected to the Middle East or the Eastern Mediterranean.

Reza Pahlavi, a U.S.-based son of Iran's last shah and a longtime opposition figure, said on X that the Islamic Republic is collapsing and called on Iranians to rise up. He described the moment as a turning point and claimed the regime's control is weakening.

Though his standing inside Iran is uncertain and often debated, Pahlavi remains a prominent voice in exile. He said a transitional plan is in place for the period after the Islamic Republic and urged military and government personnel not to defend what he called a "decaying" system. Pahlavi's father was overthrown in 1979.

Chancellor Friedrich Merz of Germany said Israel was doing the "dirty work" for other countries by carrying out strikes on Iran's nuclear sites. "I can only say I have the greatest respect for the fact that the Israeli army and the Israeli government had the courage to do this," Merz said in comments to German media at the G-7 leaders' summit in Canada.

European leaders earlier joined the U.S., Canada and Japan at the G-7 summit to declare that Israel has a right to defend itself and agreed that Iran should never be allowed to build nuclear weapons.

Iran has been a source of instability in the Middle East for decades, has carried out killings on European soil of Iranian dissidents, and has also been a close ally and supplier of drones to Russia in its war with Ukraine.

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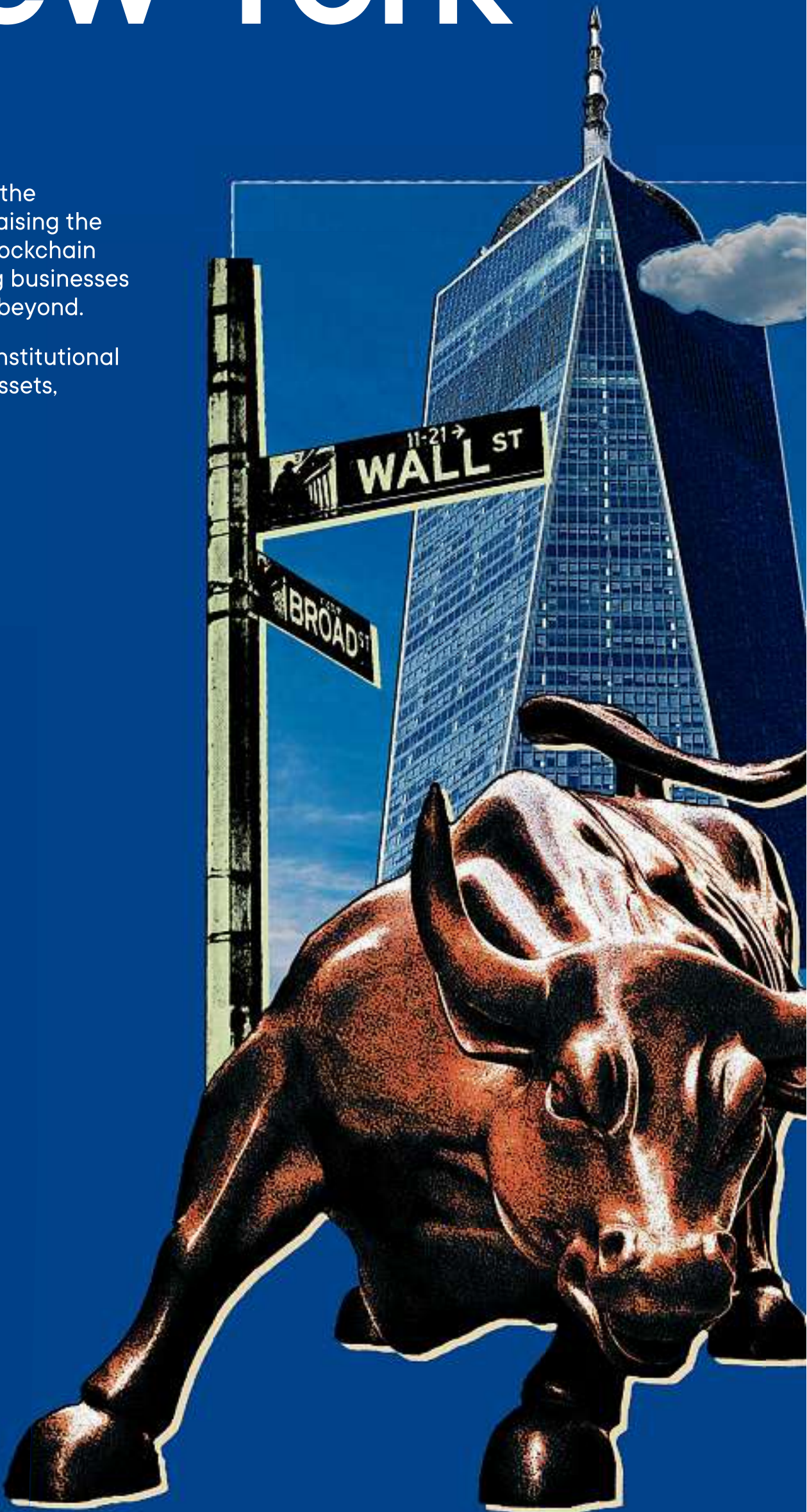
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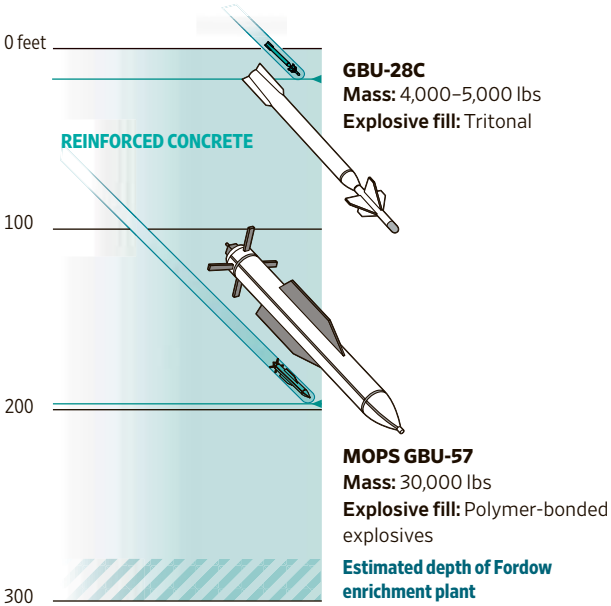


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WORLD NEWS

Approximate penetrative power of U.S. bunker busters

Missiles are dropped at a 45° angle to maximize depth



Note: Depth of missile strike is dependent on ground material; measurements shown are depth in reinforced concrete.
Sources: RUSI; staff reports

ADRIENNE TONG/WSJ

The 30,000-Pound Solution

U.S. GBU-57 bomb is seen as having best chance to penetrate Iran uranium facility

By Benoit Faucon
And Andrew Dowell

The best shot at knocking out the most-fortified part of Iran’s nuclear program comes down to a huge U.S. bomb that has never been used in war. The GBU-57—also called the Massive Ordnance Penetrator, or MOP—is a 30,000-pound behemoth encased in a high-density steel alloy designed to penetrate 200 feet of mountain rock before exploding. Military analysts said that large bunker buster has the

best chance of getting through to targets such as Iran’s Fordow uranium-enrichment facility, buried under a mountain. Its existence has driven speculation the U.S. could get involved in Israel’s attack. “This is really what it was designed for,” said Mark Cancian, who matched bombs to targets in the military. Before bunker busters, the military figured it could turn to nuclear weapons to blast through mountains, said Cancian, now a senior adviser at the Center for Strategic and International Studies, but later the U.S. worked on a conventional alternative. The giant explosives are designed to be delivered by B-2 stealth bombers. Israel on Friday launched

airstrikes aimed at setting back Iran’s nuclear program. It hit underground centrifuge halls at Natanz, according to the International Atomic Energy Agency. But it has yet to attack Fordow. The U.S., which hasn’t joined Israel in the attacks, began building up its military assets in the region in recent days. President Trump, who has pushed for a diplomatic solution all year, has turned more bellicose, calling for unconditional surrender. If the U.S. were to get involved, it would make sense to take on hardened targets such as Fordow and Natanz, said Mick Mulroy, the former U.S. deputy assistant secretary of defense for the Middle East. The United Nations atomic energy chief has warned of

safety concerns, but experts say the radiation risks of an attack on Fordow are low. “If anything were to be dropped on Fordow, there is not a risk of radiation contamination from the attack outside of the site,” said Scott Roecker, vice president for nuclear-materials security at the Nuclear Threat Initiative think tank. Ehud Eilam, a former researcher at Israel’s Ministry of Defense, said Israel could send a large number of its own, smaller penetrator bombs. It also could try a commando raid or cyberattacks, he said. But William Wechsler, deputy assistant defense secretary for special operations under President Barack Obama, said, a U.S. strike would have “the highest confidence of success.”

Iranian Exiles Watch Strikes With Hope Tainted by Fear

By Bertrand Benoit

BERLIN—Expatriates flock to the Hedayat bookstore, a hub of Iranian culture on Berlin’s busy Kantstrasse, to sample saffron lemonade read Persian poetry and criticize the Islamic Republic. But Israel’s strikes on the regime and its nuclear program have driven a wedge into Germany’s 300,000-strong Iranian community, exposing a spectrum of hopes and fears for Iran’s future. One young woman who came to Berlin six years ago said the attacks filled her with optimism that the regime might fall. A friend disagreed. “I’m certainly no friend of the regime but I have very little hope anything good will come out of Israel’s aggression,” said Sahar Mohammadi, a 29-year old graduate student. The Iranian community in Germany is Europe’s largest, and while many of its members hope the Islamic regime could be collapsing, others are

concerned about civilian casualties, a repressive backlash if the regime survives, and civil war if it doesn’t. “You have to picture essentially three groups,” says Ebrahim Afsah, law professor at the University of Copenhagen. “There is a minority who support the regime...There are those who are hostile to the regime but don’t like their country being attacked...And there is a third group who see themselves as more or less aligned with Israel in that they have a common enemy.” Afsah, born to a German mother and an Iranian father, added: “The third position is the most logically convincing.” Many Iranians in exile cheered when Israeli strikes killed the chief of the general staff of Iran’s armed forces and leaders of the Islamic Revolutionary Guard Corps. There was exhilaration at the lackluster response to Israel’s volley. Others were terrified their families could become collateral damage. Some say they



Members of the National Council of Resistance of Iran protested in Berlin in April.

struggle to comprehend aerial bombardments hitting Tehran. One woman said images of the devastated Gaza strip after 20 months of Israeli bombardment are seared on her mind,

making her question what Israel planned for her country. Fatima Mokhtari, another Iranian expat in Berlin, was awakened at 5 a.m. on Friday by a text from her sister in

Tehran saying the family was OK. The 37-year old couldn’t find news about the extent of the Israeli bombardment, and began to panic. She alternated between crying and stress-eat-

ing ice cream. On Sunday night, she and a dozen emotionally exhausted friends gathered at a restaurant. The war was the only topic of discussion. “Something like this was always going to happen as long as this regime is in power,” said Mokhtari, whose family has left Tehran for the countryside. “There was some excitement mixed with fear when the attack started. But as time goes by I’m growing more fearful.” There are signs the diaspora is mobilizing around the unfolding war. Mohammadi describes one group as “left-wingers”—opponents to the regime, critical of Israel’s attacks and distrustful of the supporters of Reza Pahlavi, the U.S.-based son of the last monarch of Iran. Mohammadi showed the gold pendant on her necklace: a tiny map of Iran. “Every Iranian is a nationalist, but nationalism means something quite different for us,” she said. “It isn’t aggressive, it just means we defend our country when attacked.”

Israelis Try to Return Home

By Dov Lieber
And Zvi Smith

When Shay Bialik and her husband, Ido Dembin, left their 9-month-old baby to attend an Israeli-Palestinian peace conference in Paris, they thought surely they would be back in time for a meeting with doctors to discuss a surgery that could give their deaf daughter a chance to hear. But a few hours after they landed, Israel launched a surprise attack on Iran. Its skies are now closed indefinitely. “I would swim to Israel to make sure we make it on time,” Dembin said. The couple are now among more than 100,000 Israelis trying to find a way home as their loved ones are under regular bombardment from Iranian ballistic missiles. Israelis have crowded into nearby countries, like Cyprus and Greece, hoping to be in place for a flight as soon as they start back up again. Some aren’t waiting for airlines. They are chartering boats of any kind—yachts, large passenger ships, tug-

boats—to Israel from Cyprus. Tickets can cost thousands of dollars for a single seat. Groups on Facebook, WhatsApp and Telegram have sprouted to help connect Israelis to these pricey options. Spreadsheets show names, numbers, locations and prices of seats. Others, if they can get tickets, are flying into Egypt and Jordan and crossing land borders into Israel. This is the first time Israel’s airspace has been closed this long in its 76-year history, and it remains unclear when it will reopen. Many Israelis say they have felt abandoned by their government, which appeared to have no effective plan in place to help those stranded abroad once the surprise attack began. On Tuesday, the country’s transportation minister, Miri Regev, said the government had a “phased, organized” plan set in place before it launched the attack on Iran. She said Israeli planes had been ordered to leave Israel’s territory as soon as the first bombing run began, and directed to destinations in Europe and the U.S. where Israe-

lis would be expected to congregate for return flights. She said the next phase would allow only incoming flights and give priority to members of security services and reservists who need to return for duty, as well as those who need to come home for medical or family emergencies. While Israelis were trying to get back into the country, tourists were scrambling to get out. Emergency flights back into Israel are expected to begin on Wednesday, but will be limited to a handful of planes that can carry around a total of 2,000 people daily. There is no clear timeline for when departures will restart. For many Israelis like Bialik and Dembin, the future is still uncertain. They managed to get one-way tickets from Paris to Tel Aviv for 800 euros, or \$925, each, but their flight isn’t for another week and depends on the volatile security situation. Meanwhile, their daughter is staying with her grandparents in Rehovot, a town in central Israel where the couple also lives. A ballistic missile landed near enough to their home on Sunday to shatter windows. “I miss her very much,” Bialik said of her daughter. “It is part of your heart that you can’t see or protect.”

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People register to get on a bus in Tel Aviv slated to take foreign passport holders out of Israel.

WORLD WATCH

GULF OF OMAN

Oil Tankers on Fire After They Collide

Two oil tankers were on fire after colliding early Tuesday near the Strait of Hormuz, as maritime officials warned that navigational systems are being jammed in the Middle East as a result of the Iran-Israel conflict.

Navigational issues caused the crash off the coast of the United Arab Emirates, the owner of one of the vessels said. The U.A.E. coast guard said it evacuated 24 people. The Strait of Hormuz, the only sea passage from the Persian Gulf to the open ocean, is one of the world's busiest shipping corridors.

—Gareth Vipers

UNITED KINGDOM

Lawmakers Pass Abortion Measure

By a 379-137 vote Tuesday, the House of Commons passed a crime-bill amendment to prevent women in England and Wales from being criminally punished for having an abortion. One supporter said the change was needed because in the past five years police have investigated more than 100 women for suspected illegal abortions, including some who suffered miscarriages and stillbirths.

Abortions are legal up to 24 weeks, and beyond that under special circumstances, such as when the life of the mother is in danger.

—Associated Press

GAZA

At Least 51 Killed Waiting for Food

At least 51 Palestinians were killed and more than 200 wounded while waiting for trucks carrying food in Khan Younis, said Gaza's Health Ministry and a local hospital.

Palestinian witnesses said Israel carried out an airstrike on a nearby home before soldiers opened fire.

Israel said they spotted a gathering near a stuck aid truck, adding "there are reports of several casualties" from its gunfire as the crowd approached. The shooting didn't appear related to a new Israeli- and U.S.-supported aid-delivery network.

—Associated Press



A Gazan wounded in an Israeli strike near an aid-distribution center was carried to a hospital.

ABED RAHIM KHATEIB/DPPI/ZUMA PRESS

FROM PAGE ONE



Federal agents gather near Omaha's Glenn Valley Foods. Top right, demonstrators protest ICE agents in Los Angeles; bottom right, Dale Hedrick's Florida construction site was hit by a raid.

Workplace Raids Hit Economy

Continued from Page One

The conflict could be difficult to untangle—and public signs are emerging of a clash within the administration. The Department of Homeland Security late last week directed immigration officers to pause arrests at farms, restaurants and hotels, stressing that sweeps should focus on people in the U.S. illegally who have criminal backgrounds.

"Severe disruptions to our food supply would harm Americans," wrote Agriculture Secretary Brooke Rollins on X Sunday. "It took us decades to get into this mess and we are prioritizing deportations in a way that will get us out."

At the same time, DHS appeared to walk back its own directive from last week.

In a letter to Immigration and Customs Enforcement leadership over the weekend, Homeland Security Secretary Kristi Noem doubled down on the administration's efforts to deport millions of people living in the country illegally. "[W]e must dramatically intensify arrest and removal operations nationwide," she wrote in the letter, which was reviewed by The Wall Street Journal. "This is a nonnegotiable national priority."

'No safe spaces'

ICE agents will be judged "every day by how many arrests you, your teammates and your office are able to effectuate," she wrote, adding, "Failure is not an option."

She also said worksite enforcement—the types of raids that had been exempted for some industries in guidance issued days earlier—remained "a cornerstone" of the president's deportation plan: "There will be no safe spaces for industries who harbor violent criminals or purposely try to undermine ICE's efforts."

A Homeland Security spokeswoman said on Monday that ICE isn't ruling out worksite enforcement at farms, restaurants, and hotels, and will give priority to places that are thought to be employing people with criminal records. A White House official said the administration is expanding deportation efforts in major cities, but added that

"anyone present in the United States illegally is at risk of deportation."

The Trump administration and other conservatives argue that illegal immigration has robbed American workers of jobs, depressed wages and strained public resources. Administration officials believe that once those living in the U.S. illegally are evicted, the economy will improve for American workers.

"We must expand efforts to detain and deport Illegal Aliens in America's largest Cities," Trump wrote in a Sunday Truth Social post, specifically calling out cities led by Democrats, such as Los Angeles, Chicago and New York. Undocumented workers, he continued, are "robbing good paying Jobs and Benefits from Hardworking American Citizens."

Asked if there would still be exemptions on ICE raids for certain industries, Trump said early Tuesday morning aboard Air Force One: "Everyone is being looked at, but the bigger problem is the cities right now."

Labor shortfalls

The recent fluctuations in the Trump administration's stance followed weeks of pressure from industry groups that predated the latest raids. Farm and meatpacking representatives argued that labor shortfalls loomed if current policy continued, and that the result could be higher food prices, according to trade groups and company lobbyists.

The hospitality industry told administration officials that it faced acute workforce shortages and lobbied for more temporary visas for hotel workers, said Rosanna Maietta, chief executive of the American Hotel & Lodging Association.

Immigrants living in the U.S. illegally account for about 4.4% of the U.S. workforce, according to a Goldman Sachs analysis of 2023 census data. But their share of the workforce in some industries is much higher, the analysis found: 19% in landscaping services, 17% in crop production, 16% in animal slaughtering and processing and 13% in construction.

Roughly 12 million people immigrated to the U.S. from 2021 to 2024, according to the Congressional Budget Office, many of them either illegally or through an emergency process set up by the Biden administration. Many now have

Industries with the highest share of workers who are likely undocumented



Note: Estimates based on 2023 Census data
Source: Goldman Sachs

some kind of temporary permission to stay in the country and work, though they could ultimately face removal. Others sneaked into the country or overstayed visas.

The newcomers provided the economy with an infusion of working-age people eager for jobs. Immigration boosted economic growth in recent years and helped cool a job market that was in danger of overheating by "rebalancing the tightest parts of the labor market, where wage and price pressures were most extreme," Goldman Sachs economists wrote in a note last year.

Industries that rely on migrant labor have been adding jobs at a slower rate than other private-sector employers since last summer, when the number of people entering the U.S. began to fall, according to an analysis by economist Jed Kolko. The number of foreign-born people either working or looking for work fell by about one million from March to May. While economists caution that data may not be reliable, some say the trend suggests that many living here illegally have dropped

out of the labor force.

How much of that is because of raids is unclear. But employers across the country said that the enforcement actions disrupted businesses. ICE agents arrested 16 workers at a warehouse in North Bergen, N.J., in February. Last month, agents arrested 53 workers at a hotel construction site in San Juan, Puerto Rico.

In late May, immigration agents raided a popular San Diego restaurant, claiming that 19 employees had used false immigration documents to get hired. Officers inside detained a few workers, then exited through the back entrance to avoid a crowd of protesters that had formed outside the restaurant, according to Anaclaudia Uribe, a hostess who was arriving to work at the time. The restaurant shut down all seven of its locations for two days.

Ron Robbins, who runs a family farm in Sackets Harbor, N.Y., has been short-handed since March, when he says around 45 immigration agents showed up.

ICE agents searched the 8,000-acre operation that

milks 1,500 cows and grows corn, soybeans and some produce, then arrested eight people they said were in the country illegally. One of the detainees was a Guatemalan man who worked as the top assistant to the farm's tourist business, Robbins said.

Since the raid on his property, Robbins, a 4th-generation farmer, said family members are working 18-hour days to keep the operation going, except for the strawberry patch. "We don't have enough people to do this work," he said. "It's a no-win situation."

Construction raid

At a construction site in Tallahassee, Fla., workers were pouring the concrete foundation for a 220-unit student housing development the morning of May 29 when federal authorities swarmed the 5-acre site, according to project supervisor Joe Caliendo, who saw the chaos unfolding from an elevated deck. Federal agents climbed over fences and ordered everyone to form two lines: U.S. citizens and noncitizens.

Those who could prove their citizenship or legal status were released. Noncitizens who didn't have their paperwork with them—or said they had it in their cars across the street—were loaded onto buses and driven away. The agents from ICE, the Federal Bureau of Investigation and other agencies arrested more than 100 of the 175 workers on the site.

The raid interrupted the work, and soon the concrete in the unfinished foundation was at risk of hardening. Caliendo called his subcontractors in a panic to find replacement

staff to complete the job. It would have cost millions of dollars to redo the process.

The next day, about 20 employees showed up to work, several of whom had been detained and then released the day before. A few dozen more came back over the next week. Many were scared to return.

By now, Hedrick Brothers Construction, the company leading the project, has worked with its subcontractors to restaff the project to near full capacity. But rehiring has been an uphill battle.

The U.S. construction sector is facing a major labor shortage, with a need for about 500,000 more workers, by some estimates. That gaping shortage is part of why undocumented workers have become a vital part of getting construction done.

"I don't want anybody to think that people are hiring undocumented people to save money," said Caliendo, who added that the workers hired by his subcontractors get paid between \$20 and \$50 per hour on average. "They hire them because nobody else will do the work they do or work as hard as they do."

Caliendo figures the raid set back the project by about three weeks. The student housing development, located off the Florida State University campus, has a hard deadline: late August, when students start moving in. If Hedrick Brothers misses it, the company will be charged tens of thousands of dollars for each late day.

20% capacity

The enforcement operation at Glenn Valley Foods in Omaha was equally disruptive. When federal agents stormed in and started rounding up workers, some fled to the roof or hid behind pallets in a freezer, Rohwer said. Of the company's 150 employees who directly handled meat—nearly all of whom were Hispanic immigrants—about 75 were arrested and loaded onto buses. Two-thirds of the remaining ones didn't show up to work the next day.

As of Monday morning, Glenn Valley Foods was working at about 20% of capacity. It is tough work—marinating, pressing and slicing meat in a room chilled to 40 degrees Fahrenheit.

"They are hardworking, show up on time, don't complain," Rohwer said. "If you take the Hispanics out of this country, it's going to be terrible."



CLOCKWISE FROM LEFT: INEOS TRAZER/OMAHA WORLD-HERALD/AP; ZANDREY SANCHEZ FOR WSJ; MELISSA BAILES



CLOCKWISE FROM LEFT: INEOS TRAZER/OMAHA WORLD-HERALD/AP; ZANDREY SANCHEZ FOR WSJ; MELISSA BAILES



Supporters left signs at San Diego's Buona Forchetta restaurant, scene of a recent ICE raid.

GREGORY BILLAP

By SEAN CAPTAIN

Spring-cleaning season is almost done, and it is time to finally get rid of that old computer. But be very careful before you sell, give away or recycle it.

You could be handing over sensitive information.

Even if you think you deleted everything on it, your old computer may hold lots of personal items you don't want anyone seeing. In a 2019 study by the University of Hertfordshire, researchers purchased 200 used hard drives from the U.S. and U.K. An analysis found data remaining on 59% of the drives, including passport and driver's license scans, bank statements, utility bills and "intimate photos."

Just pressing "delete" and emptying the Trash in macOS or the Recycle Bin in Windows won't do the trick. That's because your computer maintains an index of where every file resides. Deleting a file erases only its entry in the index, telling your system that it can put new files in that space. But until the system actually *does* put new files there, the old ones remain accessible. Simple consumer-level apps can get at it—never mind professional-grade software—even if the machine won't turn on.

Here's how to make sure your data is *really* gone.

Back up and log out

Start by backing up anything you want to keep. You could drag files onto an external hard drive or use backup software such as the Time Machine app in macOS. You can also back up to the cloud using Microsoft OneDrive, Apple iCloud, Google Drive, Dropbox or other services. (Don't empty the Trash or Recycling bin. The wipe process will take care of this.)

Next, log out of applications or games with an online component, so the license is no longer associated with your old computer. Also do this for services like Gmail or Facebook, and web browsers like Chrome that sync your data online—on the admittedly remote chance that an incomplete wipe allows the next owner to access those accounts.

Another step for any type of computer is making sure your files are encrypted—scrambled in a mathematical operation based on very long strings of random numbers and letters called encryption keys. The wiping process will delete the keys to make sure any files that may remain on the machine are unreadable.

What you do next depends on your operating system.

Clearing out a PC

Windows 10 and the current Windows 11 have a feature called "Reset this PC," which, with the right settings, thoroughly wipes your data. First, make sure your operating system is up-to-date, as Micro-



How to Really, Truly Delete Data on Your Old Computer

Step-by-step guide to completely wiping sensitive information like tax returns and personal photos

soft recently fixed a bug that sometimes caused the reset process to fail. Press the Windows key, search for "updates" and select "Check for updates." Install any that are available.

Now check on encryption. In Windows 10 or 11 Home editions, press the Windows key and search for "device encryption settings." Click "Device encryption settings" on the next screen, then make sure the switch next to "Device encryption" is toggled on. Windows Pro, Enterprise and Education editions have an encryption utility called BitLocker. To enable it, click the Start button, type "bitlocker" and select "Manage BitLocker" from the list of results. (All versions of Windows 10 and 11 also encrypt deleted files.)

Now you're ready to wipe. Tap the Windows key again, search for "Reset this PC," then click on it. On the next screen, tap "Reset PC" (Windows 11) or "Get started" (Windows 10), and on the following screen, click "Remove everything." On the next screen, select

"Local reinstall." (If this doesn't work, try the "Cloud download" option.) Then click "Change settings," and on the following screen (under "Clean data?"), toggle the switch to "Yes" and press "Confirm." On the following screen, press "Next" (Windows 11) or "Reset" (Windows 10). On Windows 11, you will press "Reset" on one more screen. Then let the process run for a few hours.

"Reset this PC" deletes your files, apps and settings, logs you out of your Microsoft account and disables the "Find My Device" feature so the computer is no longer associated with you. Then the serious wiping starts.

The encryption keys are deleted, making any encrypted data irretrievably scrambled, and the Clean data option overwrites the ones and zeros that had encoded data on your drive. A clean copy of Windows is also installed.

The MacOS method

Apple's "Erase Assistant" feature made its debut in 2021's macOS 12 Monterey. If your current OS is older, you may be able to update it. To update an older OS to Monterey or a later one, click the Apple menu, then "System Preferences" and "Software Update." If

the update process doesn't work, jump to "If all else fails" below for another option.

As with Windows, the "Erase All Content & Settings" process should start with encryption. On newer Macs (starting between 2018 and 2020, depending on the model), data is encrypted automatically.

Just to be safe, though, turn on a feature called FileVault that adds encryption to older systems and an extra layer to newer ones. Click the Apple icon, then "System Settings" (or "System Preferences" in Monterey). In the next window, click "Privacy & Security" (or "Security & Privacy"), then click FileVault.

Now it is time to wipe. Click again on the Apple icon and "System Settings" (or "System Preferences"), click "General" on the left, then "Transfer or Reset" on the bottom right. Finally, on the next screen, click "Erase All Content & Settings." (In Monterey, you'll go there directly from "System Preferences.")

This process signs you out of Apple services, turns off the "Find My" and "Activation Lock" security measures so that the system is no longer associated with you, and erases all your files, settings, apps and anything else. It deletes

the encryption keys, permanently scrambling any data that remains.

If all else fails

If your PC or Mac is so old that it can't run a modern wipe process, you have one more option before seeking pro help. For Windows, several experts recommended the KillDisk app. The \$49.95 Professional version runs from a USB drive and overwrites the ones and zeros that encode data on your hard drive with all zeros. Afterward, your computer will no longer boot into Windows unless you reinstall the OS. (There is a free version of the app, but it works with external hard drives.)

For a Mac, follow Apple's instructions at support.apple.com/en-us/102773.

If these processes sound too complicated, or if your system won't even turn on, use Apple's recycling program for Macs or a disposal company that offers hard-drive destruction and recycling for consumers with either type of system. Look for ones, such as Ship 'N' Shred, that issue a certificate of destruction.

Modern technology leaves a lot of digital footprints, but at least you can sweep them off your old computer.

Travel Question That Divides the Internet

By DAWN GILBERTSON

The following items first appeared in Dawn Gilbertson's weekly Travel newsletter.

My colleague Allison Pohle and I hosted a travel Q&A for WSJ readers this month. Here are some highlights.

Q: How soon should I arrive at the airport for an international and domestic flight?

A: Oh, this is a topic that divides the internet and many families and traveling companions. I'm a don't-cut-it-too-close to the airport kind of person. No thank you, TikTok trend about getting there 15 minutes out. But I do not like sitting around waiting for the flight unless I have lounge access. Airlines generally recommend two hours for domestic flights and three hours for international flights, but it can vary by destination and travel season.

Pay attention to emails from your airline about any airport specific issues. Bottom line: You have nothing to lose by getting there early except maybe some cash at the airport bars, restaurants and stores.



Q: If I already have TSA PreCheck is it worth to get Clear as well? The lines do tend to be shorter.

A: Whether it's "worth it" is subjective. Some people say Clear has been the difference-maker in getting them on their flight when they encounter long, snaking lines at the airport. Others say they find it less useful, especially now that TSA Pre-Check members can use Touchless ID. But Touchless ID isn't available

at every airport yet. And a lot of travel credit cards reimburse the Clear membership cost.

Q: What is the best age for someone to first travel to Europe?

A: I don't think there are any magic ages. It really depends on the child and their experience traveling in general since a see-all-the-sights trip is exhausting to everyone. As

◀ The new 'Wizard of Oz' show debuts in late August in Las Vegas.

with trips to Disney theme parks, you don't want to take them too young because it's a pricey trip and they won't remember much (and could very well be cranky!).

Allison and I didn't go to Europe for the first time until a semester abroad in college. Plenty of families with younger children make Europe memories, though. It's all in the planning and expectation setting. One option if you want a sampler platter of countries to see how they do? A Europe cruise. The major cruise lines have them. I took my kids on one when they were in high school and they fell in love with Europe.

Q: What have you heard about the crowds in Italy due to the Jubilee year celebration?

A: Expect lots and lots of people, especially during the peak summer travel season. Crowds will be spread out across the country, but travel advisers told our colleague, Jacob Passy, that you might want to limit how much time you spend in Rome.

Q: How does an older widow find helpful information about hanging out for a month in the Puglia area of Italy? Good safe places to rent for a month to use as a base to make local excursions. Only speaks English.

A: Solo, female travel is all the rage these days. There are lots of tours specifically for women who are traveling solo and many online forums on Facebook and Reddit dedicated to women who are traveling without a companion.

I've found people are very generous with their time and suggestions in these forums, but, for true expert advice, you can't go wrong booking through an established company.

Health plans

Looking for travel discounts? Add your health insurance provider to the list of sources. In a search for gym discounts with my Aetna plan, I was surprised to find a program that offers hotel, theme-park and car-rental discounts. (Alas, no discounts for the fitness center I joined!)

Vegas highlights

I spent a few very hot days in Las Vegas this month. I bought a last-minute ticket to see Kenny Chesney at the Sphere and got to see all the hype over the new "Wizard of Oz" show that debuts in late August. Tickets went on sale this past week.

To subscribe to Dawn's newsletter, go to [wsj.com/newsletters](https://www.wsj.com/newsletters).

PERSONAL JOURNAL.

More Employees Put In Extra Hours After the Workday

New data show workers doing a ‘second shift,’ thanks to a growing load of meetings, emails



By Ray A. Smith

If it feels like there aren’t enough hours to get everything done during the workday, you’re part of a growing club: More of us are working a second shift in the evening. Workers slid into the habit of working at all hours during the pandemic, when many worked from home and could more freely change up their regular 9-to-5 schedules. Though fewer people are fully remote now, many are still toiling into the night—and say an expanding load of meetings, emails and actual work are a big reason. The number of meetings people logged after 8 p.m. over the 12 months through February, in fact,

were up 16% from the year before, according to new data from Microsoft on the activity of millions of workers who use the company’s business applications. By 10 p.m., nearly a third of them were back in their inboxes after pausing for dinner, the gym or home duties. Ravi Desai, who manages a global customer-success team for a software company, says his days have become stacked with meetings, many of them with team members and clients on the East Coast. That often leaves evenings

Mentions of burnout hit their highest levels in nearly a decade.

for catching up on work, emails and Slack messages. He schedule-sends some of them for the next morning so that his reports don’t feel pressure to start emailing at night, too. In his industry, though, that’s tough, says Desai, who works remotely from California. “There is a tendency to be generally connected all the time,” he says. That’s nothing new in modern American work culture, but many workers say the intensity is rising as companies slow hiring, trim

▲ **A cooling job market, especially for white-collar employees, has made it harder for some to push back on heavier workloads.** costs and add more tasks to existing roles. Though some are turning to artificial-intelligence tools to help, adoption isn’t far enough along to lighten the load for most. Nearly two-thirds of U.S. workers said they don’t use AI much or at all on the job in a Pew Research Center survey earlier this year. **Burnout on the rise** Mentions of burnout by employees on the job-review site Glassdoor, meanwhile, jumped 32% in the first quarter from the same

period in 2024, hitting their highest levels in nearly a decade. “A very common theme is workers who feel like they’ve had several years of mounting responsibilities,” says Daniel Zhao, lead economist at Glassdoor. After his department head left and wasn’t replaced, Dan Quitério says he went from having no direct reports to managing several at his social media-marketing job in New York. Dealing with emails and Slack messages spilled over into his off-hours, and he would sometimes work later to assist co-workers also juggling heavy workloads. “There were definitely situations where I, just as a single human being, couldn’t do all the things,” says Quitério, who recently left the job. A cooling job market, especially for white-collar employees, has made it harder for others to push back on heavier workloads. In a Gallup survey of more than 10,000 workers in the third quarter of last year, 63% said they had been asked to take on additional responsibilities. That’s up from 47% who said so in the first quarter of 2023.

Digital overload The Microsoft data is part of the software maker’s annual study of workplace-productivity trends, which provides the latest, and one of the largest, measures of how people actually spend their workdays. In particular, its report puts numbers to the crush of emails, messages and meetings that many people say consumes their time on the job and distracts from actual work. The average worker, it found, gets 117 emails and 153 chats a day. Another reason so much digital communication spills over into off hours is a rise in cross-time zone collaboration. About 30% of meetings now span multiple time zones, up 8 percentage points since 2021, the report said. Jason Widup, a senior vice president at a company that specializes in AI-powered advertising, says he uses some hacks to help keep his work from sprawling into all hours. He blocks off time on a shared calendar for more focused work and uses AI tools to help write and brainstorm faster during those times. Widup, who works remotely in the Seattle area, tries to leave the evening for catching up on emails and getting caught up on things like reading. Still, other work sometimes creeps up and he will plan ahead to work after-hours. “It just needs to be the exception and not the rule for me,” he said.

GETTY IMAGES

The Unlikely Rise of D.C.’s Hottest Tailor

Continued from Page One idea as a gag gift for a colleague but decided to keep it. “It makes it yours, you know,” he said of the photo. Washington is one of the last places in America where men wear suits to work. Pro-Trump Republicans have honed a particular style: Many like their suit jackets tighter. Some get their pants cropped. Today’s Republican aesthetic has moved away from the classic tailoring of the Ronald Reagan era, said menswear critic Derek Guy. “Part of it may be that they associate that old Brooks Brothers look with the swamp,” Guy said, “and they don’t want to look like the swamp.” Trump wears the classic style. Standing outside the House of Representatives’ floor and gesturing toward his colleagues, Florida Rep. Greg Steube said the traditional look embraced by many on Capitol Hill could use a refresh. “These guys need help,” Steube joked. He said he is too tall and slim to buy an off-the-rack suit “from JC Penney, or Dillard’s, or whatever—it would look horrible on me.” He met Rios through a Republican fund-



▲ **Nathaniel Rios serves a rapidly expanding roster of lawmakers, aides and White House staff from his home near Capitol Hill.**

raiser and recently completed his first order: A navy suit with a subtle red check and a lining that depicts Florida’s red-and-white state flag. Rios, 47 years old, didn’t set out to be a tailor to political stars. In need of extra money to support



▲ **Rios, left, and Raheem Kassam, co-owner of the new MAGA hangout Butterworth's restaurant, hold a jacket made for Kassam.**

gests he didn’t set out to appeal to the right.) Last year Rios and family leased a home near the U.S. Capitol where they now meet clients and stay when they’re in town. A hat in his living room reads, “TRUMP WAS RIGHT ABOUT EVERYTHING.” Until recently Rios sold suits starting around \$300 each, a price that the company could manage because it sends its designs to China, Thailand and Vietnam, where the suits are made. Rios raised starting prices above \$500 a suit after Trump’s tariffs and other overhead increased his costs. Some customers have complained. “It’s been a little painful,” he said. One recent evening just after the House finished a series of votes, lawmakers and staff from both chambers, as well as two Trump administration aides, filtered in and out of the living room of Rios’s row house. Some grabbed coffee from a Keurig machine. The dining room table was covered with books of fabric samples and a clothing rack was

stocked with suits and shirts for pickup. Nearby sat a copy of “The Preacher and the Presidents,” a book about the evangelist Billy Graham. Florida Rep. Aaron Bean arrived wearing a suit made by Rios that hugged his broad chest and was adorned with a ticket pocket, a nod to men’s tailoring selected by Rios. Bean said he mostly follows Rios’s lead when it comes to fashion. “It’s like walking into Home Depot and you want to pick out a color of paint, and there’s like 1,000 choices,” Bean said. Behind Bean, a House aide flipped through fabric samples. Across the room, an aide to Commerce Secretary Howard Lutnick, one of Trump’s chief trade negotiators, bemoaned his busy workload. Corey Norman, who in January moved from the House to the Senate with his boss, now-Sen. John Curtis, tried on two plaid sport coats—one lined with drawings of light blue, yellow and red football helmets and another with drawings of a dog wearing a bow tie and glasses. “I just want to be as obnoxious as possible,” said Norman as he inspected his new jackets. “I want to walk down the hall and for people to say, ‘You obviously are new to this operation.’”



◀ **Trump aide Justin Caporale has a coat with a replica print of Emanuel Leutze’s ‘Washington Crossing the Delaware’ lining the inside.**

FROM TOP: VALERIE PLESCH FOR WSJ (2); NATHANIEL RIOS



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THE WALL STREET JOURNAL.

• **U.S. stocks rise** as investors digest a report that the Fed will hold rates steady, with the S&P 500, Nasdaq and Dow Jones up, S&P and Nasdaq, respectively. **B1**

• **The lack of AI** in the market has caused investors to look for other ways to generate returns, leading to a surge in interest in AI-related stocks. **B1**

• **Report: Microsoft** and other tech giants are looking for ways to diversify their portfolios, with some considering investments in AI-related companies. **B1**

• **U.S. stocks rise** as investors digest a report that the Fed will hold rates steady, with the S&P 500, Nasdaq and Dow Jones up, S&P and Nasdaq, respectively. **B1**

• **China's economy** is expected to grow at a slower pace than last year, with some analysts predicting a 4.5% increase. **B1**

• **U.S. stocks rise** as investors digest a report that the Fed will hold rates steady, with the S&P 500, Nasdaq and Dow Jones up, S&P and Nasdaq, respectively. **B1**



Indonesia Tames Rainforest Destruction

A blend of government crackdowns, boycotts and activists curbs palm-oil firms' encroachment.

In the News

INDONESIA'S rainforest is being destroyed at an alarming rate, with some estimates suggesting that the country has lost more than 100,000 hectares of forest in the past decade. The destruction is driven by a combination of factors, including the expansion of palm oil plantations, logging, and land clearing for agricultural purposes. The Indonesian government has implemented several measures to curb deforestation, including a ban on new forest clearing and a crackdown on illegal logging. Activists have also played a key role in protecting the rainforest, with some groups using direct action to block logging operations. The destruction of the rainforest has led to a loss of biodiversity and the release of large amounts of carbon dioxide into the atmosphere, contributing to climate change.

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THE WALL STREET JOURNAL.

ARTS IN REVIEW



Alana, Danielle and Este Haim; their first new record in five years is out Friday.

MUSIC REVIEW | MARK RICHARDSON

A California Sound

Haim returns with its sunny brand of pop rock on its new album, ‘I Quit’

The recent death of Brian Wilson reminded us of how his Beach Boys created a mythical Southern California setting for a new rock ‘n’ roll—surfboards and hotrods studded the lyrics early on, and later came meditations on the cool water of the Pacific and the heat of the Santa Ana winds. Since 2012, Haim, another group with three siblings born and raised in the Los Angeles area, has been putting its own spin on Golden State pop. Sonically, the Haim sisters—lead singer Danielle, Este and Alana, all of whom are multi-instrumentalists—probably have more in common with Wilson Phillips, the slick early-’90s trio that brought together two of Brian’s daughters and Chynna Phillips, whose father, John, was the leader of the Mamas

& the Papas. Haim is also heavily indebted to Fleetwood Mac, drawing praise from Stevie Nicks herself. It’s impossible to imagine Haim’s warm, breezy and dependably engaging music coming from any other geographic region. The band’s fourth LP, “I Quit” (Columbia/Polydor), out Friday, has a higher degree of thematic unity but doesn’t stray far from its pop-rock template. On its first three albums, Ariel Rechtshaid was one of Haim’s primary producers, and he and Danielle entered into a relationship that ended in 2022. This time out, former Vampire Weekend member Rostam Batmanglij (Claire, Charli XCX), another longtime collaborator, handles production alongside the Haim frontwoman. “I Quit” seems at least in part about processing a break-up—many songs

here focus on a couple growing apart and moving on. But there’s no wallowing—the mood throughout is bright and uplifting, celebrating newfound independence and looking toward the future. “I Quit” gets off to a rough start with “Gone,” which is based on George Michael’s hit “Freedom! ’90.” The band mimics the breakbeat drums of the original and includes a pitched-up sample of the chorus of Michael’s number, and the result is uncharacteristically cheap and easy—Haim’s defining proposition is that the group draws from the classic sound of ’70s and ’80s pop but creates its own distinctive version. Here, the band seems like just another pop outfit leasing an artist’s intellectual property. On top of all that, the integration of borrowed elements



line, lightly chanted background vocals, and a subtly funky bassline from Este. “You got a look on your face like you’re caught in a lie / I got you all to myself but I keep asking why,” Danielle sings. Her lyrics throughout are conversational, funny and pocked with expletives while avoiding clichés. On the crisp “Take Me Back” she escapes the heartache of the present by remembering the comparatively carefree past, singing of driving while smoking with the windows down as “Alana lost her head when she had a crush.” Danielle is the band’s drummer in addition to singing lead, and the phrasing of her vocals reflects her feel for rhythm. The dreamy “Lucky Stars” is powered by her synopated beat, and her voice skips along the top of the droning guitar like a flat stone across the surface of water. On the countrified “The Farm,” she shows her way with a croon, stretching single vowels across multiple notes as she frames a relationship as a patch of land that has turned fallow. Her sisters take the lead on a pair of uptempo tracks, Alana on “Spinning,” which has the glitter of synth-heavy ’80s R&B, and Este on “Cry,” on which a pedal steel guitar lends a bit of twang. Mr. Batmanglij is one of the great producers of the moment, with consistently inventive arrangements and unusual instrumental choices—such as the bluesy guitar solo on “Blood on the Street” and the Steely Dan-like horn parts on the slinky “Try to Feel My Pain”—that never feel gimmicky. Which makes it even more disappointing that the closing tune, “Now It’s Time,” has another obvious sample, this time the guitar from U2’s “Numb.” These bookending gestures are beneath Haim and undermine what is otherwise a very strong record. Like its predecessor, “Women in Music Pt. III,” the new album, with 15 tracks, is on the long side. Unlike that other record, this one would have been better if it were at least two songs shorter. Nevertheless, Haim is still operating at a high level as it adds a new chapter to the saga of California pop.

Mr. Richardson is the Journal’s rock and pop music critic. Follow him on X @MarkRichardson.

TELEVISION REVIEW | JOHN ANDERSON

‘Mafia’: Balkanized Crime on Viaplay

THE SCENARIO THAT unfolds in the six-part “Mafia” might ring an alarm bell—immigrant gangs from troubled countries importing bank robbery, smuggling and violence into a civilized Western nation. A Kristi Noem PSA? No, Sweden in the ’90s. This Nordic Noir-ish thriller sets itself up well before the breakup of Yugoslavia, when the country was already sending proxies—“agents” might be overdoing it—into democracies like Sweden in search of the money needed to prop up a failing regime. But with Croatia’s declaration of independence in 1991, and Eastern European nationalism on the rise, the criminal organizations themselves become balkanized, pun intended, and the opportunities in Stockholm both open and close. The trick is knowing whom to cultivate, and whom to kill. Directed by Mani Maserratt and Tomas Jonsgården, “Mafia” separates itself from the teeming pack of TV crime thrillers with a notable level of sophistication about global politics, character and the creation of suspense. Peshang Rad, who suggests a Serbian De Niro circa “Godfather II,” is Radovan “Jakov” Jakovic, who was reared in an orphanage and considers his only friends—fellow criminal Goran (Nemanja Stojanovic), and his wife, Helena (Helena af Sandeberg)—to be his family. Which is good for them: Although averse to outright may-

hem when calculation will work, Jakov is nonetheless ruthless and the kind of criminal visionary who surveys the Stockholm landscape like a chessboard. The local mob boss is a Croat, meaning that his much-needed Serb connection to illicit goods is about to end. The two nationalities—“countries” might be overdoing it—are on the brink of war. Jakov sees that he and his cohort can corner the black market in tax-free cigarettes. Cigarettes? Yes, a far less ostentatious pursuit than bank robbery, or drug smuggling. But Stockholm police detective Gunn Thörn-gren (Katia Winter, “Dexter”)—who, like Jakov, is prescient—suspects that cash from smuggled smokes is the real linchpin to the ex-Yugo crime wave. She schemes to use



Jakov to end it. He schemes to use her to advance his empire. Employing its title in a generic sense, “Mafia” takes a few predictable turns. Gunn and Jakov are counterparts in their peculiar way, both being surrounded by people

who don’t perceive their genius. While the series doesn’t dwell on the Balkan wars, exactly, the conflicts are present in the background, determining allegiances in Sweden; Jakov’s decision to cooperate with Albanians, for instance, while atrocities are being committed in Kosovo, is a fatal mistake (if not for him). The situation there is misrepresented by scoundrels like Drago (Cedomir Djordjevic), but such is the nationalist impulse of our expatriate gangsters. While the passage of time in many dramas is a mere inconvenience, signified by one character growing a beard and another wearing a new haircut, the governing intelligence in “Mafia” respects the clock. Over almost 10 years of ac-

tion, characters gain weight and lose it; one ne’er-do-well arrives home from prison looking like he’s been on an all-lutefisk diet. A girl terrorized as a child by a gun-wielding Serb is still traumatized by it a decade later. Even more important, there are ramifications for criminal acts. Loss. Regret. Guilt. And, naturally, vendettas, which take some time to iron out. There are moments, in fact, when “Mafia” doesn’t seem capable of tying all its plotlines together in time to wrap itself up in only six chapters. A second season seems a *fait accompli*. No such dangling drama befalls us. The conclusion of “Mafia” may not be clean. But it’s certainly tidy.

Mafia
Thursday, Viaplay

Mr. Anderson is the Journal’s TV critic.



Peshang Rad, left, and Katia Winter, above, in the six-part Swedish series.

OPINION

Trump vs. Israel vs. Iran



**BUSINESS
WORLD**
*By Holman W.
Jenkins, Jr.*

practice, his voters also don't care as long as there's no blowback.

Events are pointing to another dubious outcome, the Iranian regime surviving with some part of its nuclear program intact, which is tantamount to the regime itself surviving.

That regime ought to be teetering: No air defenses, no striking power, denuded of its proxies Hamas and Hezbollah, penetrated by Israeli agents, its ballistic-missile capacity reduced by drones operated from inside Iran, its leadership cadres targeted and eliminated in the first minutes of the war. There are even reports of senior Iranian officials fleeing to Russia.

Israel has been non-Trumpian in its consistency, laying the groundwork, we learn, for its drone strikes inside Iran as far back as 2007. Delivered to the flighty Mr. Trump now is an opportunity and a choice. So far, we hear talk of "deals, deals, deals" in terms that logically imply the mullahs and some remnant of their nuclear ambitions emerging not entirely in tatters.

Yes, the risk of wider instability exists, but the alter-

native opportunity is a global strategic one. Clinton and George W. Bush veterans rightly kick themselves for failing to stanch North Korea's nuclear program. If, 73 years ago, Truman and Eisenhower had known Pyongyang would now be threatening American cities with ICBMs, they might have thought differently despite the immediate incentive for an armistice.

The opportunity today is to snap a strain of nuclear proliferation that might soon run out of control, as insurance for regimes whose dangerous enemy is their own people.

Any Trump boldness, though, would need a degree of U.S. elite buy-in. Its lack may be the hidden factor that diverts Mr. Trump to a lesser path.

In early 2017, it seemed worthy of eye-rolling when the U.S. intelligence community decided to punish Americans for how they voted. Now it seems something else amid the high geopolitical stakes of a second Trump term. The current Israeli prime minister, Bibi Netanyahu, has no fiercer critic than former Prime Minister Naftali Bennett, yet Mr. Bennett says Israelis are united on the Iran war. Would any crisis or opportunity be sufficient for Democrats and their bureaucratic and media allies to put aside the fight against Mr. Trump?

The national-security reporter Eli Lake says a handful of aides like Steve Witkoff and Marco Rubio are cloistered with Mr. Trump. No in-

teragency working groups. No carefully worked-up input from the government's deep well of professional expertise.

This problem previously worried me with respect to Ukraine. I've often wondered what might prove more dangerous for America: Mr. Trump's careless disregard for proprieties or institutions

He's sending many signals, but needed is a strong stand against nuclear proliferation.

like the FBI, CIA and press, in their overwrought opposition to Mr. Trump, sacrificing their credibility with large chunks of America.

Mr. Trump would still be Mr. Trump but how different might things be if the establishment had met him and his voters halfway.

Late reports on Tuesday had him burbling about "unconditional surrender" and the U.S. possibly joining the war. If so, no president will roll the dice with less institutional support. Yet there's also his long professed horror of nuclear weapons. The Israelis may also have created such momentum toward a re-ordered Middle East that his hopes for salvaging a deal with Iran's leaders quickly went poof.

Welcome to the second great 21st-century war. Its end, like Ukraine's, isn't yet in sight, but we can say a couple

of things. Artificial intelligence is proving itself as predicted. If reports are accurate, it aided the sequencing of attacks that crippled Iran's ability to use its large inventory of ballistic missiles to overwhelm Israel's defenses. So blundering is Iran's own strategic decision-making we can confidently say ChatGPT isn't involved.

The drone risk is also proving itself all over again, as it did with Ukraine's recent strike on Russian bombers far from the front line. The U.S. agencies that spent years covering up the presence of Chinese drones in the U.S. nevertheless assure us they are on top of the problem now. Let's hope so.

Much will be learned in this new war, but one lesson perhaps recommends itself already: Take victory when it's on offer. The world is complicated but when U.S. allies are winning, the U.S. is winning. Vladimir Putin can shove his Ukraine war down Western throats with impunity only because he has nukes; the Kim regime in North Korea has a plan for long-term survival and it doesn't involve the North Korean people being productive and happy. It involves using nuclear extortion to make the U.S., China and others complicit in proping the regime up.

Agnew was right, Kissinger said in his memoirs. Nixon was going to catch holy hell over Cambodia either way. At least go big enough to have a hope of achieving something worth achieving.

BOOKSHELF | By Meghan Cox Gurdon

Mind Your Mores

Just Good Manners

By William Hanson
Gallery, 272 pages, \$28.99

In the James Cameron film "Titanic" there's a brief scene in which a young girl gets poked in the back so that she'll sit up straight, like a lady. Viewers are given to understand that they're seeing how etiquette crushes the spirit, the way a corset crushes the ribs.

We are a long way from 1997, when the movie came out (let alone from 1912, when the ship sailed and sank), and the likelihood today of any young person getting lessons in deportment has dwindled. Slouching is in, formality is out, and the sight of more than two forks on the table is enough to make a dinner guest break out in hives.

Yet people persist in wanting to know and understand the correct forms, even if their details seem antiquated or obsolete. Who, amid widespread cultural flux, can advise them?

Emily Post became the American maven of manners in 1922, advocating gentility and founding a dynasty that is still consulted by the socially anxious to this day. Judith Martin became a hit as Miss Manners in the newspaper column she launched in 1978. In the U.K., DebreTT's has long advised Britons on such matters.

Now comes William Hanson, a soft-spoken and somewhat self-consciously droll social-media personality who runs a British etiquette consultancy and puts forth his views on behavior in "Just Good Manners," a book that promises the reader "a quintessential guide to courtesy, charm, grace, and decorum."

Mr. Hanson may be amusing enough in company, perhaps even charming. On social media he gives pithy lessons in, among other things, eating peas off one's fork with a measure of delicacy. His book, though, is hardly quintessential and not really a guide.

Instead, what Mr. Hanson offers are short, thematically linked disquisitions on British manners as practiced by the "trad Brit." The phrase "trad Brit" is a wince-making giveaway, for however much it chimes with modern argot it has more than a whiff of vulgarity about it and, as such, is itself low and ill-mannered. He supplies bits of guidance here and there, and the reader will be pleased to have them, but his purpose is not to interpret or lay out rules of decorum—trad or otherwise. Rather, his book reads like a commercial brand extension pitched at American devotees of "Downton Abbey" and "The Crown," and other Anglophiles who are keen to brush up on the difference between "regnant, consort and dowager queens" or who wish to know when to wear a tiara. "Just Good Manners" will, alas, be of little utility to those seeking to avoid social blunders in English society, or in any other society for that matter. Among other deficiencies, it lacks a glossary.

Mr. Hanson begins by outlining what he calls the six key principles of contemporary etiquette, a meaty-sounding prospect that turns out to consist mostly of gristle. Four of his "key" principles make some practical and universal sense: humility ("a refined expression of self-awareness"), hospitality ("making guests feel valued, comfortable, and welcomed"), patience ("allowing others to express themselves") and humor ("we can laugh at ourselves"). The final two, though, are frankly bizarre. One of them is rank—by which Mr. Hanson means courtly and aristocratic hierarchy—and the other is passive aggression, the deployment of irony and understatement in conversation. He seems to have conflated the tenets of a

Ours is not an age obsessed with social etiquette. Yet we still seek to understand the correct forms, even if they seem antiquated.

system of manners with things that exist (such as duchesses and polite insincerity). At the end of his presentation of the six principles he renames them, using an odd metaphor, "the six cornerstones of the hexagonal cathedral of British manners."

Where Mr. Hanson is helpful—or at least declarative enough to be persuasive—is in relaying elements of etiquette that the general reader can embrace. If you see loners at a party, for instance, you ought to "show empathy and bring them into the fold." When you're hosting a dinner party, you should "start first, but finish last," so that slowpokes needn't worry about detaining the group. And if you are serving beer, for pity's sake give your guest a glass because, as Mr. Hanson states with welcome asperity (though sotto voce, in a footnote): "Only babies drink from bottles."

Once upon a time, etiquette experts could afford to be tough. There were identifiable ideals about posture and manners, and if you didn't follow them you marked yourself as a boor, an arriviste or, in the British context, fatally "non-U." It is harder in 2025 to be definitive. The descendants perpetuating Emily Post's legacy have gone squishy, as they showed in 2022's superwoke edition of "Etiquette."

Mr. Hanson, with his caution about assuming pronouns (not least because, he notes, "a person's gender identity may not be known to their family"), has a similar problem. He recognizes a way of being of which he approves, but finds it a little sticky to insist on it. As he writes of the moment two people meet for the first time, the diffidence pours off the page: "If you can, a quality handshake will always be, I sincerely hope, the correct first greeting."

Mrs. Gurdon, a Journal contributor, is the author of "The Enchanted Hour: The Miraculous Power of Reading Aloud in the Age of Distraction."

William Hanson on Greetings

"Never kiss a stranger on the first meeting. This is a surefire way for you to annoy them. It's too much, too soon, leaving nowhere for you to go once a friendship develops. If you kiss them the first time you meet them, what on earth are you doing to them the second time you meet?"

Protests, the Courts and the National Guard



**POLITICS
& IDEAS**
*By William
A. Galston*

limits to executive power.

Since George Washington's administration, politicians and courts have wrestled with the same problem the Framers faced: creating a presidential office with enough power to administer the executive branch, enforce the law and lead the nation in war and peril—without giving the president so much power as to endanger the constitutional order and the people's liberties.

In 1878, President Rutherford Hayes signed the Posse Comitatus Act, which barred the use of federal troops for civilian law enforcement "except in cases and under circumstances expressly authorized by the Constitution or Act of Congress." Normally under state control, the Guard is subject to this act when called into federal service.

President Trump's June 7 memorandum on deploying the National Guard cited Title 10, Section 12406 of the federal code, which originated in the Militia Act of 1903. This statute authorizes the president to "call into Federal service members and units of the National Guard of any state" during an

invasion, during a rebellion, or when the president is unable to execute the law through ordinary enforcement powers. Mr. Trump's memorandum invoked two of these conditions, arguing that "to the extent that protests or acts of violence directly inhibit the execution of the laws, they constitute a form of rebellion against the authority of the Government of the United States."

The constitutionality of the Posse Comitatus Act and the Militia Act aren't in doubt. So when California Gov. Gavin Newsom sued Mr. Trump, his only legal option was to argue that the facts on the ground didn't meet the legal requirements for federalizing the National Guard. This challenge raised an important question: Does Mr. Newsom—or anyone else—have the legal standing to challenge the president's determination that these requirements were met? Citing a Supreme Court decision handed down nearly two centuries ago, the Trump administration argued that no one has this authority and that the president's judgment in this matter is final.

In *Martin v. Mott* (1827), the justices held that a dissenting New York militiaman had no standing to challenge President James Madison's order summoning the state's militia to fight the British in the War of 1812. The decision stated that "the authority to decide whether the exigency has arisen belongs exclusively to the President, and that his

decision is conclusive upon all other persons."

Not so fast. U.S. District Judge Charles Breyer, who first heard Mr. Newsom's challenge, cited a more recent Supreme Court decision, *Laird v. Tatum* (1972), which held that federal courts are "fully empowered" to consider claims of harm arising from the military's activities in the "civilian sector."

Judge Breyer insisted that the judiciary has the right to determine whether the president's depiction of the facts

Judges should decide whether conditions merit the deployment of troops in the U.S.

satisfies the standards laid down in the Militia Act. Using dictionaries from the period when the act became law, the judge determined that the protests in Los Angeles didn't constitute "rebellion" and that the demonstrations didn't block the enforcement of federal immigration laws. In short, while the president may enjoy the authority to judge the facts on the ground, the judiciary has the authority to interpret the meaning of the law and to determine what the law requires.

On these grounds, Judge Breyer issued a temporary restraining order against the Trump administration. The ad-

ministration promptly appealed to the Ninth U.S. Circuit Court of Appeals. A three-judge panel stayed Judge Breyer's order and scheduled a hearing for June 17. However the appellate court rules, this case will likely end up at the Supreme Court.

During a congressional hearing that touched on the politicization of the U.S. military last Thursday, Defense Secretary Pete Hegseth said that "we're not here to defy a Supreme Court ruling." If he was speaking in an official capacity for Mr. Trump, then America is facing a constitutional confrontation, not a constitutional crisis.

Still, risks abound, and court rulings on this issue could have momentous consequences. If the Supreme Court were to rule that the president enjoys unilateral and unreviewable authority to determine whether an invasion or rebellion is taking place, it would substantially expand executive authority at the expense of the legislative and judicial branches. The Constitution grants the president unchecked power in limited circumstances, such as by giving him the power to pardon. In most cases, however, Congress and the courts must provide checks and balances to maintain the equilibrium that safeguards liberty.

The Supreme Court should not surrender its constitutional authority to review the deployment of U.S. forces inside the U.S.

American flag flying over Yale's war memorial.

Yale's ceremony was poisoned by politics. The anti-American and antisemitic rhetoric came packaged with the usual land acknowledgments and gratuitous proclamations about climate change, equity and abortion. Graduate Mitchell Dubin told me his family was so disgusted that they left early, missing the chance to see him collect an academic honor.

Cowering university administrators at MIT and Yale missed an opportunity. With modest effort they could have ensured pleasant commencement celebrations for students and their families. It's too late for the class of 2025, whose memories are likely spoiled. I hope I'll get a better deal when I graduate next year.

Ms. Tartak is a Robert L. Bartley Fellow at the Journal and a Yale student.

At MIT and Yale, 'Graduation's Ruined'

By Sahar Juliet Tartak

The same university administrators who allowed extremists to infiltrate their campuses also welcomed them to commencement. For two years the class of 2025 has been subjected to bullying by Hamas supporters. Did they—and their families—also have to suffer while collecting their diplomas?

At the Massachusetts Institute of Technology, kaffiye-clad student speaker Megha Vemuri claimed MIT had suppressed campus activists even as she railed against "genocidal" Israeli soldiers attempting "to wipe Palestinians off the face of the earth." Administrators let her speak knowing that an antisemitic rant was likely. Ms. Vemuri, the 2025 class president, has an extremist record. She ran a self-described "revolutionary" student publication that published an homage to Aaron Bushnell, who in 2024 committed suicide by self-immo-

lation outside the Israeli Embassy in Washington while shouting "Free Palestine."

Administrators had promised concerned faculty and students that they had a plan in place to handle potential disruptions. But they took no action to interrupt Ms. Vemuri's rant or remove those in the crowd waving

Rhetoric from the encampments invades commencement day.

Palestinian flags and shouting, "MIT has blood on its hands." The most President Sally Kornbluth could muster was a weak call for forbearance from the podium: "Folks, at MIT we value free expression, but today's about the graduates."

New graduate Jennifer Mallah said she and her friends anticipated the disruptions. A Lebanese-Ameri-

can who majored in mechanical engineering and computer science, Ms. Mallah was nonetheless disappointed by the politicization of the ceremony. When Ms. Vemuri began her tirade, Ms. Mallah thought, "Graduation's ruined."

Yale's administration evidently approved Class Day speaker Molly Smith's speech comparing this year's anti-Israel encampment to a 1980s campus protest against apartheid in South Africa. As she spoke, large video screens displayed photos of the earlier protests. Ms. Smith lamented "Yale's investment in weapons used in the Israel-Hamas war" and the arrest of classmates "for protesting on their own campus."

Ms. Smith didn't mention the harassment and assault of Jewish students (including me) during the campus encampment. She failed to note that her peers called for a "global intifada" and the genocide of Jews as they tore down and tried to burn an

OPINION

REVIEW & OUTLOOK

Iran Is Trump’s Deterrence Moment

Joe Biden’s Presidency began to decline the day he abandoned Afghanistan to the Taliban. American deterrence collapsed, and U.S. enemies saw their moment to strike in Ukraine and the Middle East. Donald Trump now has an opportunity to reverse Mr. Biden’s Afghan legacy and restore deterrence if he helps Israel destroy Iran’s nuclear program.

These are the strategic stakes as the U.S. President contemplates whether to assist Israel in bombing Iran’s nuclear sites. Losing the war but still resisting the dismantlement of their nuclear program, Iran’s leaders are hoping Mr. Trump will come to their rescue with more delaying diplomacy.

Yet, as Mr. Trump has said many times, Iran can end the Israeli assault by agreeing to roll up its nuclear program. Dismantle its enrichment capacity under international supervision, destroy its centrifuges, and allow for unhindered future inspections. Iran’s refusal to do so, even as it risks losing much of its non-nuclear military power and top commanders, shows that the regime wants a nuclear weapon more than it wants peace.

The world is watching closely to see how Mr. Trump responds, especially the hard men in Moscow and Beijing. Does he help a close ally remove a global threat to peace, and diminish a member of the axis of U.S. adversaries? Or does he listen to the voices of American appeasement on the left and right who fear any use of force more than they fear a nuclear-armed radical regime?

Some argue that since Israel is doing so well, there’s no need for the U.S. to join the fight. But as capable and creative as Israel is, it lacks the firepower to destroy all of Iran’s nuclear sites from the air. The United Nations nuclear watchdog says Israel has severely damaged the underground enrichment facility at Natanz. That still leaves Fordow, buried under a mountain. Destroying enrichment at Fordow will take America’s deep-penetrating bombs and the bombers to deliver them.

Others fear that aiding Israel will invite Iran’s retaliation against U.S. troops and expand the war. Yet that’s what Iran threatened to do if Israel attacked, and so far it hasn’t followed through. Iran knows such an attack would invite

a far more fearsome U.S. response than bombs dropped on its nuclear sites.

The isolationists say bombing Iran would be another nation-building exercise, but no one is talking about sending American ground troops. An Israeli ground incursion is more likely if the U.S. doesn’t bomb Fordow. Destroying the nuclear sites could end the war sooner, and at less cost in lives on both sides.

The Biden precedent is instructive here, and not merely on Afghanistan. As Russia invaded Ukraine, and Iran’s Houthi proxies attacked U.S. ships in the Red Sea, Mr. Biden’s strategists shrank from a robust response because they feared “escalation.” In practice this meant Russia and Iran controlled when and how to escalate. Mr. Trump can’t possibly want to box himself into that corner.

Iran or its proxies could unleash terrorism against Americans, but that’s nothing new. They’ve been doing it for decades going back to the 1983 bombing of the Marine barracks in Lebanon and Khobar Towers in Saudi Arabia in 1996. The one time in the last 25 years when Iran restrained itself was after the U.S. invasion of Iraq that toppled Saddam Hussein. The mul-lahs feared they were next.

All of which means that this is a crucial deterrence moment for the new Trump Administration as much as for Israel. The world takes a measure of every new President, even one like Mr. Trump who has served before. He campaigned for re-election as a peacemaker, and U.S. adversaries are looking to see what that means for how Mr. Trump will respond to pressure and strategic threats.

If the U.S. won’t help one of its strongest and most loyal allies finish the job of eliminating Iran’s nuclear threat in uncontested air space, the message to China will be that there is no chance the U.S. will defend Taiwan. Everyone will see it—from the Kremlin’s commissars to the Communist bosses in Beidaihe.

But if Mr. Trump helps Israel enforce his own red lines against Iran’s nuclear program, he can send a message that American deterrence means something again. The Afghan fiasco, and the other failures of the Biden years, will recede that much further into history’s rear-view mirror.

He can reverse Biden’s Afghan legacy by helping Israel on Iran.

Another Democrat in Handcuffs

On Tuesday another Democratic politician found himself handcuffed for interfering with federal immigration officers. Is it a mere coincidence that this guy is also running, and trailing, in next week’s Democratic primary for Mayor of New York? Any bets which progressive will try to go viral next by getting into a tiff with federal agents?

New York City Comptroller Brad Lander was at a federal building in Manhattan, where he’d been observing immigration court proceedings. The Associated Press report says Mr. Lander was arrested “after he linked arms with a person authorities were attempting to detain.” Videos of the scene seem to show federal agents struggling to separate Mr. Lander from the man they were there to pick up.

“Do you have a judicial warrant?” Mr. Lander asks, as he’s pulled along in a scrum toward an

elevator. “Do you have a judicial warrant? Can I see the judicial warrant? Can I see the warrant? I will let go when you show me the judicial war-

rant. Where is it? Where is the warrant?” It isn’t his job to demand a warrant or for agents to produce one to him.

Really, how long is federal law enforcement supposed to put up with this? Are they supposed to pull Mr. Lander into the elevator with them, while he protests that he’ll move his foot so the door can close once they flash a warrant? Refusing to physically let go of somebody who’s being detained by police is asking for trouble, even if this ultimately doesn’t merit prosecution.

But in today’s social-media-soaked politics, notoriety can be good for business. Mr. Lander is only the most recent Democrat to get headlines by getting handcuffed. Why can’t America’s politicians model better behavior?

A New York mayoral candidate is arrested for interfering with ICE.

Two Cheers for the Senate Tax Bill

President Trump’s volatile trade policy makes it all the more important that the GOP Congress gives businesses some certainty. So it’s good news that the Senate Finance Committee version of the tax bill released Monday generally improves on the House’s work.

The Senate’s biggest upgrade is to make permanent the full expensing for equipment and research and development. This will give businesses confidence to invest on a longer horizon. It also means Democrats can’t use the expiration of expensing as a future bargaining chip, as they tried to do last year to get a bigger child tax credit.

Senate Finance also makes permanent the 2017 tax reform’s 20% deduction for small businesses, which effectively reduces the top marginal rate that pass-through firms pay to 29.6%. It would be even better if the Senate increased the deduction to 23%, as the House bill does. This would increase the incentive for small businesses to invest and grow.

Another good move is increasing the \$600 threshold for platforms like Venmo, eBay and Etsy to report user payments, which Democrats snuck into their 2021 Covid bill. The IRS has repeatedly increased and delayed the \$600 reporting requirement owing to administrative complexities, which the Senate bill acknowledges by raising the threshold to \$20,000.

The Finance draft limits some of the House’s tax-code-distorting carve-outs such as for tips (deduction limit: \$25,000) and overtime (\$12,500), though regrettably it expands others. Seniors would get a special \$6,000 deduction, versus \$4,000 under the House bill. Senators also let businesses deduct more interest expense, a bigger subsidy for debt over equity financing.

The biggest Senate backslide is on the Inflation Reduction Act’s (IRA) green-energy tax credits. The House bill ends the credits for solar and

wind projects not currently under construction, but Senate Finance doesn’t fully phase them out until 2028. For 30 years Congress has extended the credits when they get close to lapsing.

A slow phaseout means the credits may never go away. Ditto the IRA’s tax credit for battery production, which the Senate draft preserves until

2033. While the renewables lobby claims batteries can stabilize fluctuations in wind and solar power, peaker natural gas plants can do so as well and are less expensive to build.

The Senate’s other notable refurbishments involve Medicaid. The draft reins in a scam that states use to launder more federal money. States can currently tax healthcare providers at a rate up to 6% of net patient revenue to extract bigger federal matching payments—up to \$9 for every \$1 they spend on able-bodied adults covered by ObamaCare.

In states that expanded Medicaid, this rate would be reduced to 3.5%, with a 0.5% reduction each year starting in 2027. The provider tax would be frozen in the other states. Expansion states would also experience more stringent limits on so-called directed payments that they can kick back to providers.

These changes will discourage the 10 or so states that haven’t expanded Medicaid from doing so. Senate Finance would also put states on the hook for the cost of improper payments, including for enrolled non-eligible individuals, which the Paragon Health Institute estimates cost \$1.1 trillion over the last decade.

Senate Finance regrettably left out the House’s expansion of health-savings accounts and other measures aimed at expanding private insurance options. This is odd since their estimated cost in lost revenue is small. Senators can still improve the tax bill before it goes to the floor, and we hope they do.

The Finance draft improves on the House on taxes and Medicaid.

LETTERS TO THE EDITOR

Assisted Suicide Heralds a Culture of Despair

Your editorial “New York’s Assisted-Suicide Mistake” (June 11) captures what many of us have experienced up close. My grandfather James Powell helped pass the nation’s first “death with dignity” law in Oregon, occasionally appearing in TV ads in support of the measure. Years later, after an agonizing battle with lymphoma, he drank a lethal dose of barbiturates, prescribed by a physician. I was there along with many family members, and while I remember my grandpa with overwhelming affection, his last act has always struck me as wrong. How to describe the feeling of watching your hero kill himself, being watched by his family, those ordinarily expected to protect him? I can’t help but reflect on how there were hours left un-lived, words left unsaid, kisses left unshared. We were poorer for his choice and so, I think, was he.

It is ironic that many people who oppose capital punishment, war and other state-sanctioned violence support euthanasia. Their ethic inevitably falls back on “choice” and “autonomy” as its ultimate visions of moral good. Never mind that these two things will inevitably be taken from us. The shape of our final days, months or even years are inexplicably valuable. They have the

potential to enrich others’ lives in ways we can’t anticipate.

New York’s proposal is evidence of a culture of despair, of one unwilling to ask deeper questions of what it means to live and die well. As someone who knows this issue intimately, I hope Gov. Hochul chooses a better path.

PAUL J. PASTOR
Corbett, Ore.

In his excellent book “Don’t Be Canada,” Tristin Hopper writes that our Canadian neighbors have discovered that “medical assistance in dying” results in significant savings to the healthcare system. A 2017 report found that MAID “could reduce annual health care spending across Canada by between \$34.7 million and \$138.8 million,” far exceeding the cost of implementation. It’s unsurprising, then, that subsequent research has found that the program has become at least the fifth-leading cause of death in Canada, claiming a reported 13,241 lives in 2022, up from 1,018 in 2016. We should never feel compelled to end our lives, but the pressure becomes difficult to escape when assisted suicide is the law of the land.

MICHAEL LOEFFLER
Boca Raton, Fla.

What Motivated Murray Kempton’s Pacifism?

I’m grateful to Charles Lane for reviewing “Going Around,” the collection of Murray Kempton’s journalism that I edited (Bookshelf, June 3). I think it would please Kempton to be remembered so fondly in the Journal, “whose editorials shine the shoes and press the trousers of American enterprise,” he once wrote, “and whose news staff undresses American business down to the follies and frauds blotching its naked skin.” That was a compliment. He was a loyal reader.

Yet I have to risk discourtesy to Mr. Lane, who praised my “intellectual honesty,” by hazarding a word in defense of Kempton’s youthful noninterventionism. As Mr. Lane points out, Kempton’s pacifism in the 1930s and early ’40s reflected a dreadful misapprehension—genuine myopia—of what it would take to stop Hitler. But the left-wing version of noninterventionism that he and his radical cohort espoused was rooted in what was essentially a humane drive to avoid the calamity of another world war and the permanent elision of the New Deal’s welfare state into a national-security “warfare state.” This tendency was internationalist

in its outlook, untinged by the antisemitism and nativism of the America First Committee. And yet Auschwitz was already open when Kempton published the antiwar pamphlet excerpted in the book. However much Kempton could have understood about the Holocaust, the Nazis’ depravity was undermining his position hour by hour. The pamphlet was a delusional and uncharacteristically dogmatic piece of writing, but the desperation and wishfulness it betrays ought to be read with some sympathy.

It accentuates the courage with which Kempton went on to face the Pacific theater as a soldier, and the courage of other young men like him who began the war resolved that they wouldn’t die in the service of capitalism and empire, and ended it—if they were lucky—with the distinction of being the gravediggers of fascism. It also clarifies Kempton’s resumption of the pacifist critique during the Vietnam War, when he went so far as to be arrested, twice, for acts of civil disobedience.

ANDREW HOLTER
Chicago

Withdrawals Aren’t Overwhelming Starwood

Your article about Starwood Real Estate Income Trust (Sreit) presents readers a distorted picture (“Withdrawals Overwhelm Starwood Fund,” The Property Report, June 11). You write that Sreit’s net asset value has declined by 40% since its peak in 2022. However, the total return is down only around 1% since the start of 2024. The NAV reduction is predominantly owing to Starwood’s providing \$5 billion of liquidity to investors. The portfolio also absorbed mark-to-market losses of nearly \$800 million in interest-rate hedge gains, which cushioned our performance as the Federal Reserve raised interest rates by five percentage points after May 2022.

Sreit posted a cumulative 12% increase in its same-store net operating income the past two years, making it one of the best performing nonlisted real-estate investment trusts among its

peers. Nearly 75% of our investors have never sought to redeem, instead enjoying our relative stability. Investors who submitted monthly repurchase requests since Sreit’s redemptions were reduced would have had about 40% of their investment returned.

Investors know that 70% of Sreit’s assets are in the multifamily sector, with a third of this in affordable housing, where occupancy remains stable and rents will rise 7% this year. It is the crown jewel of Sreit’s portfolio and unique in size and location among our peers. We continue to raise capital, albeit at a slower pace compared to prior years, which is consistent with our peers. Sreit remains only 57% leveraged based on NAV. We remain focused on our fiduciary duty to protect the estate for the long-term benefit of all our shareholders.

BARRY STERNLICHT
Starwood Capital Group
Miami

Defending RFK Jr.’s Adviser

In your editorial “Meet RFK Jr.’s Vaccine Advisers” (June 13), you write of the secretary’s new plans for the Advisory Committee on Immunization Practices: “One appointee, Retsef Levi, is an MIT business school professor of operations management. What does he know about vaccines?” Allow me to rise to my colleague’s defense.

The members of ACIP don’t develop vaccines. They are charged with assessing their safety and efficacy. That is done through statistics and data science, areas in which Mr. Levi excels. His assessments will be conducted through vaccine trials, using a statistically significant number of participants and correlating the efficacy with a host of variables such as age, comorbidity, gender and dosage. The primary tool available to the researchers is statistical modeling. Only after discovering correlations may medical researchers try to explain them, but that is a secondary part of the trials.

I trust we’ll find that Mr. Levi is well-suited to the task.

PROF. YOSHI SHEFFI
Massachusetts Inst. of Technology
Cambridge, Mass.

Letters intended for publication should be emailed to wsj.letters@wsj.com. Please include your city, state and telephone number. All letters are subject to editing, and unpublished letters cannot be acknowledged.

False Fears on Harvard Yard

As a Jew, I appreciate the Rev. Matthew Ichihashi Potts’s condemnation of centuries’ old transgressions by Christians against Jews (Letters, June 16). But that he couldn’t bring himself to condemn antisemitism without also invoking “Islamophobia and colonialism” tells me all I need to know about how serious his commitment to ending the problem is.

FRED ROTHZEID
Cincinnati

Pepper ... And Salt

THE WALL STREET JOURNAL



“I run significantly faster when I’m embarrassed to be seen in public.”

OPINION

The Economics of Slavery

By Roland Fryer

June 19th marks emancipation, yet debate still rages over how to teach slavery, why it arose and persisted, and what place it holds in America’s self-image. Two projects set the poles. The New York Times’s “1619 Project” recasts the nation’s origin story, focusing on slavery and discrimination rather than the Declaration of Independence and the Constitution. The Woodson Center’s “1776 Unites” argues that the Revolution’s democratic ideals, imperfectly realized at the founding, launched a long arc of progress, visible from the Civil War through the civil-rights era and beyond. Historians, sociologists and journalists have shaped much of today’s debate about slavery, but economists deserve a seat at the table too. Our comparative advantage is cutting through complexity to expose the incentives that drive behavior. An economic approach, sometimes uncomfortably clinical, focuses on

Probing the incentives and institutions that kept slavery alive can help us value what freedom means.

profitability, capital formation and allocation, and long-run development. These seemingly mercenary measures can illuminate the issue’s profound moral stakes. Learning what slavery entailed is enough to horrify us; understanding why it endured demands economics. Moral repulsion at reducing people to property can—and must—coexist with the need to explain how such barbarism flourished in a nation that proclaimed “all men are created equal.” Only by probing the incentives and institutions that kept slavery alive can we fully appreciate what freedom means. Economic historians have long mined slavery’s records. Robert Fogel

and Stanley Engerman’s landmark study, “Time on the Cross” (1974) and its sequel, “Without Consent or Contract” (1989), digitized plantation accounts, commodity prices and slave sale records to test economic hypotheses. By quantifying output, labor productivity and market prices, they showed how rigorous measurement can overturn received wisdom and still deepen our moral reckoning. This work, in part, earned Fogel the Nobel in Economic Sciences in 1993. Fogel and Engerman’s analysis stripped away any illusion that slavery was haphazard. Skilled labor fetched a premium—blacksmiths and carpenters sold for roughly 50% more than ordinary field hands—while drinkers, habitual runaways and other “defective” workers were discounted by a similar margin. Slaveholders priced in age, too. Boys and girls 10 to 14 were valued at about 40% of a prime male’s productivity, and the ledgers captured it. Even productivity for pregnant women was quantified. In the week before and after delivery, enslaved women picked barely a third of their peak cotton load (31.6 pounds), yet by eight weeks postpartum they were back to 92% efficiency. Long before anyone coined the term “business analytics,” plantation owners were running a data-driven labor system. Armed with their newly digitized records, Fogel and Engerman showed that slavery was economically shrewd for Southern landowners. The gang labor system—in which slaves were divided into groups under slave drivers who disciplined out-of-line workers—was its brutal engine. That system drove enslaved workers to toil about 76% harder each hour than free laborers or slaves on nongang farms, slashing unit labor costs and lifting output. In head-to-head comparisons, slave plantations consistently outperformed operations that relied on free labor alone. Slavery endured not only because society condoned it but also be-



cause, for slaveholders, it paid. Fogel and Engerman overturned the then-fashionable view that bondage was an economically backward form of racist exploitation, manned by an idle workforce that dragged the South down. Their data revealed a colder truth: For those who owned people, slavery was the most profitable and therefore most rational labor system on offer. Recognizing the profit calculus behind slavery doesn’t dilute its moral horror—it sharpens it. It exposes how market incentives can entrench inhumanity and how the lure of profit can eclipse compassion. American slavery ended as it began—by brute force—yet debate over its modern economic and social aftershocks continue. For two decades I have asked my Harvard undergraduates whether slavery harms them today; they invariably answer yes. Pressed for specifics, they cite lack of wealth creation, neighborhood segregation, or lingering notions of black inferiority once used to justify bondage. But when I request empirical proof, the room goes silent. I then point them to the brilliant

work of economist Nathan Nunn, whose data-rich studies quantify slavery’s enduring drag on economic growth, inequality and social capital. Parsing evidence from Africa to U.S. counties, Mr. Nunn finds a clear pattern: The heavier a region’s slave reliance in the 1800s, the worse its economic performance today. Within the U.S., for instance, low-slave states such as Maryland and Missouri outearn high-slave states like South Carolina and Louisiana even 1½ centuries later—differences that persist after controlling for education, urbanization and other confounding variables. Mr. Nunn’s most striking evidence concerns trust, and his approach to causality is as impressive as the result. He exploits a quirk of geography: In the 19th century, regions cut off by rugged terrain or far from navigable rivers were too costly for slave raiders on horseback to reach, so they supplied far fewer captives. By using this natural variation in accessibility, Mr. Nunn isolates the slave trade’s causal effect. Communities with the heaviest historical slave exports now report the lowest levels of trust—toward neighbors, other

ethnic groups and their own governments. That distrust is no historical footnote; it remains a brake on social capital formation and growth. The institutions themselves may function well, Mr. Nunn argues, but the culture shaped by the slave trade, and stories handed down through generations, still affects how people perceive others, and institutions, today. How should schools teach these sobering findings? Shielding students from the facts of American history is no answer, nor is dismissing every discussion of slavery as ideological excess. Yet a curriculum that leaves young people feeling helpless serves no purpose. In my experience, an economic lens, anchored in data and empirical evidence, complements moral reflection. It helps students study the darkest chapters of the past, trace their effects to the present, and feel engaged rather than defeated. Teaching that slavery was simply racial exploitation differs from showing that it was capitalism run amok, an incentive-driven system that targeted black people because doing so maximized profit. Both interpretations acknowledge slavery’s brutality, but the economic framing sheds light on how incentives can be reshaped, pointing to concrete ways the future can be brighter. June 19th rightly celebrates the day slavery’s shackles were broken, yet the work of reckoning remains. We must teach this history candidly, dust for its fingerprints in today’s inequities, and repair the economic, social and institutional distortions it left behind. Slavery is gone, but the marks it etched on American life endure. Facing them squarely is the only way to erase them. Mr. Fryer, a Journal contributor, is a professor of economics at Harvard, a founder of Equal Opportunity Ventures and a senior fellow at the Manhattan Institute.

Trump’s Tariffs Weaken America’s Military

By Jeanne Shaheen

Eighty years ago, the U.S. Army Air Forces staged an exhibition beneath the Eiffel Tower. Thousands of Parisians gathered to admire the B-17 Flying Fortress—an American-built aircraft that helped liberate Europe from Nazi occupation. Primitive by today’s standards, those bombers were the product of a national industrial base operating at full capacity. They were deployed by a trans-Atlantic alliance that shared logistics, intelligence and purpose. That model of coordination is what we need now—but it’s being tested by a trade agenda that favors confrontation over cooperation. As I co-lead the congressional delegation to this week’s Paris Air Show, the world’s largest defense aerospace expo, I find myself asking: Is the greatest obstacle to America’s security not China or Russia but our own trade policy? The U.S. defense industry’s capacity to meet the demand for arms was already stretched thin by the Covid pandemic and conflicts in Gaza and Ukraine. The Trump administration further disrupted supply chains and increased production costs through more than 50 tariff announcements

and a patchwork of shifting duties. The imposition of these tariffs has pressured allies to respond in kind. This cycle worsens supply-chain disruptions, driving up costs and causing delays in defense production. President Trump imposed 50% tariffs on steel and aluminum earlier this month. Regardless of any exemptions the administration offers, building a modern America-class amphibious assault ship requires 45,000 tons of steel. The net effect of this trade policy will be higher costs across the board, from military aircraft and lightweight armor plating to submarine repairs and shipbuilding. Tariffs will also affect small, specialized components like those used in jet engines, night vision systems, and landing gear. When I recently met with a New Hampshire company that makes ball bearings for the aerospace industry, executives told me tariffs have driven up their costs and extended their production time—concerns industry leaders echoed in Paris. These delays and rising costs don’t only slow American readiness; they erode our allies’ trust in the U.S. as a dependable partner. The strain is already evident. Although

the F-35 fighter jet is “the pinnacle of aerial combat technology,” in Vice President JD Vance’s words, several North Atlantic Treaty Organization allies have signaled they may reconsider participation in the F-35 Joint Strike Fighter program. Demand for American-made weapons remains strong, especially from front-line nations like Poland. It is racing to acquire Himars rocket launchers and Abrams tanks. The levies delay U.S.-built weapons, raise costs and leave us and our allies less prepared for the next war. But even as the Trump administration pressures allies to spend more on defense, its trade policies and combative rhetoric are sowing doubt about the reliability of parts, maintenance and pricing. That’s prompting U.S. partners to reassess their long-term defense commitments. President Emmanuel Macron underscored this shift when he said, “My goal is to persuade EU countries that rely on U.S. weapons

to choose European alternatives.” European leaders have legitimate cause for concern, and their increased defense spending reflects it. Vladimir Putin has reoriented Russia’s economy around the war in Ukraine, churning out more than 1,400 Iskander ballistic missiles a year and at one point signing up 1,000 new recruits a day. His effort is backed by North Korea, Iran and, most significantly, China. While Beijing closely watches the war in Ukraine, it has also escalated confrontations in the South China Sea and conducted aggressive military exercises over the Taiwan Strait. In the face of these rising threats, our ability to produce and deliver weapons at scale—coordinated with allies—is more critical than ever. The administration argues that reliance on foreign imports undermines American defense readiness and that tariffs will protect U.S. industries. But the defense industrial base has evolved over generations, and restructuring it would take decades—time we simply don’t have. Russia, China and Iran may feel distant to many Americans. But for those of us with family who served in World War II—or who confront

national-security challenges daily in government service—the risks are clear and they are growing. As the B-17 displayed in Paris that summer of 1945 symbolized a robust industrial base united with steadfast allies, today’s defense readiness depends on a similarly coordinated approach—one that can’t thrive amid tariffs that alienate our closest partners. We need a smarter, more unified strategy. Tariffs on our closest allies aren’t only damaging our economy, they’re undermining our shared defense readiness. At a minimum, the administration should provide answers on how these tariffs are affecting our defense supply chains. I’ve asked Defense Secretary Pete Hegseth for this information but received no response. The Trump administration’s trade policies have weakened the alliances we rely on. Congress should reassert our leadership by re-examining its moves and exercising congressional oversight. If we’re going to be ready for the challenges ahead, we must treat American trade policy as a core pillar of American national security. Ms. Shaheen, a Democrat, is a U.S. senator from New Hampshire.

My 2001 Hit Song Is for the Hostages in Gaza

By John Ondrasik

When I first released “Superman (It’s Not Easy)” in April 2001, I couldn’t have imagined it would become an anthem for first responders, men and women in uniform, and the broken everyday people working to heal our country. My song struck a chord because it wasn’t about capes or flying. It was about the vulnerabilities we all share and the burdens we all carry. The country felt united after 9/11. Red and blue became meaningless labels. We all felt the same fear, the

same heartbreak, and the same determination to rebuild. Music bridges divides. I saw that firsthand when I performed “Superman” at the Concert for New York City on Oct. 20, 2001. I took pride in the American spirit, our resilience after such an atrocity. I remember somehow locking eyes with a 250-pound union worker in the crowd who held a beer in each hand. We sang “Superman” together, loud and proud, and the tears streaming from his eyes were my tears, too. Decades later, “Superman” didn’t die. Oceans away, it found a second life.

After Hamas massacred and kidnapped innocent Israelis on Oct. 7, 2023, I dedicated “Superman” to hostage Alon Ohel, now 24, and all the innocent souls held captive in Gaza. I joined a broader awareness campaign about the hostages: their names, their stories, their families and the outrage of their captivity. I felt a special kinship with Alon because he’s a piano player like me. Instead of sharing his art, he’s trapped in a tunnel beneath Gaza. I returned to “Superman,” hoping to remind the world that the hostages are people, not statistics. They are brothers and sisters, sons and daughters, husbands and wives. Music would bring out this shared humanity after the Jewish people experienced their worst trauma since the Holocaust, just like music uplifted an America shattered by 9/11. “Superman” is a message of hope, solidarity and unity. Yet the unity of 2001 feels elusive. In response to my compassion for the hostages, I’ve been called a sellout and propagandist. For whom or what, I don’t know. I’ve been told I should “stick to music.” My new video with Alon’s family—shared by hostage families, supported by human-rights advocates, played in synagogues and town halls—triggered an onslaught of online vitriol. “Superman” isn’t political. It’s

emotional. It’s all of us. I can’t understand how connecting it to the obvious cause of Israeli hostages unleashed a torrent of hate from people who have never listened to the lyrics, never watched the video, and never cared to understand what this moment is truly about. To them, taking a stand—any stand—means choosing sides in someone else’s war. Yet the hostages aren’t political. This is a basic moral issue. ‘Superman’ became an anthem for the heroes of 9/11. Sadly, America lost that unity after Oct. 7. I’ve written political music before. When I released “Blood on My Hands” in 2021, condemning the botched U.S. withdrawal from Afghanistan, I expected blowback. I got it. But I accepted that because the song was overtly political. It pointed fingers, demanded accountability. It became the voice for veterans of the war in Afghanistan who were gutted by the withdrawal. Similarly, I wrote “Can One Man Save the World” to support Ukraine, and then recorded a video for it with a Ukrainian orchestra in the bombed-out Antonov airport. I

chose a side, and again expected the criticism I received. Yet there is no way to pick a side over Oct. 7. The horrors of that day stand alone. My critics believe that expressing empathy for one group means you must hate another. You have to either be “oppressor” or “oppressed,” though I’m not sure who Alon Ohel is oppressing from the tunnels of Gaza. In the face of these absurd labels, there’s no room for conversation, let alone reality. When did we lose the ability to say “I see suffering, and I choose to respond with compassion”? How can anyone be reluctant to say a simple phrase like “Free the Hostages”? Would anyone prefer they stay put, starving and abused underground? When did we become so tribal that Americans could label a song dangerous, divisive or, worse, genocidal, simply because it refuses to dehumanize one side over the other? Music is where we should be able to meet honestly without enmity. As I sing in “Superman,” I’m not naive. I know a song can’t stop a war, but it can start a conversation. It can open a heart. It can remind us that behind every headline is a human being who bleeds and loves and cries just like we do. Mr. Ondrasik, a singer-songwriter, is known by his stage name, Five for Fighting.

THE WALL STREET JOURNAL.

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BUSINESS & FINANCE

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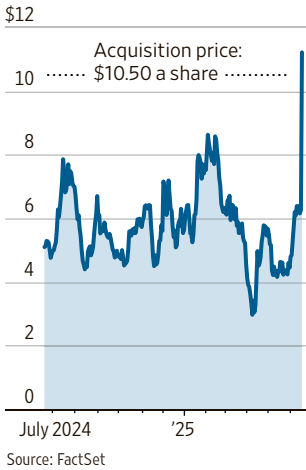
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Lilly to Buy Gene-Editing Startup

Verve Therapeutics share price, past year



Drug giant will pay up to \$1.3 billion for Verve Therapeutics under the deal

By CONNOR HART

Eli Lilly agreed to acquire **Verve Therapeutics** for about \$1 billion upfront, adding a potential treatment for cardiovascular disease to its portfolio.

Under the agreement, the companies said Lilly will buy all of the gene-editing startup's shares outstanding for \$10.50 each, equal to about \$1 billion. The pharma-

ceutical giant said Tuesday it would pay up to another \$300 million for Verve, contingent on the company's lead treatment achieving certain clinical milestones.

The purchase price represents a premium of about 113% to the 30-day volume-weighted average trading price of Verve's common stock as of Monday's close.

Shares of Verve jumped nearly 82% Tuesday. Lilly shares were 2% lower.

Verve is developing a pipeline of gene-editing medicines. Its lead program, Verve-102, is a potential first-in-class in vivo gene-editing medicine targeting PCSK9, a

gene linked to cholesterol levels and cardiovascular health, Lilly said.

The treatment is being evaluated in a Phase 1b clinical trial study and has been granted fast-track designation by the Food and Drug Administration.

"Verve-102 has the potential to be the first in vivo gene-editing therapy for broad patient populations and could shift the treatment paradigm for cardiovascular disease from chronic care to one-and-done treatment," said Ruth Gimeno, Lilly group vice president of diabetes and metabolic research and development.

The transaction is expected to close in the third quarter, subject to customary closing conditions, including the tender of a majority of the shares outstanding of Verve's common stock. Lilly said that following the closing, it will acquire any shares of Verve that aren't tendered in the offer through a second-step merger at the same consideration as that paid in the tender offer.

Verve's board has unanimously recommended that the company's shareholders tender their shares in the tender offer, Lilly said.

The deal additionally includes one nontradeable component. *Please turn to page B2*

Warner's Chief To Receive Pay Cut After Split

By THEO FRANCIS AND JOE FLINT

Warner Bros. Discovery will cut Chief Executive David Zaslav's pay when it splits in two next year—and give him an extra slug of stock options that will net more than \$150 million if the company hits share-price targets.

The new pay package goes into effect only if the split happens by the end of 2026, but Zaslav already received options for nearly 21 million shares last week. The underlying stock was valued at more than \$200 million at the time.

The board gave priority to retaining Zaslav and giving him strong incentives by tying pay to performance, Chair Samuel Di Piazza said. The company emphasized that Zaslav's options could ultimately bring him little or nothing.

Zaslav, who will head the streaming and studios business after the split, is often one of the S&P 500's highest-paid CEOs in The Wall Street Journal's annual ranking.

Last year he received a pay package of \$51.9 million, fueling criticism among shareholders. This month, investors cast a majority of votes against the compensation that Zaslav and his team received for 2024, in *Please turn to page B4*

Kraft Heinz to Remove All Artificial Dyes

By JESSE NEWMAN

Kraft Heinz is breaking up with artificial dyes, a category of food additives in the Trump administration's crosshairs.

The food giant said it plans to remove the dyes from its U.S. products before the end of 2027. Kraft Heinz also said it would no longer use artificial colors in new products in the U.S.

The move comes as the Trump administration is pushing to strip artificial dyes from the U.S. food supply. The Health and Human Services Department and Food and Drug Administration said in April that it aimed to work with the food industry to remove six synthetic dyes by the end of next year.

For decades, companies have used artificial dyes including Red 40, Yellow 5 and 6, Green 3, and Blue 1 and 2 to brighten foods or restore color lost during processing or as products age. Brightly colored candy and cake frosting use the dyes, but so do less-obvious foods such as premade pie crusts and salad dressings.

The push against synthetic dyes is one of the hallmark efforts of Health Secretary Robert F. Kennedy Jr. to overhaul the nation's food supply, a crusade that has animated his "Make America Healthy Again" agenda and its ardent supporters. Kennedy has blamed artificial colors and other food additives for a litany of health problems.

Major food companies and industry groups have defended the use of synthetic dyes, pointing out that they have long been deemed safe by federal regulators. Some, though, are working to phase out or limit



The food company aims to remove artificial dyes from U.S. products before the end of 2027. The Trump administration is pushing to strip artificial dyes from the U.S. food supply.

their use of dyes, including **PepsiCo** and cereal maker **WK Kellogg**.

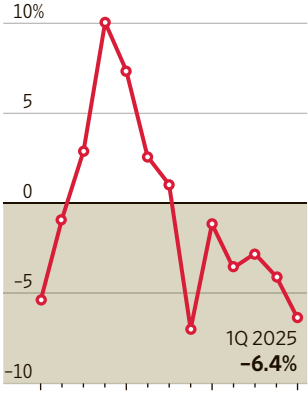
Kraft Heinz, which has headquarters in Chicago and Pittsburgh, said that nearly 90% of its U.S. products, in terms of sales, don't use artificial dyes. For those that do, including many Crystal Light, Heinz relish, Kool-Aid, Jell-O and Jet-Puffed products, the company said that it would remove, replace or reinvent colors.

For most products, Kraft Heinz said it can replace arti-

cial colors with natural ones. With existing colors harder to re-create naturally, like greens and blues, the company said it would replace those with other colors. In products in which color isn't critical, Kraft Heinz will remove them entirely.

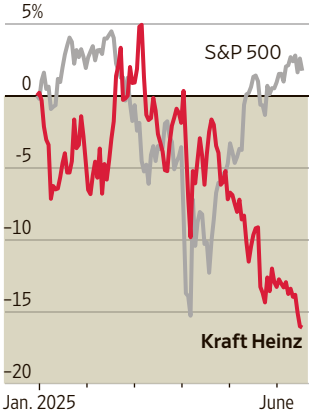
"The vast majority of our products use natural or no colors, and we've been on a journey to reduce our use of FD&C colors across the remainder of our portfolio," said Pedro Navio, Kraft Heinz's North America president.

Kraft Heinz quarterly revenue, change from a year earlier



Sources: S&P Capital IQ (sales); FactSet (performance)

Share-price and index performance



New Albertsons CEO Takes Aim at Kroger

By PATRICK THOMAS

Veteran supermarket executive Susan Morris testified in front of a federal court last summer that she was ready to take on **Kroger**, the biggest grocery-store operator in the U.S.

This year, she gets the chance to do it.

Morris, 56, has spent nearly 40 years working for supermarket company **Albertsons**, rising from a customer-service desk to the C-suite. After Kroger in 2022 struck a \$20 billion deal to buy Albertsons, it was Morris the companies picked to lead a new super-



Albertsons CEO Susan Morris

market venture to be formed from the divestiture of hundreds of stores.

"She can walk around the store and pick an apple and tell you how long that apple has been there," Vivek San-

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Germany's Daimler Truck and Sweden's Volvo launch a joint venture. **B3**

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China will pay if Iran's oil is cut off. **B11**

Generic Drugmakers Resist Call to Invest

By JARED S. HOPKINS

Dozens of companies have pledged to build more manufacturing in the U.S. since President Trump took office. Generic drugmakers aren't among them.

And they have no plans to change that anytime soon.

Makers of generics—cheaper copies that make up 90% of Americans' prescription medications—say further domestic investment is too risky in such a low-margin and unpredictable business unless the government helps to steady the sector.

Drugmakers want more

clarity from the administration on the potential pharmaceutical tariffs, which some companies warn could lead them to close U.S. plants altogether.

"Where's the incentive?" said Richard Saynor, CEO of **Sandoz**, whose U.S. slate of roughly 150 generic drugs ranges from blood thinners to antipsychotics. "You sell a packet of antibiotics more cheaply than a packet of M&M's. That's offensive, and we lose money doing that."

The stance from drugmakers **Sandoz**, **Teva Pharmaceutical Industries** and others is striking in comparison to their *Please turn to page B2*

India's Top Mogul Pays To Join Trump Fold

By ELIOT BROWN

India's richest man has joined the ranks of foreign developers pouring money into President Trump's real-estate firm, as the first family ramps up dealmaking after years of aversion to mixing business with global politics.

Investors planning Trump-branded projects in Vietnam, Dubai, Saudi Arabia and elsewhere paid the Trump Organization \$44.6 million in foreign licensing and development fees in 2024, up from \$8.2 million in 2023 and \$9.4 million in 2022, according to the president's annual financial disclosure report.

While most of the money relates to previously announced deals, the disclosure report included a \$10 million "development fee" from Reliance 4IR Realty Development, a unit of a company controlled by multibillionaire Mukesh Ambani, licensing the Trump name in Mumbai.

It is unclear what project Ambani has planned. His **Reliance Industries** is a vast family-run conglomerate with an enormous petrochemicals business and interests in retail and telecom—and his companies have lobbied U.S. officials on tariffs, sanctions and policies about oil, lobbying reports *Please turn to page B6*

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BUSINESS & FINANCE

Robinhood Launches Tools to Woo Traders

By Hannah Erin Lang

Robinhood Markets ushered millions of traders into the world of investing. Half a decade later, the brokerage is rolling out new features to maintain their loyalty. The financial services company with meme-stock origins is introducing two new features that will bring more sophisticated trading capabilities to its mobile app, including a tool that lets users preview simulated returns before they place an options

trade. The brokerage is also launching advanced charting capabilities on mobile devices, borrowed from its desktop trading platform launched last fall. The charts will allow traders to take a more detailed, real-time look at markets while placing orders in just a few taps. Chief Executive Vlad Tenev and senior director of brokerage product management Gina Pasqua-Abeles demonstrated the tools on a livestream Tuesday, the latest ex-

periment aimed at forging a more direct connection with users. It is part of a broader plan to ultimately dominate the market for retail trading. Robinhood first broke into the national spotlight about five years ago, when a new generation of investors flocked to the platform's easy-to-use interface during the pandemic. Years later, millennial and Gen Z traders—the median age among Robinhood users is 35, the brokerage says—re-

main a key part of its business. About 63% of Robinhood's revenue came from customer trades in the first quarter. Compare that with a much larger competitor such as Charles Schwab, where the number is roughly 16%. "It very much is still the core business," Abhishek Fatehpuria, Robinhood's vice president of brokerage product, said of the platform's active traders. Cornering the market on active traders is the first step

in Tenev's more ambitious 10-year plan to build Robinhood into a global, full-service financial services company. Robinhood is already pushing aggressively into other business lines: in addition to a credit card, the company now offers managed investment accounts. It plans to roll out traditional bank accounts later this year. Robinhood still faces criticism that its trading platform makes it too easy to place risky bets and can blur the line between investing and

gambling. As recently as February, the company had to yank event contracts that allowed users to bet on the outcome of the Super Bowl after regulators balked. Robinhood has since launched contracts on the college-basketball championships and the Masters golf tournament. Regulatory pressure has eased under the Trump administration. Shares have hit several record highs in June and have more than doubled so far in 2025.

Generics Resist Call To Invest

Continued from page B1 brand-name rivals. **Bristol-Myers Squibb, Eli Lilly, Roche** and others have promised to invest more than \$250 billion in domestic manufacturing, jobs and other functions as tariffs targeting their products loom. More U.S. investment by brand-name drugmakers, however, won't address issues such as curbing shortages of drugs or supplying essential medicines, which largely involve generic drugs that are made overseas, according to supply-chain experts. Instead it will spur production of expensive medicines already made in America such as cell therapies or biologic cancer drugs, which make up more than 80% of the country's drug expenditure. "These are things which we already, to a large degree, manufacture and don't have a trade deficit on," said Prashant Yadav, a senior fellow for global health at the Council on Foreign Relations. The Trump administration in April launched a so-called Section 232 investigation to assess the impact of imported medicines and their raw ingredients on national security. The inquiry could result in pharmaceutical tariffs being announced this month. Tariffs could put generic makers in an even more vulnerable position. They already average a lower net profit margin than brand-name drugmakers, at 18.1% compared with 28.1%, according to



Teva Pharmaceutical and other generic drugmakers say further investment in the U.S. is too risky in such a low-margin and unpredictable business. One CEO asks, 'Where's the incentive?'

research by the University of Southern California's Schaeffer Institute. They also compete largely on price and generate sales on volume. Drug-price negotiations by pharmacy-benefit managers and group-purchasing organizations, who negotiate for employers and hospitals, respectively, push prices down further. If tariffs diminish profits enough, companies may simply pull drugs from the market rather than risk losing money, say experts and manufacturers. In turn, that would exacerbate drug shortages that have become common. Many companies want to invest in the U.S., but there need to be incentives—and tariffs have thrown a wrench into generic companies' long-term plans to create sustain-

able businesses, said John Murphy III, the chief executive of the Association for Accessible Medicines, a generic trade group. "With the tariffs, it has changed how every company looks at domestic investment because it is very uncertain what the state of tariff policy will look like in three months, six months, a year, and two years," he said. The generic drug business has long been a difficult environment for American companies. Prices for many medicines including antibiotics, cholesterol-lowering statins and cancer drugs have fallen so low that it has become tough for U.S. manufacturers to compete with companies outside the U.S. In response, generic com-

panies moved operations overseas, where labor is cheaper, governments provide subsidies and there are looser regulations. India has grown into one of the biggest pharmaceutical exporters and supplies about half of U.S. generics. U.S. manufacturers have also gone bankrupt or slashed their product portfolio.

Before Trump's second term, some companies had tried to boost their generic capabilities. London-based **Hikma** expanded in recent years and last year acquired an Ohio plant, where it plans to start making sterile injectables in 2026. The company is also investing in its U.S. capabilities to expand capacity to make more doses of essential medicines by 2028, it said. Tariffs won't compel Sandoz, which doesn't make any drugs in the U.S., to build domestic plants, Saynor said. The chief executive said he agrees with the administration's goal of having a domestic supply of affordable prescription drugs. But "is that going to happen through carrots or is it going to happen through sticks?" he said. "Sticks are not going to incentivize me to build an antibiotics facility." Such a plant would cost the Swiss company \$2 billion or \$3 billion and run at a loss in an unsustainable market, he said, adding that the U.S. should make regulatory changes to entice investment. Israel-based Teva is still waiting to see the makeup of tariffs before considering whether to add U.S. manufacturing, said Chief Executive Richard Francis. "We want to understand what is the policy, before we start to think of anything like that," he said.

Lilly to Buy Biotech Startup

Continued from page B1 tinent value right per share entitling the holder to receive up to an additional \$3 a share, representing a total potential consideration of \$13.50 a share in cash without interest, equal to about \$1.3 billion. Holders would become entitled to receive the contingent payment upon the first patient being dosed with Verve-102 for atherosclerotic cardiovascular disease in a U.S. Phase 3 clinical trial on or before the 10th anniversary of closing. Verve co-founder and Chief Executive Sekar Kathiresan said the company was founded with the mission to transform the treatment of cardiovascular disease from chronic care to a one-dose future. "In just seven years, our team has progressed three in vivo gene editing products, with two currently in the clinic," he said. "Now, we will take the next steps in the drug development journey together with an ideal strategic partner in Lilly."

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Crackdown Hurts Food System, CEO Says

By Owen Tucker-Smith and Patrick Thomas

Chobani Chief Executive Hamdi Ulukaya said the Trump administration's stepped-up immigration enforcement poses risks to the food-supply chain. "We need to be very realistic," Ulukaya said at The Wall Street Journal's Global Food Forum in Chicago. "We need immigration and we need workers for our food system to work." Trump's immigration crackdown is roiling America's food system. Produce farms, dairies and recently a meat processing plant in Nebraska have been ensnared in immigration raids, disrupting production. Stepped-up enforcement is sowing fear among legal immigrant workers, now nervous about moving to new jobs or even leaving home, employers have said. About two-thirds of U.S. crop farm workers are foreign-born, and 42% of those aren't legally authorized to work in the country, according to the Labor Department. "Farmers are highly dependent on immigration," Ulukaya said Tuesday. **Hormel Foods**, the maker of Spam and Planters peanuts, relies on a number of documented immigrants at its facilities, Chief Executive Jim Snee said. While Hormel hasn't seen "a real effect" so far from the tougher enforcement, he said that stricter immigration policies would hit the food supply chain in the long term.

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BUSINESS & FINANCE

Daimler Truck, Volvo Launch Joint Venture

Companies will use platform to produce their own software-led trucks and buses

By DOMINIC CHOPPING

STOCKHOLM—Swedish truck maker **Volvo** and German peer **Daimler Truck** have launched a new joint venture that will develop a software-based manufacturing platform to build digitized commercial vehicles.

The launch of Coretura follows an agreement last year to

move ahead with the project. The jointly owned company is headquartered in Gothenburg, Sweden.

Digital architecture is crucial for making vehicles that rely on software. The auto industry is transitioning to so-called software-defined vehicles, which can be adapted to new technology and individual needs more easily than conventional vehicles.

Both companies will use the platform to produce their own software-led trucks and buses, and the venture also will offer the service to other manufacturers.



The venture, Coretura, aims to launch its first products in vehicles by the end of the decade. A Volvo plant in Sweden.

“With Coretura, we are setting a clear strategic focus on software development for commercial vehicles,” Daimler Truck Chief Executive Karin

Radstrom said. “Together we are starting the digital-driven future of trucks and buses, ultimately making commercial vehicles smarter, more con-

nected, and more efficient.”

Coretura began operations at the beginning of June, starting with around 50 employees. It aims to launch its

first products in vehicles by the end of the decade.

Volvo’s Johan Lunden has been appointed CEO of the venture.

New Owner Gives High Times a Fresh Spark

By JOSIE REICH

Weed has gone mainstream. Cue the comeback for the stoner magazine High Times.

In a multimillion-dollar passion project, the founder of a rolling-paper company will revive the publication that was a voice of counterculture for decades. High Times celebrates cannabis culture with news, essays advocating for legalization and celebrity interviews.

U.S. cannabis sales are on track to reach just under \$33 billion this year, according to cannabis data firm BDSA, and the substance is legal for recreational use in more than 20 states.

Josh Kesselman, who owns RAW rolling papers, paid \$3.5 million for the High Times intellectual property rights. He is resurrecting the print magazine with special-edition releases and relaunching the flagship Cannabis Cup pot competition,

trying to bring back the brand’s rebellious spirit in a joint effort with former High Times co-owner Matt Stang.

Kesselman is candid about the magazine’s prospects in an era of fractured media attention: He expects the magazine to lose money initially. He just hopes to pick up enough business with die-hard marijuana enthusiasts to eventually break even, he said.

He has already pumped an additional \$1.85 million into jump-starting the magazine, covering costs including trademark fees and digitizing old content.

“I know typically in business people have this whole plan,” Kesselman said. “But the funny part, Matt and I always tell people, is we have no plan. The most important thing to us was to actually save High Times.”

Kesselman said the company’s prior owner lost buy-in



Former High Times co-owner Matt Stang, left, and businessman Josh Kesselman are trying to revive the magazine.

from readers by focusing too much on profit. Trans-High Corp., or THC, the magazine’s publisher since its 1974 founding, sold its assets to private-equity firm Oreva Capital in 2017. The new parent company, Hightimes Holding, entered into receivership in

April 2024 and the website hasn’t been updated in months. Its last print edition came out in September.

“The old High Times, the monetization one, had to be completely destroyed down to the ashes. That way of thinking had to go away,” Kessel-

man said.

In the year before High Times was sold to Oreva, its website drew about five million monthly visitors, Stang said.

The owners are relaunching the High Times website and special-edition print magazines, joining many publications expanding or reviving their print operations, including the Atlantic, the Onion and Tablet. Even as new outlets pop up to cover the growing cannabis industry, Kesselman said he thought High Times could draw a strong audience. Stang, who co-owned the publication for seven years, until its 2017 private-equity purchase, is trying to coax some former colleagues back.

Kesselman, 54, was introduced to weed culture in High Times as a teen, when marijuana was illegal in the U.S., stashing a copy wrapped in brown paper away from his parents.

Hasbro Lays Off 3% of Staff

By KELLY CLOONAN

Hasbro laid off 3% of its global workforce, which comes as the toy company faces higher costs due to tariffs.

The job cuts amount to about 150 employees, based on the nearly 5,000 total employees the company had at the end of last year, according to Hasbro’s annual report.

Affected employees were notified of the layoffs, which affected workers across departments and regions around the world, on Monday.

It is the latest round of job cuts as part of a multiyear restructuring at the maker of Monopoly board games and Nerf blasters. The company aims to trim about \$1 billion in costs over the next few years.

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TECHNOLOGY & MEDIA

WSJ.com/Tech

Amazon Cloud Unit Looks to Asia

Tech giant pours cash into regional data centers as it sees AI opportunity growing

By KIMBERLEY KAO

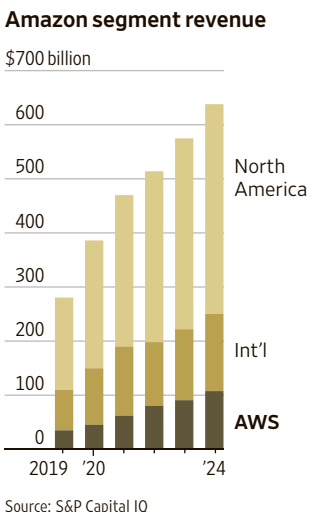
Amazon.com’s cloud-computing arm sees a wealth of artificial-intelligence opportunities and plans to keep investing billions of dollars in Asia as short-term uncertainties are eclipsed by long-term demand, a top executive says. There are always going to be challenges, but “we make in-

vestments because we have clarity on the long-term opportunity,” said Jaime Vallés, Amazon Web Services’ vice president for Asia-Pacific and Japan. The company works with customers “to help them both prepare and also continue to maximize their opportunities—whether it’s changing economic conditions, evolving technologies, or anything else,” Vallés said. Asia’s economic outlook has been clouded by U.S. tariffs and geopolitical tensions. The prevailing uncertainty has cast a pall over corporate spending. A pullback in capital

expenditure and higher costs could damp data-center growth in the region, analysts say. Trade restrictions also threaten the flow of key parts and materials. No one knows exactly where tariffs will settle or when, but demand has yet to be affected, Amazon Chief Executive Andy Jassy said on an earnings call with analysts last month. Uncertainties haven’t stopped AWS from continuing to pour cash into cloud and AI services in the Asia Pacific. This week, it unveiled a nearly \$13 billion investment in Aus-

tralia to expand its data-center infrastructure, coming on top of plans to spend over \$5 billion in Taiwan for a new cloud region. Previously announced plans for Asia include multibillion-dollar investments in Singapore, Malaysia and Japan. Cloud computing continues to be a key profit driver for Amazon, and Vallés thinks it makes sense to keep expanding in Asia. The region represents “hundreds of billions [of dollars] in cloud-enabled opportunities in artificial intelligence over the next few years,” he said.

Asia-Pacific has become a hub for data centers and cloud services, as companies increasingly migrate on-premise infrastructure to the cloud. Research firm IDC expects cloud spending in the region to reach \$250 billion this year, driven by AI adoption. Vallés said Amazon will “continue investing billions of dollars in infrastructure across the region.” The company faces some competition. Rivals like Microsoft Azure and Google Cloud also are investing heavily in the region, said Quasar Elizundia, research strategist at



Pepperstone. In parts of Southeast Asia, it is also up against Chinese tech giant Alibaba, he added.

Warner Chief Takes Pay Cut

Continued from page B1
a nonbinding “say on pay” proposal.

At the new company, he would keep his \$3 million a year in salary. His target bonus would fall to \$6 million, with a cap of \$12 million, from a target of \$22 million and a payout of \$23.9 million last year.

The contract promises Zaslav a target of \$15.5 million in equity awards the first year and \$7.5 million annually after that. The amount could rise or fall with performance, but metrics for his annual bonus and equity awards weren’t specified.

The potential for bigger money comes with last week’s option grant and the promise of at least three million more in early January.

Zaslav would vest in 40% of

the options over five years if he stays on the job after the spinoff, while the rest would vest in three tranches if the company’s share price rises by 20% to 65%. If all three targets are hit, he could net more than \$150 million in shares from the grant over five years.

Much of the equity award could continue to vest if the streaming business is sold before or after a spinoff or if Zaslav loses his job. If the spinoff isn’t completed by the end of 2026, Zaslav stands to lose nearly all the new options.

The contract also guarantees Zaslav a \$15 million cash payout if his contract isn’t renewed once it expires in 2030.

Until the company breaks up, Zaslav’s pay will largely be governed by his existing employment agreement. Under that agreement, he has more than four million options and shares scheduled to vest before mid-2026.

The Warner breakup came just over three years after the company was created through the merger of AT&T’s WarnerMedia and Zaslav’s Discovery Communications. When the



David Zaslav is often one of the S&P 500’s highest-paid CEOs in The Wall Street Journal’s annual ranking.

deal closed in April 2022, Zaslav told employees it was a “bright shiny day.”

However, the marriage was saddled with more than \$50 billion in debt, leading to constant cost cutting and resulting in several thousand layoffs. Belt-tightening is still the norm at much of the company with development and production budgets constantly under scrutiny.

The company is betting that by separating the cable networks business, investors will appreciate the opportunities of the HBO Max streaming service which has had strong growth and the Warner movie and TV production studios.

The cable networks, which

include CNN, TNT and Discovery Channel, are still profitable but viewed as an albatross by Wall Street because of continuing declines in ratings and revenue due to cord-cutting.

Warner Chief Financial Officer Gunnar Wiedenfels will become chief executive of the cable networks company. His contract promises a salary of \$2.5 million, a target annual bonus of \$8.75 million and a target annual equity award of \$16 million. He will also receive a one-time grant of \$15 million in restricted stock and options, vesting over five years.

In 2024, WBD paid Wiedenfels \$17.06 million, including almost \$7 million in cash.

AI to Cut Size of Big Staff, Jassy Warns

By SEBASTIAN HERRERA AND KATHERINE HAMILTON

Amazon.com, one of the largest U.S. employers, plans to reduce its workforce in the coming years because increasing use of artificial intelligence will eliminate the need for certain jobs.

Chief Executive Andy Jassy, in a note to employees Tuesday, called generative artificial intelligence a once-in-a-lifetime technological change that is already altering how Amazon deals with consumers, other businesses and conducts its own operations.

He didn’t specify how much the size of Amazon’s workforce would be reduced but said the efficiency gains from using generative artificial intelligence would result in cuts.

“As we roll out more Generative AI and agents, it should change the way our work is done,” he said. “It’s hard to know exactly where this nets out over time, but in the next few years, we expect that this will reduce our total

corporate workforce.”

Amazon doesn’t expect to have mass layoffs in the near future like it did in 2022 and 2023, with the decrease in head count expected to happen largely through attrition, people familiar with the matter said.

Yet some teams could see layoffs over time, the people said. Organizations such as teams working on the Alexa smart speaker have previously experienced layoffs.

Jassy’s note was among the starkest commentaries to date from a major company on AI’s likely impact on employment.

Firms ranging from retailers to pharmaceuticals are using AI to perform an increasing number of functions. Executives say the technology promises to increase productivity, but it also can replace the need for certain workers, while creating demand for new kinds of roles.

About 41% of employers said they would downsize their workforce due to AI, a recent World Economic Forum survey found.



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THE PROPERTY REPORT



Ambani Joins Trump Crowd

Continued from page B1
show. Real-estate development hasn't historically been a Reliance focus, but in recent years the conglomerate has taken on large projects, including redevelopment of an area of more than 4,000 acres in Mumbai. Ambani attended Trump's inauguration in Washington, D.C., in January, and was a guest last month at a state dinner in Doha, at which the Qatar emir hosted the U.S. president. Taken with a set of real-estate projects announced this year in Qatar and elsewhere in India, the burst of foreign Trump deals stands as a highly visible display of the family strategy to steam ahead with expansion plans across the president's businesses while he sits in the White House. His growing reach spans an array of sectors—including golf, cryptocurrency and a re-

Above, Mukesh Ambani, chairman of Reliance Industries; right, in April Eric Trump, center, checked out a model of a Trump-labeled project planned for Qatar. recently announced Trump mobile phone—marking a major break from previous administrations that sought to keep the presidency separated from potential conflicts of interest. While the deals have sparked criticism from Democratic lawmakers and governance advocates, there has been little public resistance from the Republicans who control Congress. In the first term, the Trump Organization pledged a halt to foreign dealmaking while he was in office—essentially putting a stop to any new real-estate projects from the company. Donald Trump Jr., a company executive who oversees the president's assets with his brother, Eric Trump, said at a Qatar-based conference in May that



recusal from deals didn't stop criticism, so this time the family has lowered the self-imposed guardrails—vowing only to avoid direct deals with foreign governments. “We said we’re going to play by the rules, but we’re not going to go so far as to stymie our business forever,” Donald Trump Jr. said. A White House spokeswoman said the president is working to secure good “deals for the American people, not for himself,” and said there were

no conflicts of interest. Representatives of Reliance didn't respond to requests for comment. A Trump Organization spokeswoman declined to comment on the tie-up with Ambani. Among the concerns from critics: The nature of real-estate development—where government approvals are crucial—makes it difficult to avoid getting tangled up with foreign politics. In Vietnam, the government accelerated approvals for a Trump project at the same time it was lobbying heavily to reduce its 46% tariff rate set by Trump. Qatari officials hosted Eric Trump for an event launching a new Trump-branded golf resort two weeks before the president visited

the country for trade and investment talks. A project in Serbia—where a fund run by the president's son-in-law Jared Kushner is planning a trio of towers—has become a rallying point for opponents of that country's president, who has doubled down on support for the project. The burst of payments on the president's 2024 disclosures are likely precursors for more money set to flow when the projects are completed. Details in the disclosures filed Friday are sparse, but the 2024 payments are similar to past upfront fees that are often part of Trump's licensing deals in which third-party developers build and own hotels and condos

branded as Trump properties. For years, such deals have been Trump's bread and butter in real estate, allowing him to profit without plowing money into buildings. The Trump Organization typically receives a mix of set fees and a portion of sales. The most-active developer was Dar al Arkan, a Saudi company that accounted for \$22 million of the foreign-license fees last year for Trump-branded projects planned in Saudi Arabia, Oman and Dubai, according to the disclosure report. Some of its other fees included \$5 million from the Vietnamese developer Hung Yen Hospitality and \$5.2 million from another Dubai developer, Damac.

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Macquarie Collects \$8 Billion to Invest In Infrastructure

By ROD JAMES

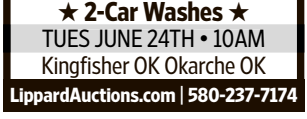
Macquarie Asset Management, one of the world's largest private infrastructure investors by assets under management, has closed its latest fund dedicated to investing in infrastructure projects and companies in the Americas. The investment arm of Australian financial-services provider **Macquarie Group** collected a little over \$6.8 billion for Macquarie Infrastructure Partners VI, the firm said, slightly less than a \$6.9 billion predecessor pool that closed in 2021. Macquarie raised an additional \$1.3 billion of co-investment capital that it can invest alongside the latest fund, the firm said. Around 70% of capital commitments came from investors that had backed previous Macquarie real-assets funds, the firm said. Half of the total came from North American investors, the highest proportion among the funds raised so far in the series. Investors that have disclosed commitments to the fund include California Public Employees' Retirement System, which committed \$500 million, and Public School Teachers' Pension & Retirement Fund of Chicago, which pledged \$25 million. Macquarie said it would use Fund VI mainly to acquire assets in the transportation, digital infrastructure, utilities, energy and waste sectors in the Americas. The fund has already backed several deals, including the December acquisition of a 40% stake in a portfolio of certain Texas- and Louisiana-based infrastructure assets from materials and chemicals manufacturer Dow. Macquarie put up \$2.4 billion to acquire the assets focused on areas such as power and

steam production, and oil-and-gas pipelines. The infrastructure investor also tapped Fund VI to back Canadian air-transport hub Montreal Metropolitan Airport, U.S. internet and television provider SwyftFiber and Brazilian toll-road operator Monte Rodovias. Through Fund VI, Macquarie aims to generate a 10% to 12% net internal rate of return, a common performance metric for private-markets funds that includes unrealized gains, according to documents prepared for Chicago Teachers' Pension Fund. It also is aiming to return to investors an annual cash yield of 4% to 6% over the life of the fund, the documents show. Infrastructure funds around the globe collected \$87 billion in investor commitments in 2024, a 14% increase from \$76 billion raised by such funds in 2023, but far below a 2022 peak of \$154 billion, according to a Boston Consulting Group analysis. Higher interest rates, which make infrastructure projects more expensive to finance, and uncertainty around regulatory and budgetary priorities in the U.S. factored into the fundraising slowdown, the consulting firm concluded. However, dealmakers say the asset class could benefit from the U.S. government's positive overtures toward the artificial-intelligence industry. The joint venture initiative announced by the Trump administration and led by technology investors that include ChatGPT maker OpenAI and SoftBank Group could steer up to \$500 billion of investments into the infrastructure used to power artificial intelligence over the next four years.

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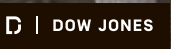
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42215.80 ▼299.29, or 0.70%

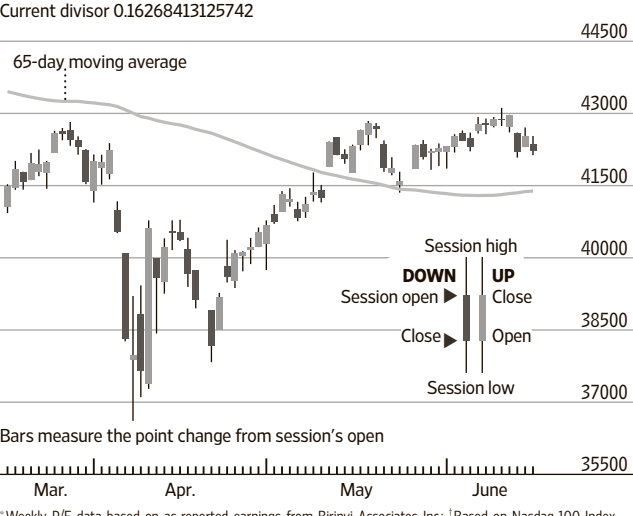
High, low, open and close for each trading day of the past three months.

Trailing P/E ratio 23.87 26.95

P/E estimate * 20.65 18.67

Dividend yield 1.75 2.17

All-time high 45014.04, 12/04/24



S&P 500 Index

5982.72 ▼50.39, or 0.84%

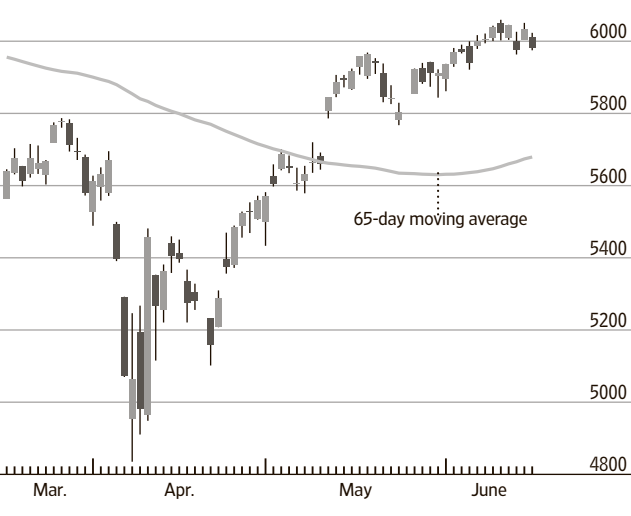
High, low, open and close for each trading day of the past three months.

Trailing P/E ratio * 23.72 23.62

P/E estimate * 22.93 22.10

Dividend yield * 1.26 1.34

All-time high 6144.15, 02/19/25



Nasdaq Composite Index

19521.09 ▼180.12, or 0.91%

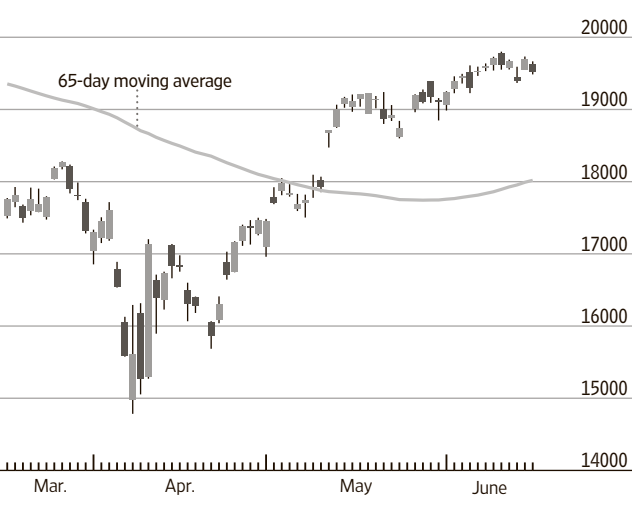
High, low, open and close for each trading day of the past three months.

Trailing P/E ratio ** 31.10 31.75

P/E estimate ** 29.45 28.64

Dividend yield ** 0.72 0.77

All-time high: 20173.89, 12/16/24



Major U.S. Stock-Market Indexes

	High	Low	Latest Close	Net chg	% chg	High	52-Week Low	% chg	YTD	% chg 3-yr. ann.
Dow Jones										
Industrial Average	42530.83	42132.65	42215.80	-299.29	-0.70	45014.04	37645.59	8.7	-0.8	12.2
Transportation Avg	14861.87	14653.33	14688.67	-213.11	-1.43	17754.38	12637.04	-1.4	-7.6	4.5
Utility Average	1033.34	1016.42	1027.62	-2.87	-0.28	1079.88	898.82	13.1	4.6	5.0
Total Stock Market	59506.47	59029.83	59105.81	-498.32	-0.84	61024.05	49067.76	9.3	1.2	17.0
Barron's 400	1279.35	1268.86	1269.86	-11.01	-0.86	1356.99	1058.38	12.1	1.4	14.2
Nasdaq Stock Market										
Nasdaq Composite	19666.56	19485.44	19521.09	-180.12	-0.91	20173.89	15267.91	9.3	1.1	21.8
Nasdaq-100	21896.42	21680.17	21719.08	-218.49	-1.00	22175.60	17090.40	9.1	3.4	24.5
S&P										
500 Index	6023.25	5974.80	5982.72	-50.39	-0.84	6144.15	4982.77	9.0	1.7	17.6
MidCap 400	3035.19	3012.15	3013.71	-24.82	-0.82	3390.26	2560.93	2.9	-3.4	10.7
SmallCap 600	1304.48	1292.61	1293.05	-13.41	-1.03	1544.66	1106.12	0.6	-8.2	5.7
Other Indexes										
Russell 2000	2120.38	2101.59	2101.96	-22.17	-1.04	2442.03	1760.71	3.8	-5.7	8.1
NYSE Composite	20087.96	19903.37	19918.28	-169.68	-0.84	20272.04	17188.46	10.9	4.3	12.2
Value Line	590.55	583.85	583.91	-6.64	-1.12	656.04	495.50	0.2	-4.4	4.3
NYSE Arca Biotech	5615.21	5528.75	5535.09	-80.11	-1.43	6318.63	5060.12	7.6	-3.7	8.3
NYSE Arca Pharma	954.26	930.96	931.68	-22.58	-2.37	1140.17	860.88	-11.8	-0.3	6.1
KBW Bank	129.07	127.56	127.95	-1.12	-0.87	140.59	101.92	24.9	0.4	8.4
PHLX ^S Gold/Silver	210.09	206.83	208.82	-0.50	-0.24	210.81	135.70	53.9	52.2	19.8
PHLX ^S Oil Service	64.06	62.90	63.03	0.25	0.39	92.31	50.70	-22.6	-13.2	-1.5
PHLX ^S Semiconductor	5311.76	5222.38	5223.65	-43.65	-0.83	5904.54	3562.94	-9.4	4.9	26.5
Cboe Volatility	21.79	19.55	21.60	2.49	13.03	52.33	12.03	75.6	24.5	-11.5

Nasdaq PHLX

Sources: FactSet; Dow Jones Market Data

Late Trading

Most-active and biggest movers among NYSE, NYSE Arca, NYSE Amer. and Nasdaq issues from 4 p.m. to 6 p.m. ET as reported by electronic trading services, securities dealers and regional exchanges. Minimum share price of \$2 and minimum after-hours volume of 50,000 shares.

Most-active issues in late trading

Company	Symbol	Volume (000)	Last	Net chg	After-Hours % chg	High	Low
Grab Holdings	GRAB	41,664.9	4.77	-0.03	-0.63	4.80	4.77
SPDR S&P 500 ETF Trust	SPY	10,491.0	597.40	-0.13	-0.02	598.16	569.87
iShares Core S&P 500 ETF	IVV	7,831.8	598.12	-0.64	-0.11	601.29	598.00
SPDR Portfolio S&P 500	SPLG	7,228.6	70.30	...	unch.	70.36	70.24
NVIDIA	NVDA	5,657.7	143.80	-0.32	-0.22	178.86	95.66
Ford Motor	F	5,016.1	10.43	0.01	0.05	10.44	10.40
AT&T	T	4,763.3	27.67	0.02	0.07	27.68	27.60
iShares Bitcoin Trust ETF	IBIT	4,245.7	59.45	-0.05	-0.08	59.59	59.25

Percentage gainers...

Indonesia Energy	INDO	658.4	5.68	0.43	8.19	5.88	5.13
Houston American Energy	HUSA	244.3	21.50	1.50	7.50	22.00	19.20
TMD Energy	TMDE	288.5	2.18	0.13	6.34	2.20	1.99
Denali Therapeutics	DNLI	58.8	14.71	0.70	5.00	14.71	13.94
Sun Country Airlines	SNKY	69.3	11.37	0.54	4.99	11.37	10.62
...And losers							
Biomea Fusion	BMEA	326.3	2.13	-0.77	-26.58	2.90	1.81
iShares Core MSCI EM	IEMG	320.3	50.26	-7.65	-13.21	57.93	50.26
LATAM Airlines Group ADR	LTM	195.2	35.39	-1.87	-5.02	37.26	35.39
SmartStop Self REIT	SMA	61.4	34.00	-1.48	-4.17	35.48	34.00
Levi Strauss	LEVI	151.5	16.72	-0.72	-4.13	17.44	16.72

Trading Diary

Volume, Advancers, Decliners

	NYSE	NYSE Amer.
Total volume*	1,122,792,427	22,620,443
Adv. volume*	286,862,070	9,151,744
Decl. volume*	831,277,180	13,299,794
Issues traded	2,840	299
Advances	882	120
Declines	1,887	165
Unchanged	71	14
New highs	39	5
New lows	53	4
Closing Arms ¹	1.34	1.79
Block trades ²	5,472	183
	Nasdaq	NYSE Arca
Total volume*	8,519,937,457	343,630,603
Adv. volume*	3,190,522,672	109,338,452
Decl. volume*	5,135,483,005	232,612,494
Issues traded	4,649	2,257
Advances	1,371	560
Declines	3,142	1,670
Unchanged	136	27
New highs	101	29
New lows	115	13
Closing Arms ¹	0.70	0.50
Block trades ²	61,019	1,606

*Primary market NYSE, NYSE American, NYSE Arca only.
¹(TRIN) A comparison of the number of advancing and declining issues with the volume of shares rising and falling. An Arms of less than 1 indicates buying demand; above 1 indicates selling pressure.

International Stock Indexes

Region/Country	Index	Close	Net chg	Latest % chg	YTD % chg
World	MSCI ACWI	890.42	-7.09	-0.79	5.8
	MSCI ACWI ex-USA	371.17	-2.79	-0.74	13.9
	MSCI World	3901.81	-34.22	-0.87	5.2
	MSCI Emerging Markets	1196.96	-1.22	-0.10	11.3
	MSCI AC Americas	2266.13	-18.09	-0.79	2.4
Canada	S&P/TSX Comp	26541.39	-27.22	-0.10	7.3
Latin Amer.	MSCI EM Latin America	2290.19	-12.66	-0.55	23.6
Brazil	Bovespa	138840.02	-415.89	-0.30	15.4
Chile	S&P IPSA	4214.01	-38.39	-0.90	16.6
Mexico	S&P/BMV IPC	56676.82	-370.03	-0.65	14.5
EMEA	STOXX Europe 600	542.26	-4.65	-0.85	6.8
	Euro STOXX	557.76	-5.67	-1.01	10.4
	Bel-20	4438.57	-43.04	-0.96	4.1
	OMX Copenhagen 20	1862.51	-39.41	-2.07	-11.4
	CAC 40	7683.73	-58.51	-0.76	4.1
	DAX	23434.65	-264.47	-1.12	17.7
	Tel Aviv	2768.73	12.57	0.46	15.6
	FTSE MIB	39387.22	-541.96	-1.36	15.2
	AEX	920.63	-4.30	-0.47	4.8
	Oslo Bors All-Share	1887.86	7.13	0.38	14.8
	FTSE/JSE All-Share	94657.07	-667.27	-0.70	12.0
	IBEX 35	13911.70	-199.10	-1.41	20.6
	OMX Stockholm	935.32	-8.34	-0.88	-2.0
	Swiss Market	12007.06	-83.81	-0.69	3.5
	BIST 100	9339.59	-10.42	-0.11	-5.0
	FTSE 100	8834.03	-41.19	-0.46	8.1
	FTSE 250	21237.05	-46.97	-0.22	3.0
Asia-Pacific	MSCI AC Asia Pacific	199.30	-0.32	-0.16	9.7
	S&P/ASX 200	8541.30	-7.07	-0.08	4.7
	Shanghai Composite	3387.40	-1.32	-0.04	1.1
	Hang Seng	23980.30	-80.69	-0.34	19.5
	BSE Sensex	81583.30	-212.85	-0.26	4.4
	NIKKEI 225	38536.74	225.41	0.59	-3.4
	Straits Times	3930.34	22.18	0.57	3.8
	KOSPI	2950.30	3.64	0.12	23.0
	TAIEX	22211.59	161.69	0.73	-3.6
	SET	1113.58	-0.91	-0.08	-20.5

Sources: FactSet; Dow Jones Market Data

Percentage Gainers...

Company	Symbol	Close	Net chg	% chg	High	Low	% chg
CERo Therapeutics	CERO	19.83	12.96	188.73	895.40	6.71	-96.8
Eyenovia	EYEN	6.97	4.00	134.68	124.80	0.85	-86.2
Robin Energy	RBNE	10.59	5.07	91.85	24.65	1.32	...
Houston American Energy	HUSA	20.00	9.40	88.68	32.00	3.85	61.3
Verve Therapeutics	VERV	11.38	5.11	81.50	11.41	2.86	123.1
Digital Turbine	APPS	7.54	2.73	56.76	7.77	1.18	423.6
Generation Essentials	TGE	9.12	3.01	49.26	37.02	5.60	...
XTI Aerospace	XTIA	4.10	1.33	48.01	187.50	0.96	-9.6
Geospace Technologies	GEOS	9.40	2.51	36.43	13.79	5.51	26.1
Jyong Biotech	MENS	10.11	2.61	34.80	19.99	7.50	...
Watson Financial	WTF	6.70	1.69	33.73	19.85	4.05	...
BGSF	BGSF	5.37	1.35	33.58	9.22	2.91	-27.8
IM Cannabis	IMCC	2.99	0.74	32.59	7.12	1.29	7.4
Indonesia Energy	INDO	5.25	1.26	31.58	6.24	2.06	96.6
Mexco Energy	MXC	14.21	3.29	30.13	16.00	5.89	28.4

Most Active Stocks

Company	Symbol	Volume (000)	% chg from 65-day avg	Latest Session Close	% chg	52-Week High	Low
Processa Pharmaceuticals	PCSA	572,815	12420.1	0.26	15.50	3.10	0.15
Greenlane Holdings	GNLN	355,111	34.2	0.01	-16.13	21.80	0.01
Acurx Pharmaceuticals	ACPX	342,196	186749.8	0.82	167.24	3.33	0.30
Healthcare Triangle	HCTI	307,339	46.1	0.02	-16.29	1.90	0.01
Denison Mines	DNN	227,802	145.1	1.83	-1.61	2.47	1.08
BigBear.ai	BBAI	182,484	165.4	4.05	-2.17	10.36	1.17
Lucid Group	LCID	142,980	19.7	2.15	0.00	4.43	1.93
NVIDIA	NVDA	137,655	-46.3	144.12	-0.39	153.13	86.62
Direction TSLA Bull 2X	TSLL	137,581	-37.5	11.94	-7.73	41.50	6.29
Direction Dly Semi 3 Bear	SOXS	126,972	49.7	9.44	2.28	53.43	8.98

* Volumes of 100,000 shares or more are rounded to the nearest thousand

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Percentage Losers

Company	Symbol	— Latest Session —			52-Week		
		Close	Net chg	% chg	High	Low	% chg
Planet Green Holdings	PLAG	0.79	-1.56	-66.59	5.52	0.47	-50.3
SunRun	RUN	5.78	-3.86	-40.04	22.26	5.38	-54.3
SolarEdge Technologies	SEDG	15.96	-8.02	-33.44	38.48	10.24	-56.9
Jianzhi Educ Tech ADR	JZ	2.00	-0.86	-30.07	14.60	1.72	-83.3
Enphase Energy	ENPH	34.92	-11.01	-23.97	130.08	33.01	-70.7
Mullen Automotive	MULN	1.65	-0.51	-23.61	169181940.00	1.62	-99.9
Immuneering	IMRX	1.82	-0.55	-23.21	3.83	1.00	23.0
XCF Global	SAFX	1.70	-0.51	-23.08	45.90	1.70	-84.0
Aptevo Therapeutics	APVO	2.82	-0.84	-22.95	485.37	2.81	-99.3
Dye Therapeutics	DYN	10.86	-2.96	-21.42	47.45	6.36	-67.2
Dawson Geophysical	DWSN	2.30	-0.60	-20.69	5.54	1.08	-22.3
Red Cat Holdings	RCAT	7.32	-1.87	-20.35	15.27	1.00	617.6
BingEx ADR	FLX	2.96	-0.72	-19.57	21.95	2.01	17.8
Redwire	RDW	16.70	-3.87	-18.81	26.66	4.87	100.8
First Solar	FSLR	143.90	-31.35	-17.89	268.12	116.56	-45.2

HEARD^{ON}THE STREET

FINANCIAL ANALYSIS & COMMENTARY

China Will Pay if Iran’s Oil Is Cut Off

The country’s refineries have become hooked on cheap imports of sanctioned Iranian crude

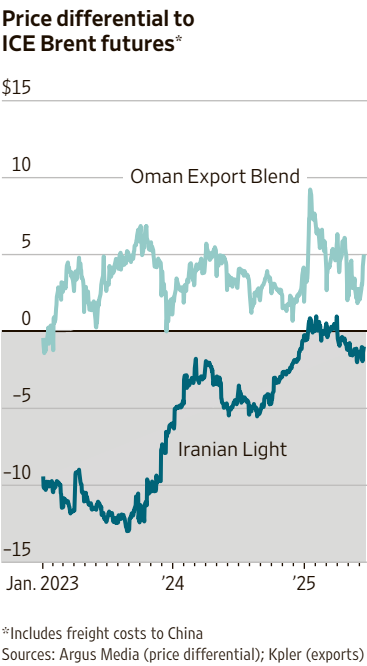
Israel hasn’t attacked Iran’s energy export hubs so far. If it does, China could find itself cut off from a flow of cheap oil.

Iran exports around 1.7 million barrels of crude a day, less than 2% of global demand. The U.S. reimposed sanctions on Tehran’s oil exports in late 2018, a few months after President Trump withdrew from the Iran nuclear deal during his first term.

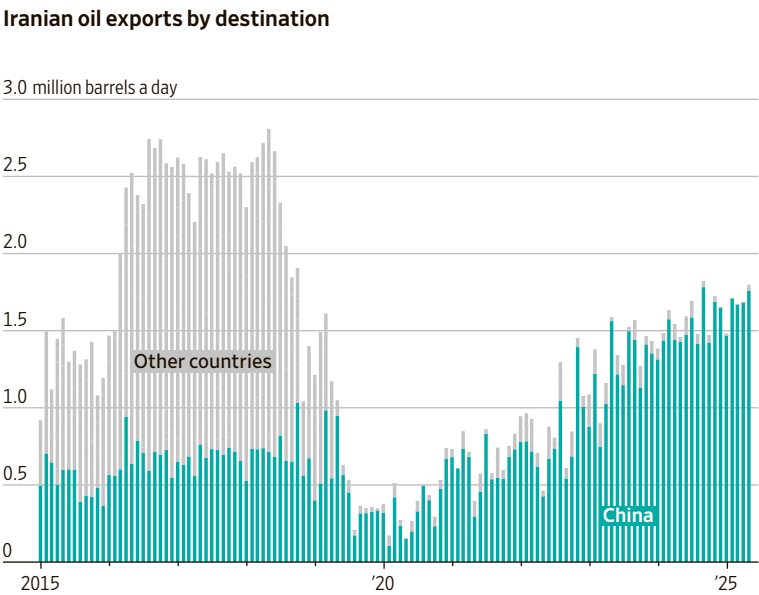
Most countries won’t touch Iran’s sanctioned crude, so Tehran is forced to sell at a discount and find covert ways to get it onto the market. It uses a “dark fleet” of tankers that sail with their transponders turned off to ship oil.

More than 90% of Iran’s oil exports now go to China, according to commodities data company Kpler. Most of it is bought by small Chinese “teapot” refineries clustered in the Shandong region that operate independently from state-owned oil companies. They switched to illicit Iranian oil en masse in 2022 to protect their margins.

The discount on Iran’s oil compared with a similar grade of non-sanctioned crude such as Oman Export Blend is currently around



\$2 a barrel, according to Tom Reed, vice president of China crude at commodity data provider Argus Media. The gap has narrowed recently because of worries that conflict with Israel and stricter enforcement of U.S. sanctions could disrupt Iranian supply.



The discount has been wider in the past, averaging \$11 in 2023 and \$4 in 2024.

With few alternative buyers for Iranian oil, Chinese refineries have leverage. Last year, an official from Iran’s Chamber of Commerce characterized the trading relation-

ship as “a colonial trap.” As the sanctioned oil is paid for in renminbi rather than in dollars, Iran has few choices about where to spend its crude earnings except on Chinese goods, reinforcing its dependency on one country.

If Israel’s goal is to seek regime

change in Iran, it may feel tempted to cut off Tehran’s oil funds. A strike on Kharg Island in the Persian Gulf, where most of Iran’s tankers set sail from, would stop the bulk of the country’s oil exports.

This would shock oil markets and could alienate the White House. Trump doesn’t want to see Americans paying higher gasoline prices at the pump. But the Organization of the Petroleum Exporting Countries Plus group of producers has a lot of spare capacity that could be returned to the market relatively quickly.

Saudi Arabia and the United Arab Emirates combined have more than four million barrels of oil a day on the sidelines. A Goldman Sachs analysis found these two producers replaced around 80% of lost barrels within around six months in previous supply shocks.

This safety valve could ease tensions in the oil market if needed. But Iran’s top customer would still feel the pinch if its energy exports are disrupted. For the first time in years, China’s private refineries would have to pay full price for a barrel of oil.

—Carol Ryan

The Boss Can Spot a Bargain

Unless you’re a member of Congress, insider trading is a risky way to try beating the market.

It sounds like the next best thing would be trading alongside insiders—jumping in when senior executives or board members buy their companies’ shares. But attempts over the years to profit from that have mostly fallen flat.

“It’s sort of nothing—no excess return,” says John Spears, managing director at storied value-investing firm Tweedy, Browne.

Unless you apply the right framework, that is. Tweedy re-examined a 1990s academic study on what happens when you combine value measures only with significant insider purchases. Published as a book by H. Nejat Seyhun, “Investment Intelligence from Insider Trading,” it showed stocks with big insider buys and the lowest fifth of price-to-book ratios beat

the market by a whopping 11 percentage points over a year.

The asset manager updated and expanded Seyhun’s observations and the results are even more compelling. First, it only counted large purchases—those exceeding \$100,000—and just those by C-suite executives. It also looked at other developed countries. Then it applied a more complex measure of intrinsic value. Over a little more than 26 years ending in September 2022, Tweedy flagged 12,604 insider buys.

Dividing the results into 10 slices by value, from cheapest to most expensive, and using a longer time horizon, it found the cumulative excess return peaks after about two years. The cheapest decile beat the market by 25 percentage points while the most expensive lagged behind by 6 percentage points.

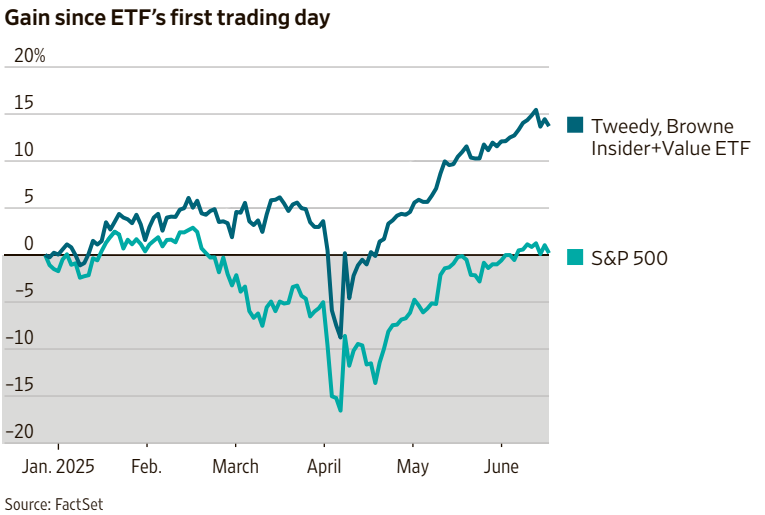
It tried a further tweak: By only

counting companies that had bought back their own shares at most three months before the insider buys, the excess return of the cheapest decile rose to an eye-watering 36 cumulative percentage points over two years.

Seyhun’s study showed that, while following insiders doesn’t always work, managers often know if their stock price is too low. When it looks cheap and they buy it in size then their timing can be excellent.

Tweedy is applying what it learned to its stock picks. It launched an exchange-traded fund with the ticker symbol COPY in December that explicitly follows the strategy. It is early days, but the ETF is beating the S&P 500 by nearly 13 percentage points so far.

One limitation is that many of the stocks are small and international. Another is that, even then,



few stocks meet the criteria.

“You can’t just turn on a switch every quarter and get 100 new names,” sighs Bob Wyckoff, also a managing director.

But a few large U.S. companies tick at least some of the boxes. Coattailing some of JPMorgan boss Jamie Dimon’s big buys has

worked well. Another large company, UnitedHealth, saw major insider buying last month after the stock plunged, including \$25 million from its returning CEO.

Senior executives don’t have crystal balls, but they know a lot more than the rest of us.

—Spencer Jakab

BUSINESS & FINANCE

Albertsons CEO Aims At Kroger

Continued from page B1

karan, Albertsons’s chief executive at the time, told a Portland, Ore., federal courtroom last year as the supermarket giants defended their merger plan.

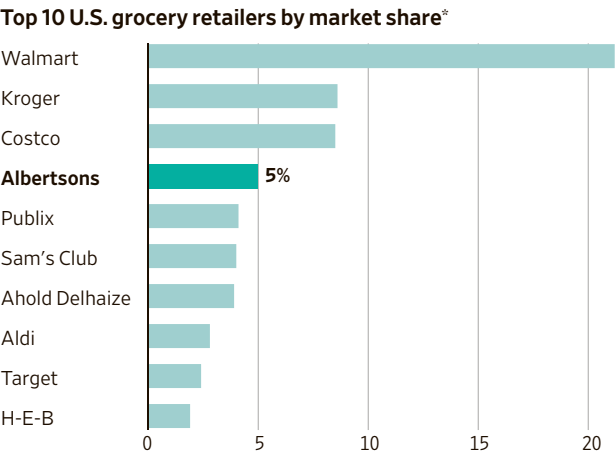
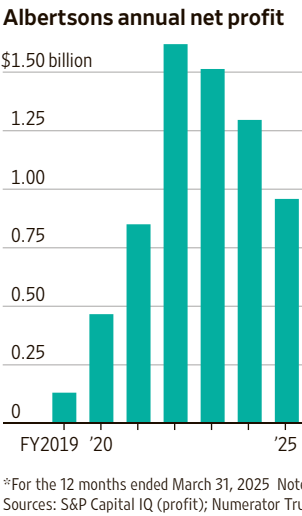
Antitrust concerns sank the deal in December. But Morris is getting her shot anyway, taking over as Albertsons’s CEO last month after San-karan’s retirement.

Morris brings a fierce competitive streak. During last year’s antitrust trial, Federal Trade Commission lawyers showed an internal email Morris sent in 2022 after Albertsons posted better quarterly sales numbers than its main rival: “Eat our dust, Kroger.”

Albertsons needs that energy: The Boise, Idaho-based company, which runs chains such as Safeway and Jewel-Osco, spent much of the past three years focused on the Kroger takeover. Albertsons’s market share slipped, and its profit declined 26% to \$959 million in the company’s latest fiscal year.

Morris is presiding over a cost-cutting plan that aims to save \$1.5 billion over the next three years. The company has laid off about 800 employees and shut nearly a dozen stores this year, and Morris said Albertsons would close more underperforming stores this year and next.

“We’re going to be a little



Albertsons hopes to save \$1.5 billion in costs.

Morris had risen to chief operating officer, spending much of her time in Albertsons stores. She also regularly walked her competitors’ aisles, looking for what they did differently, how stores looked and the prices they charged. She said she admires some rival stores, such as H-E-B and Wegmans.

“She’s great in the stores and in the field,” said Jose Tamez, managing general partner for Austin-Michael, a Colorado-based executive recruiter focused on food retail.

Morris also is going up against Kroger in court. After the takeover was blocked, Albertsons sued Kroger, saying it didn’t do enough to secure regulatory approval. Kroger has denied the accusation and countersued Albertsons for allegedly breaking the

merger agreement.

As CEO, Morris said she plans to expand Albertsons’s in-store advertising business and improve its produce and store brands. The company needs to better harness its loyalty program, she said, to help determine which products can sustain higher prices, and which should be priced lower to attract more shoppers.

Joseph Feldman, an analyst at Telsey Advisory Group, said that keeping pace with rival grocers’ prices is one of Morris’s top challenges. During last year’s antitrust trial, lawyers from Kroger said prices for goods at Albertsons were 10% higher on average than at Kroger stores.

Morris said Albertsons has never confirmed that number. While the company might not have the scale or buying power of **Walmart** or Aldi, she said, Albertsons’s niche is being a one-stop shop for consumers. “We’re never going to be the cheapest guy in town.”

To keep prices low, Morris said, Albertsons needs to play hardball with food companies and distributors. In late March, Albertsons sent a letter to suppliers, warning against raising prices for tariff-related reasons unless the chain grants permission.

By the end of the year, Morris said Albertsons will have automated about 30% of its distribution volume. The company is hiring engineers to rethink the layout of bakery and deli departments, seeking to cut down the time it takes for employees to do their job.

The idea, Morris said: “Speed up those things that might add more productivity to the bottom line.”



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THE FUTURE OF EVERYTHING

A LOOK AHEAD FROM **THE WALL STREET JOURNAL.**

■ THE
TRAVEL
ISSUE

The New Road Trip

Immersive maps and
entertainment on board are
in the offing **R6**



Family Time

Luxury getaways
offer on-site
therapists, too **R3**

PLUS

Travel points
that could be
used across all
your rewards
programs **R8**

THE FUTURE OF EVERYTHING | TRAVEL



Patrick Quayle, United Airlines' senior vice president of global network planning and alliances, at his office in Chicago

little bit more about what role social media plays in this research process?
Social media does play a role: Where people are going, what is trending, what are hot destinations—we try to get there in the future.

How has picking destinations and planning the network changed in recent years?

There's really not any new technology or new source of information. But what I would tell you that's quite transformational was our experience during Covid. We had to more or less shut the airline down to just a handful of routes that we were flying and then build it back up. Because the business demand had evaporated, we started experimenting a lot more, and adding things like Dubrovnik [Croatia] or Palma de Mallorca [Spain]. We said, people have not been able to travel for a couple of years. What are destinations that could excite them, that could inspire them and that could motivate them to travel? They did quite well. That success led us to think, Well, gosh, if the flight to the Azores works, why not add a flight to Faro? Why not add a flight to Madeira? What it taught us is that we should experiment more, and to try to look through the data and figure out, what are the key characteristics of a route that works.

HOW UNITED AIRLINES PICKS ITS NEXT HOT DESTINATIONS

Network planning executive Patrick Quayle on plotting routes to Ulaanbaatar, Nuuk and more, using a mix of data and social-media buzz; tracking the 'White Lotus' effect **By Alison Sider**

If you've ever spun a globe and thought about jumping on a plane to whatever city your finger landed on, you'll probably be jealous of Patrick Quayle. As senior vice president of global network planning and alliances at United Airlines, it's his job to figure out where the next travel hot spots will be. And United has been more adventurous than most. In recent years, United has added nonstop flights to destinations like Marrakesh, Morocco, and Palma de Mallorca, Spain. In May the airline launched flights from Tokyo to Ulaanbaatar, Mongolia, and in June will begin flying from Newark to Nuuk, Greenland—both destinations that are firsts for a U.S. airline. Later this year, it will start offering flights from the U.S. connecting via Hong Kong to Bangkok and Ho Chi Minh City, Vietnam (and yes, Quayle gets to ride along on the inaugural flights). Quayle talked with the Journal about how the airline thinks 10 years ahead to predict the future of travel, poring over government-demand figures and credit-card spending data, while keeping a close watch over Instagram trends and the latest streaming hits.

How do you come up with destinations like Ulaanbaatar or Nuuk? What kinds of data are you looking at that convinces you those are places that people actually want to go to?

- This process has evolved. Adding a flight to a London or a Frankfurt is low risk and very easy, because there's so much data and the market is so saturated.
- When it gets to a place like Greenland or Mongolia, we're looking at what is trending, or we're looking at how do we capture the imagination of the United customer base.
- In a place like Greenland, we're making a bet that people want to go there based on the type of travel we see to other parts of our network that are more exotic, more off the beaten path. In a place like Mongolia, there actually has been air service in the past—not from a U.S. airline—but there's been air service in the past from Tokyo to Mongolia, and we can see the traffic demands going there.

I wouldn't have expected, when the route was announced, that Greenland would suddenly be in the political conversation.
Nor did I. We announced it in September. It was an adventure travel, you



know, go see this beautiful, untouched part of the earth. And subsequently, politics has come into play. And so it has been in the news a lot. I would just say, people are very interested in Greenland. And I think us having a nonstop flight there just makes it easier for cultures and ideas to exchange in the free flow of information.

Have destinations caught on that you guys are maybe open to places that other U.S. airlines wouldn't consider? Do they try to pitch you?

Absolutely. Destinations pitch United, because they see the type of content we're adding. But also, our team is very creative. We're looking at what's trending on Instagram. We're looking at where people are searching on United.com. We're looking at top travel trends. We see a spike in interest in Bangkok because of "White Lotus," and so we're capturing that with our new service to Bangkok, starting this October.

Is that how that came about, or was it just a happy accident?
It's a bit of both. We have had Bangkok in our long-term plan. We look at, where do we want to be five years from now? Where do we want to be 10 years from now? And we build out a fleet plan to support that. So we are

▲ United recently launched flights to Ulaanbaatar, Mongolia, from Tokyo

buying aircraft from Boeing and Airbus to support our vision of where we want to be in five and 10 years. At the same time, we also look at what's trending and maybe speed up some of these destinations or push back some of these destinations based on geopolitical events, or current events. We had [Bangkok] in our plans long before "White Lotus" ever announced they were filming in Thailand, but we sped it up because of the "White Lotus" effect.

You mentioned looking on Instagram. Can you talk a

► The airline will soon start flying to Nuuk, Greenland, from Newark, N.J.



KEVIN SERNA FOR WSJ; KUANGKRAI THITIMAKORN/GETTY IMAGES; OSCAR SCOTT CARL FOR WSJ

How do you decide where not to fly? Something that might sound really exciting, but it's just not gonna make the cut.

We are a publicly traded company, and we're here to make money, and so every flight we add we would like to make a profit on. We added Los Angeles to Singapore. We also added New York/Newark to Bergen, Norway. After 12 months, these flights did not make money, and we canceled the flight. In this role, you cannot be so egotistical or proud that you're unwilling to cancel a flight.

I've heard you describe network planning as sort of both an art and a science. Where does the science start and the art of it pick up?

The science starts with the data. We can look at credit-card data. We can look at U.S. Department of Transportation origin-and-destination data. We can look at pricing data. The art aspect of it is, how do I look at that same data and add a lens of creativity and a lens of color and passion that could lead me to broaden the aperture, serve more people and add more destinations?

Any hints on what regions of the world you're focused on next?

I don't want to give any hints, because the other two big U.S. airlines copy what we do. If I hint at it, they'll be the first to launch it. I would rather be the first one.

When you're not on inaugural flights, are you personally a big traveler?

I love travel. I definitely have a wanderlust to just explore and see the world, but I also like the simple things in life. I'm dreaming of going to South Africa. I want to go visit Kazakhstan, Uzbekistan. At the same time, I love nothing more than also going back to the Hill Country of Texas with my family and just spending a quiet week-end outside of San Antonio. It's being able to balance both of those things is kind of the cool part of this job. *Interview is edited and condensed.*

THE FUTURE OF EVERYTHING | TRAVEL

THE NEXT BIG THING IN LUXURY TRAVEL:
A FAMILY THERAPIST

Wealthy parents are paying tens of thousands of dollars for resort vacations with their children that tackle family dynamics; ‘I was really worried about my kids becoming bratty’

By Sara Ashley O’Brien



On a sprawling estate on New Zealand’s Matakana Coast, there’s an infinity pool, a heated spa, a secret wine cellar and a tennis court for vacationing guests.

Another unusual luxury: on-site counseling.

Bluestone Families, which operates retreats on the estate, sees vacations as the future site for fostering healthy dynamics between parents and kids. In the digital age, where devices compete for attention at nearly every waking hour, Bluestone’s founders believe raising children is harder than ever—including for the very wealthiest. For about \$80,000 (not including airfare), families can get all of the usual benefits of a far-flung trip, from delicious meals to adventurous outdoor activities, plus a professional therapist on hand.

Madeline Avery, 35, went on a five-night retreat in October 2024 with her husband, Jack, and their children, who are 8 and 5 years old. “I wanted to be connected now rather than trying to fix this when my kids are teenagers,” she said. The Averages, who live in Australia and own a luxury yacht-charter company among other businesses, learned about Bluestone Families after Madeline stumbled upon the estate on Instagram.

“Because we go away so much and we go to so many amazing places, I was really worried about my kids becoming bratty, becoming overly privileged,” Jack Avery, 37, said. Yes, their retreat was in a picturesque luxury setting. But between archery and kayaking, the parents worked on addressing their kids’ frustrations, they all spent less time on their phones and

the family started a new ritual of sharing “highs and lows” of the day at the dinner table.

“We got more in a week there than I have in three weeks in France,” Jack Avery said.

Miraval Berkshires, an adults-only resort in Lenox, Mass., began including kids in a Family Connection Week last year, focused on mindfulness and family dynamics. According to general manager Gilbert Santana, the concept was so successful—about 500 people attended the first event in April 2024—that it is planning its third in November. The cost is more than \$1,000 a night, per person.

Santana said it is helping children get on a “mindful journey early.” Together, families are taking part in cupcake or taco-building workshops, as well as snow hikes. “There are digital-friendly areas, but you find people more and more staring at the mountains, watching the sunset,” he said.

Psychologist Paul J. Donahue, who has a practice focused on children and parents in Scarsdale, N.Y., said that in his clinical experience, children of wealthy parents face two major challenges: “a very intense pressure to achieve and then often a feeling of isolation from their parents.” All of this, he said, has intensified in recent years. “The biggest antidote we know against anxiety, depression, loneliness, substance abuse is having a sense of family closeness,” Donahue said.

It’s time, not money, that limits these families in their ability to connect, said Christy Menzies, the Florida-based founder of Menzies Luxe Retreats. For that reason, it’s important

for them to get the most out of their trips. She’s just not sure having a counselor present is the right way to achieve it. “To me, that’s a riskier endeavor, because you can start going in a direction you didn’t want to go.”

J. Stuart Ablon, psychologist and associate professor at Harvard Medical School, said retreats might be a starting point, but likely not a solution, to many families’ challenges. “If they’re complicated issues and family dynamics or significant challenges people are having, you’re not going to fix much in a five-night stay,” he said.

Patrycja Slawuta, a behavioral scientist in Australia, said that’s



▲ Miraval Berkshires began offering a Family Connection Week last year

◀ Madeline Avery and her daughter in Bluestone’s geodesic dome.

the point. “Taking people out of context, out of what’s familiar, actually opens their minds. People don’t take their usual roles that they normally do, they don’t sit at the same table they normally do,” she said. She currently works with private families and family offices on integrating family wealth and has held multigenerational retreats as part of that work.

With Australia in the midst of the largest generational transfer of wealth—a silver tsunami that is also sweeping other countries, including the U.S.—there has been an increased focus on family relationship dynamics. One of the top reasons that wealth transfers fail, various studies have found, has to do with poor communication and relationship challenges.

“People who don’t know how to integrate wealth, they’re getting torched by it,” said Slawuta, who works with wealthy, complex families who are typically already in the process of a wealth transfer. “In order for the system to thrive, it needs to evolve and it needs to learn, and it needs to be generative.”

Mornings at Bluestone start with family yoga or meditation in its geodesic dome. That’s followed by family breakfast on a sun-filled patio and a parent coaching session where everything is on the table, from learning difficulties to sibling rivalries and relationship issues with either parent.

The company’s co-founders, former human-resources executive Andrea Grant Robbiati and child and

family psychologist Deirdre Brandner, came up with the idea during a girls’ trip in 2019 to the New Zealand property, which Grant Robbiati owns.

Brandner had been having session after session with parents worried about their children, and Grant Robbiati was seeing parents whose struggles at home were spilling over into the workplace. The women, who each have three adult children, had the idea to cater to high-performing, high-earning parents who needed support connecting with their families.

“This is the first step,” said Brandner, who emphasized she offers advice rather than traditional counseling to parents on-site. The company also does follow-up calls with guests after they leave, to help parents continue their journey.

Since 2023, they have hosted eight families on retreats, with Brandner on site to advise parents. The retreats have attracted interest from executives and the ultrawealthy, the co-founders said.

Some prospective clients have asked to host retreats on their own compounds for added privacy, the co-founders said. The global law firm Dentons has offered its corporate employees in Australia seminars from Bluestone Families.

“It’s become more apparent that the parenting challenges of today’s world are really a hidden stress for many of our leaders and employees,” said Maureen Migliazzo, the chief operating officer for Dentons’ Australasia region. “Managing parenting challenges is really an important aspect of our employees’ well-being program.”



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The magnificent island of Santorini, with its turquoise waters and whitewashed houses, is arguably the most romantic in Greece. The views, the shopping (with more gold jewelry than can be imagined), and the wonderful cafés with fantastic food conspire to create the perfect ambiance. For a more off-the-beaten-path experience, visit the Venetsanos Winery, which overlooks the spectacular Santorini caldera, and enjoy an exquisite tasting in its cellar.



Willemstad, Curaçao

Culture-loving couples will want to visit Willemstad, a vibrant and bustling city in the heart of Curaçao. This UNESCO World Heritage Site is the capital of Curaçao and is famous for its colonial architecture and museums. Be sure to walk hand-in-hand across the swinging Queen Emma Bridge, known locally as the Swinging Old Lady, before heading to Daalbooi Beach. This naturally beautiful cove offers powdery sand and gin-clear turquoise waters, surrounded by rocky cliffs is the perfect place to steal a salty kiss.



Casablanca, Morocco

Casablanca will forever be linked to that cinematic moment when Rick says his final, "Here's looking at you, kid" to Ilsa. You can recreate the scene with your better half in this city, where old meets new. Enjoy the shared experience of exploring the souks, churches and mosques of the enchanting Habous District. And indulge your senses with the aromas, colors and tastes of the Central Market.



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As the old adage says, it takes two to tango, but even if you don't like to tango, you should definitely visit this romantic city. Together, stroll the tree-lined boulevards dotted with superb restaurants, art galleries, and bars. And then, take an excursion to the countryside for an entirely new perspective. Enjoy spending time together, savoring exquisite Argentinian wines at an estancia, as gauchos prepare an authentic slow-cooked barbeque lunch over an open fire.

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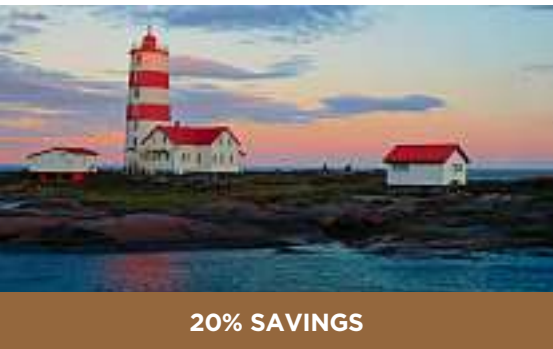
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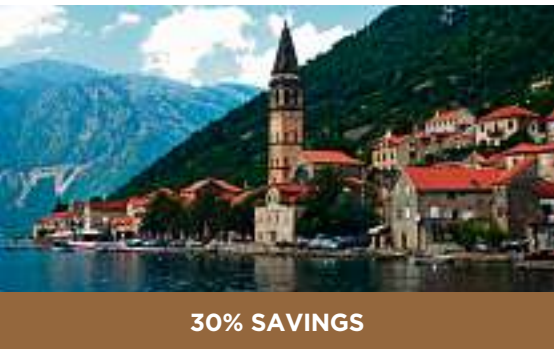


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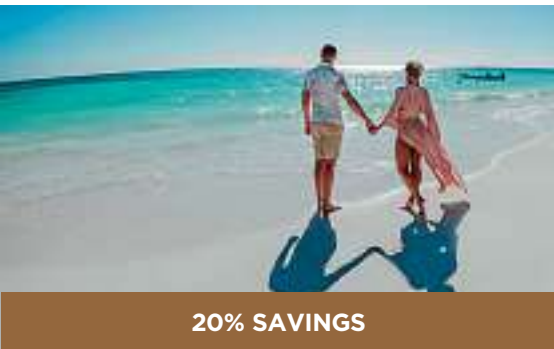


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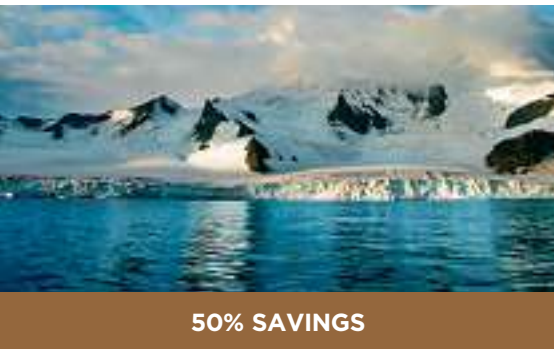
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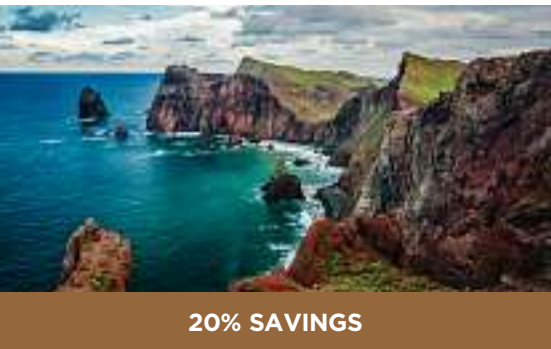
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ROUNDTrip BUENOS AIRES

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THE FUTURE OF EVERYTHING | TRAVEL



HOW THE CAR OF THE FUTURE WILL TRANSFORM THE AMERICAN ROAD TRIP

Companies explore new ways to navigate and pass the time in self-driving cars. **By Brett Berk**

Revamped navigation systems will plan your ideal route, make hotel reservations and even teach you about the surrounding geography. Car interiors could transform into a mobile movie theater. And lie-flat massaging seats will activate during endless highway stretches.

As self-driving cars become more of a possibility, companies are exploring vehicles that break design convention, sans forward-facing seats, steering wheels or dashboards, allowing for enhanced in-car travel experiences.

“We’re looking at hands-on experiences that offer the best of both worlds, where you can have the ultimate luxury of being chauffeured, and still have that visceral experience of travel and all the information you want and need,” says Bryan Nesbitt, head of global design at Cadillac.

Cadillac, a division of General Motors, is already dipping its toes in experiential designs. Nesbitt and his team recently debuted a trio of concepts: a tapered two-person grand tourer, with bed-like seats and a shared curved screen for long weekends away; a boxy six-person recreational vehicle for exploring nature and socializing with friends; and a single-person, vertical takeoff-and-landing vehicle for accessing hard-to-reach locales.

Artificial-intelligence-powered onboard technology could allow passengers to merge their digital life with their on-the-road experience. That means “your content, your media and your personal preferences will be more deeply integrated into the vehicle,” says Patrick Brady, vice president for automotive efforts at Alphabet subsidiary Google.

“Your mobile phone will be the center of your digital ecosystem, and will seamlessly transition that information

to connect and personalize experiences for each occupant,” he says.

Some notable concerns may have to be mitigated before these changes take place. “Cars are designed for safety and visibility, and current regulation is organized around this,” says Alan Macey, associate chair of undergraduate transportation design at ArtCenter College of Design in Pasadena, Calif. “Autonomy could significantly redefine what a vehicle looks like, and could privilege social interaction, comfort or other things. But impact and safety standards for these cars would presumably need to change.”

Here’s how automakers are reimagining road trips.

Navigating the Roads

Contemporary navigation systems excel at finding the quickest path from point A to B. But on a road trip, speed isn’t the only variable. Passengers want more freedom in how they make their journey.

“Kind of like an audio equalizer, we’ll have presets for different genres—the scenic route, the direct route, the offbeat route—but you can also go in and customize it,” says Cadillac’s Nesbitt.

Spot an interesting landmark? Your navigation system will be able to tell you all about it. “You pass a historical marker, a mountain, an interesting building or a restaurant, and because it will see what you see, it will be able to, without you saying the name of the object, tell you about them,” says Google’s Brady.

Externally mounted cameras integrated into the car’s safety systems could project real-time images for passengers, alongside reviews or historical details about roadside sites pulled from the internet, Brady says.

‘We’ll have presets for different genres—the scenic route, the direct route, the offbeat route.’

▼ Cadillac’s new concepts include, from left, a vertical takeoff-and-landing vehicle, a recreational vehicle and a grand tourer.

The windshield, embedded with augmented-reality capabilities, could act as the screen.

Motion-tracking wearables like rings or wristbands, or sensors that recognize gestures or eye movements, could allow passengers to interact with the projected information.

As passengers pass time onboard, generative AI could help them find the perfect lunch spot or route because it will be able to understand conversational speech. “You could say, ‘Find a Mexican restaurant along my route with good vegan options and fast service that’s near an EV charging station,’” Brady says. “Or, ‘I’m driving from San Francisco to Los Angeles, plan scenic stops every hour.’”

AI could generate immersive virtual street-by-street views of a road-trip itinerary before departing so travelers can familiarize themselves with their plans, Brady says.

Or passengers could skip the drive and just experience the whole trip from home on a VR headset. “You could actually imagine yourself walking down a street in your destination, if you want to,” Brady says.

Wellness Onboard

Luxury automakers are already trying to garner a share of the \$500 billion annual American wellness market, with seats that massage and provide kinesthetic routines to help reduce fatigue. When cars drive themselves, these opportunities will increase.

With high-quality audio, surrounding screens, scent atomizers and lie-flat seats, the car could become “a place for cocooning” on the road, so occupants are well-rested when they arrive at their destination, says Joern Freyer, vice president of user interface and user experience for BMW.

Vehicles of the future will also offer ways to monitor your health. In-seat biometric sensors could track heart rate and attentiveness and then provide prompts to relax or meditate. They could detect symptoms of a heart attack or stroke, and automatically provide warnings, pull the car over, or alert the authorities, Freyer says. His team is collaborating with a Berlin hospital to develop such a concept.

“We are looking to find ways to learn with in-car sensors to detect these health markers very early, and avoid situations where someone becomes unconscious or has a health crisis and then a very critical accident occurs,” he says.

AI-endowed vehicles could locate fueling stations with robotic chargers or gas pumps, so occupants can sleep through pit stops, says Macey of the ArtCenter College of Design. He cautions, however, against including toilets in road-trip vehicles. “There’s a lot of baggage that comes along with that,” he says.

Still, some people can’t relax on the road, worrying about whether they completed some household task before departing. For them, Freyer says, BMW is exploring tech partnerships to control your home from your car.

“With smart-home integration, you will be able to ask your car to complete these functions and services—to open the garage, or check if the lights are still on, or if you forgot something,” Freyer says.

Entertaining on Four Wheels

People already spend much of their time consuming content on screens at home. When cars can drive themselves, all passengers will be able to partake in screen time as a group or alone.

Windows, windshield-wide projections and glass roofs are all being explored as potential “screens” to view media or play videogames, Freyer says. Even VR goggles are possible. “Though we may need stabilizing so people don’t become nauseous,” he says.

Further in-car integration of operating systems like Android or MacOS will allow occupants to “seamlessly transition from watching the latest game or episode at home to in the car,” according to Google’s Brady.

Onboard AI could help find more programming—movies, social-media feeds, podcasts—similar to that just consumed. “The car could even know to take a longer route so you can finish your episode,” Brady says.

For those traveling alone, the onboard AI could keep them company. “It could become more like a traveling companion that you can interact with in a natural and spontaneous way,” Brady says. “A trusted friend that’s with you every step.”

But if passengers want to connect with others, they could allow the use of group video chats, viewing parties or even dating apps, at speed, with consenting passengers in nearby vehicles, Cadillac’s Nesbitt says. He notes that some vehicles in China already have exterior displays for sharing messages or holiday greetings with other motorists.

“You can decide if you want everybody, or everyone on your platform, to know where you are, and you can toggle those privacy settings on and off,” Nesbitt says.



TAVIS GORDON, CADILLAC

THE FUTURE OF EVERYTHING | TRAVEL

HYBRID-ELECTRIC COMES TO PLANES

Marc Allen, CEO of aerospace startup Electra, on why he thinks a quiet plane that can take off from a surface no bigger than a soccer field will change the way we fly. **By Sharon Terlep**

Investors are betting billions on air travel’s next big things, from all-electric air taxis to supersonic jetliners. The CEO of aerospace startup Electra says he’s looking to deliver a practical option: a hybrid-electric plane that can take off and land—quickly and quietly—on a surface no bigger than a soccer field.

“It’s just an airplane,” says Marc Allen, who was a Boeing executive before becoming Electra’s CEO last year. But he believes this hybrid, also known as an “ultra short,” will answer travelers’ desire to fly without traffic-clogged trips to the airport, long security lines or inconvenient connections. Helicopters are too loud and expensive, and small jets still must use traditional airports, while air taxis have limited range, he says. “We’re consolidating these existing technologies in a totally unique and novel way to finally deliver direct aviation, to make it real.”

Electra is trying something relatively novel for hybrid planes, which run on a combination of jet fuel and electric power. The nine-seat EL9 uses eight propellers to blow air over the wings, re-creating the lift a plane gets from speeding down a runway. Known as “blown lift,” this allows the plane to take off from a shorter runway. Where a typical small plane must hit speeds of at least 70 knots, or around 80 miles per hour, to become airborne and requires a runway of at least 1,500 feet, Electra’s can take off at half that speed and lift off after rolling 150 feet on a 300-foot runway.

Backed by Lockheed Martin, the five-year-old Virginia-based startup aims to have the EL9 in the skies by 2029. Electra has been flying a two-passenger EL2 prototype for months. The plane would have a list price around \$10 million but, with typical industry discounts, could sell for about half the cost, according to people familiar with the pricing. The company says the cost to buy and operate the plane would be roughly one-third that of a



helicopter.

Allen talked with The Wall Street Journal about his vision.

Flying can be nerve-racking. How do you convince the public that these are safe?

First off, there’s this tremendous redundancy in the propulsion system. There’s a hybrid-electric turbine generator, there are batteries and there are electric motors at the edge of the wing, all of which work together. If the turbine generator fails, it’s no problem, the batteries power the flight. If a battery fails, it’s no problem, there are four batteries and a [fuel-run] turbo generator. If all four batteries fail, there’s a turbo generator.

And then you have an airplane that if something does require an emergency descent it can land in a 300-foot space instead of looking for thousands of feet to land.

▲ Marc Allen with one of the company’s hybrid-electric planes

Will people ever be able to avoid the airport altogether?

It has this ultra-short landing and, because it’s ultra quiet, you can come into a neighborhood without noise. Those features are what will allow travelers to go to really novel, ultra-short access points.

The ultra short can enter the aircraft environment like a helicopter, which means not congesting the air routes and instead landing on ramps and taxiways by the [jet terminals]. A passenger can get to an ultra-short access point at home, 200 miles away from a big airport like Dulles, land at Dulles, and take the courtesy car from there to the airplane that’s going to take him to London. It will radically improve their trip.

Why can’t this just be battery-powered?

Batteries aren’t right now at a level of development to support

sufficient payload range.

[Here, noise of a plane flying at the reporter’s location could be heard.]

That sounded to me like conventional aviation. People are blown away when they watch EL2 fly and realize that on the all-electric take-offs and landings they can’t hear a thing other than the birds in the background.

Could that be unsettling?

No one likes to yell to have a conversation. We all remember the first time when a Tesla went by us on the road ahead, and our head kind of snapped because we didn’t realize there was a car there. It was a little unsettling the first time. But now we all love that we’re seeing the noise pollution in our own environments reduced with electric vehicles.

What does it feel like to be in the plane?

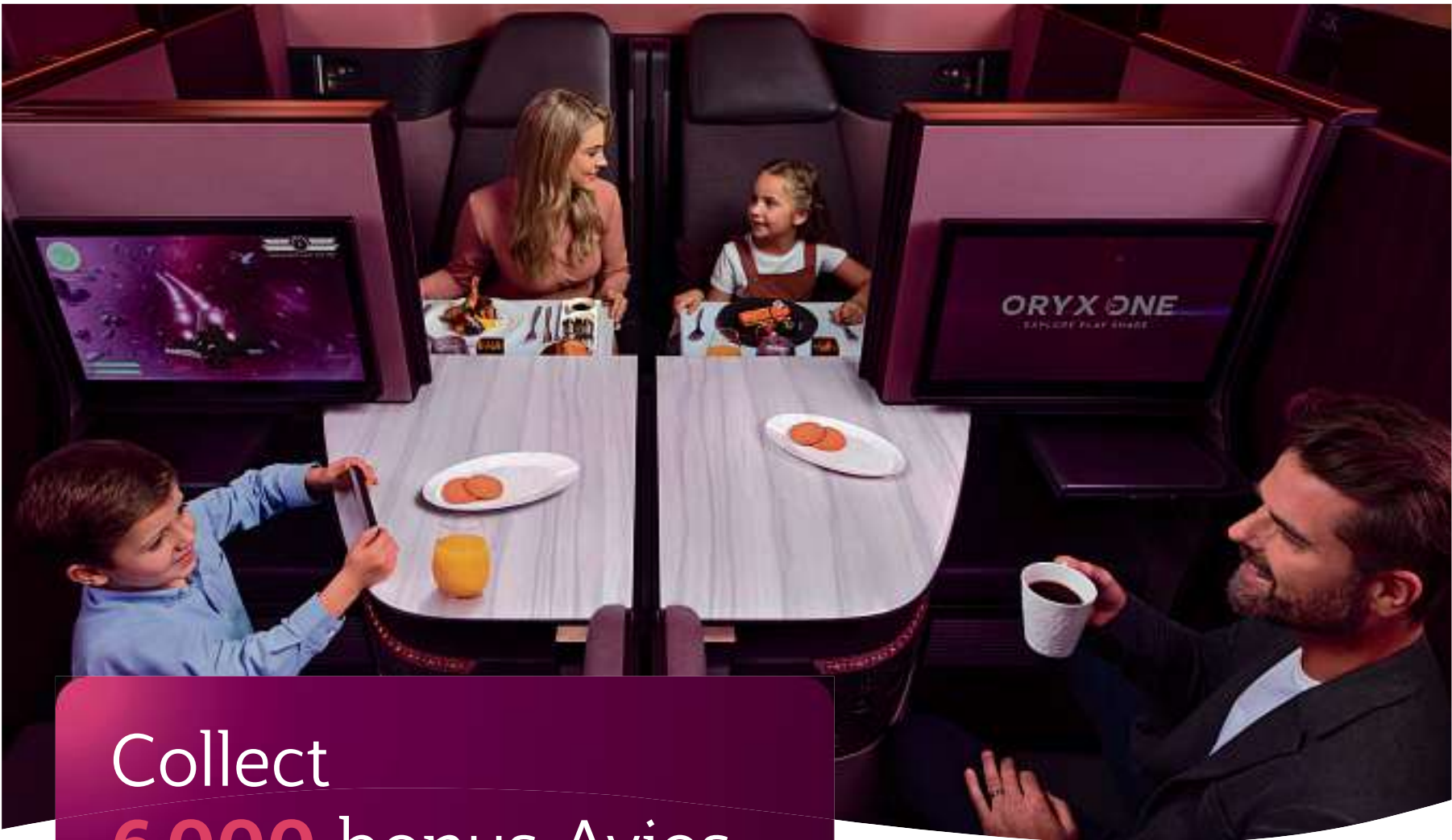
When you get on, you’re going to almost be bored because you’re going to realize the experience is, frankly, just like getting on an airplane. The only thing that’s going to surprise you is that when you come in to land, you’re going to think you’re a lot higher than you should be and it’s just going to descend. But it doesn’t descend fast, it descends like car speeds. So when you are wheels down on the access point, you’ll be going 25 miles an hour and you’ll come to a stop.

What could military applications look like?

The technology has profound implications for military and commercial use. On the military side, this is an airplane that can fly 1,000 pounds for 1,000 [nautical] miles and land on an unimproved surface. Think about what it means to be able to fly over hundreds of miles of open water and land with a logistics payload in a place only helicopters can get into.

It has the added advantage of being its own power-generation system. The EL9 will just land and it’s a six-hundred kilowatt generator. It can power a communication station, it can charge up and launch drones, it can power direct-energy systems.

Interview has been condensed and edited.



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THE FUTURE OF EVERYTHING | TRAVEL

ONE REWARDS PLAN FOR ALL
YOUR TRAVEL?

Loyalty programs evolve as airlines and hotels explore one-point-fits-all systems. **By Jacob Passy**



Traveling in this day and age means accumulating hoards of points and miles, earned and valued at different rates. Spending them means navigating multiple loyalty accounts.

What if there were an easier way: Imagine if one currency could be used across all your travel-loyalty programs—a kind of eurozone for points and miles. Some travel-loyalty executives and analysts see this as the future of frequent-flier programs. “The writing is on the wall for that to happen because there are too many players pursuing the same thing,” said Evert de Boer, managing partner at On Point Loyalty, an advisory firm based in Singapore.

Save for the most loyal of jet-setters who always stick to the same providers, people’s points are often unused for extended stretches of time given how long it takes to accrue enough for a trip. Using one airline’s points to book a flight with a partner carrier is challenging; transferring points between programs is virtually impossible.

A universal system could benefit consumers, proponents say, giving them more control over the rewards they earn and how they use them. It could help open up airlines to new markets, particularly smaller carriers that don’t have the resources to run a frequent-flier program at the same scale as their large competitors. A few early efforts are giving a glimpse of what this future could look like.

Others warn the risk to upending airline loyalty schemes is significant. These programs are major moneymakers for airlines. During the pandemic, airlines used their loyalty programs as collateral for loans they took out to remain afloat. As with other efforts to create a single platform—think Spotify for music—participants are often wary of ceding control even if they gain access to a larger market.

“The one thing that airlines see as one of their greatest competitive strengths are their loyalty arrangements with their best customers,” Delta CEO Ed Bastian said in a recent interview. “Anytime you try to democratize that and make it blend into one, you lose the unique advantages, benefits and flexibility that you have with that marketplace.”

It’s hard to overstate the sheer amount of points and miles consumers across the globe are sitting on. Annually, some \$300 billion worth of points are issued by airlines and other companies with loyalty programs, according to research de Boer conducted for



a book he co-authored, “Loyalty Programs and the Currency Effect.”

With so many points floating around, airlines have decreased their value. The average cost in points or miles for an economy flight has jumped 36% since 2019, according to an analysis of rewards pricing across six U.S. airlines from aviation consultant IdeaWorks. Only one of those—American Airlines—reduced the cost.

Airlines generally don’t allow their customers to transfer their points to another company’s frequent-flier program. Instead, those that have code-share agreements or are part of the same alliance make a select number of seats on each flight bookable through their partners. For instance, members of the Delta SkyMiles program can use their rewards to book Air France flights through Delta’s platform.

Airline-branded and other travel-oriented credit cards are fueling the accumulation of points. People who earn points by spending with credit cards like Chase Sapphire or American Express Platinum can transfer their points to certain airlines. But that can be a cumbersome process, said Gilbert Ott, director of partnership at Point.me, a website that allows users to research award bookings.

The different valuations across airline loyalty programs force carriers to negotiate with one another constantly, said Richard Kerr, vice president of travel at Bilt Rewards, a financial-services company that provides rewards for rent payments and spending with participating businesses.

▲ A Chase Sapphire lounge at Boston’s Logan Airport. Rewards programs run through every aspect of travel.

36%
rise in the
average cost
of an econ-
omy flight in
points or
miles since
2019

Bilt’s goal, Kerr said, is to make the company a one-stop shop for award bookings. When customers pay their rent through Bilt, dine at certain restaurants or shop at participating retailers, such as Walgreens and Lyft, they earn Bilt Points that they can use to book flights and hotels. As of June, Bilt has 16 airlines and six hotel companies as transfer partners, and is hoping to add more.

British Airways parent International Consolidated Airlines Group, or IAG, has worked to expand its Avios loyalty program. It was created in 2011 through the merger of multiple rewards programs including those of IAG-owned British Airways and Iberia. Other IAG airlines, including Aer Lingus and Vueling, have adopted the program’s currency, which is also known as Avios.

“We created Avios as a unifying currency to connect multiple airline programs while still allowing each to serve its unique customer base,” said Veronica Vicars, chief growth officer at IAG Loyalty.

Qatar Airways, IAG’s largest shareholder, switched to the currency in 2022. More recently, Finland flag carrier Finnair and Scottish regional airline Loganair became the first airlines not directly affiliated with IAG to adopt Avios—Finnair in March 2024 and Loganair in January.

Each airline in Avios sets its own rules on how frequent fliers earn and spend points. Some carriers reward Avios points based on the fare class of the ticket purchased and the distance flown. Others determine the

number of points earned from the ticket’s cost. The individual programs choose their own rates for how much flights cost using Avios.

Unlike other airlines where you generally can’t transfer rewards from one program to another, Avios can be exchanged at a one-to-one ratio. So one British Airways Avios is equivalent to one Finnair Avios, and vice versa. That allows customers to “shift their loyalty points to wherever they see the greatest value,” Vicars said.

On one airline, a traveler may get more value from spending Avios points on a long-haul flight, while with another it could make more sense to use the rewards to upgrade their seat.

For a smaller carrier like Finnair, Avios gives members more options for using their rewards. Rather than being restricted to Finnair’s flights, its frequent fliers can move their Avios points to a bigger carrier like British Airways with relative ease.

“The only way really to scale was to join a bigger currency,” said Simon Large, the airline’s chief customer officer. Finnair and IAG are both part of the Oneworld alliance, one of the three major multi-airline partnerships—along with SkyTeam and Star Alliance—that facilitate marketing and code-sharing of flights across the member carriers. That made Avios a natural fit, Large said.

For Loganair, the hope is adopting Avios will make travelers outside the U.K. more aware of Loganair’s offerings when planning trips to the British Isles, the airline’s CEO Luke Farajallah said.

Adopting a new loyalty currency has drawbacks. Finnair has had to invest in marketing to educate its customers about Avios, Large said. The airline also had to build partnerships with businesses in Finland to expand the ways customers could earn points.

Rove, a startup that has received backing from venture-capital firms including General Catalyst, Y Combinator and Soma Capital, is positioning itself as a way for Gen-Zers who often don’t have credit cards to earn rewards they can spend on travel. Members earn Rove Miles from shopping online while using Rove’s browser extension, similar to services like Honey or Rakuten. Rove has partnerships with 11 airlines.

“We want to make it easy for anyone to just leave the country for the first time,” said Max Morganroth, Rove’s co-founder. “A universal currency will benefit the airlines—drive more volume to them and fill empty seats—and also help a lot of people travel for the first time who otherwise would never be able to.”

PETE RYAN, TONY LUONG FOR WSJ

THE FUTURE OF EVERYTHING | TRAVEL



THE RACE TO BE THE NEXT ‘IT’ SPACE STATION

Commercial projects in the works would host astronauts, researchers and even tourists
By Micah Maidenber

Left, a rendering of Axiom Space’s namesake station, which is in development. Below, technicians from an Axiom supplier work on the station.



They are real-estate projects that one day could offer some of the best views in the solar system: private space stations. Spurred by the National Aeronautics and Space Administration, several companies, including Elon Musk’s SpaceX, may build facilities that would replace the International Space Station and attract a new variety of tenants and travelers. Future visitors at these facilities could range from government astronauts to private research scientists, executives say. Tourists looking for a unique experience a couple of hundred miles above the planet might show up, too. Shifting from the ISS, now operating for more than two decades, to one or more commercial stations won’t be easy or cheap. Companies working on them have many technical and production hurdles to clear, and must demonstrate their facilities can operate safely. But if NASA and members of Congress get their way, private space stations would be in orbit before the ISS is decommissioned around 2030. Here’s a look at some of the efforts to commercialize space stations.



BLUE ORIGIN’S ORBITAL REEF Jeff Bezos’ Blue Origin is behind a station called Orbital Reef. The company has described the proposed station as a mixed-use business park, one capable of hosting everyone from researchers to tourists. Renderings of the facility show a longer cylinder with separate modules attached to it. Blue Origin has built mock-ups of the station and conducted human testing in it last December, a spokeswoman said. Among the tests: simulating what it is like to have as many as 10 people living in Orbital Reef at once and performing daily tasks there, such as conducting experiments and managing storage and trash. Another important factor is Blue Origin’s New Glenn rocket. That vehicle is designed to propel a significant amount of payload to low-Earth-orbit with each launch, including station habitats that would offer more volume than current ISS modules, according to the company spokeswoman. “This allows us to package more volume and capabilities in a single launch,” lowering station-development costs and complexity tied to assembling the facility in space, she said.

AXIOM STATION FROM AXIOM SPACE Axiom Space’s namesake station someday could host as many as eight people in five modules orbiting above the Earth. The Houston-based company will start smaller, using a deal it struck with NASA in 2020 that allows it to attach a module to the ISS. To kick-start its station, the company plans to first connect a power module to the current station. It would later detach that device and link it to a habitat Axiom would build and send up. Those two pieces would give Axiom a free-flying ministation, something it hopes to have in place in 2028. Tejpal Bhatia, Axiom’s chief executive, said governments’ interest in science, research and more is expected to drive demand at the station. The company has been designing its station to have more modern interiors, aiming to make it feel more comfortable than the ISS. It plans an octagonal corridor, and each bed will have a window near it.



STARLAB, THE STATION backed by Voyager Technologies, aims to keep things simple as it gets going. The company is trying to pull that off by using what it has described as a utilitarian station design, one that relies on a proven metal structure for its habitat. It is looking to deploy Starlab on a single flight on Starship, the big rocket SpaceX is still developing. Among Starlab’s highlights: a small nook by a window, a tablet showing a daily schedule for astronauts and private areas for those on board. The station could grow with demand, and potentially have modules dedicated to pharmaceutical development or semiconductor fabrication.



HAVEN STATIONS FROM VAST California-based Vast is trying to keep costs low as it pushes to get a cylindrical-shaped station with room for as many as four people flying as soon as next year. Max Haot, Vast’s chief executive, said the Haven-1 is designed to be launched on a SpaceX Falcon 9 rocket in May 2026, with a crew visiting it shortly thereafter. The facility’s diameter will be more than 14 feet, with lockers for payloads, a pop-up table and crew quarters. Over time, the company aims to develop Haven-2, a bigger station meant to be a full-scale replacement of the ISS. “We are not building a five-star hotel in space” where people just hang out, Haot said. Given the resources it takes for station visits, “we believe that anyone going to space, private or government, should go there to do important, important stuff.”

SIERRA SPACE’S LIFE Sierra Space is working on yet another twist for space stations: facilities that expand or inflate after they have been launched to orbit. One that would grow after launch to about 20 feet in length would have room for life-support systems and could host crews, scientific work and other projects. Adding volume increases options for internal designs and optimizing the space, according to the Colorado-based company. Sierra calls its expandable habitat the Large Integrated Flexible Environment, or LIFE. The first LIFE product is meant to expand into a three-story structure that is 27 feet in diameter, with enough room to easily sleep four astronauts.



CLOCKWISE FROM TOP: AXIOM SPACE (2); VOYAGER TECHNOLOGIES; SIERRA SPACE; VAST; BLUE ORIGIN

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